

The Finance Act, 2023

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Union of India - Act

The Finance Act, 2023

UNION OF INDIA

India

The Finance Act, 2023

Act 8 of 2023

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MINISTRY OF LAW AND JUSTICE

(Legislative Department) New Delhi, the 31st March, 2023 / Chaitra 10, 1945 (Saka) The following Act of Parliament received the assent of the President on the 31st March, 2023 and is hereby published for general information:?

An Act to give effect to the financial proposals of the Central Government for the financial year 2023-2024.

BE it enacted by Parliament in the Seventy-fourth Year of the Republic of India as follows:?

Chapter I

1.

PRELIMINARY

(1)

This Act may be called the Finance Act, 2023.

(2)

Save as otherwise provided in this Act,?

(a)
sections 2 to 127 shall come into force on the 1st day of April, 2023;

(b)
sections 128 to 163 shall come into force on such date as the Central Government may, by notification in the Official Gazette, appoint.

Chapter II

2.

RATES OF INCOME-TAX

(1)
Subject to the provisions of sub-sections (2) and (3), for the assessment year commencing on the 1st day of April, 2023, income-tax shall be charged at the rates specified in Part I of the First Schedule and such tax shall be increased by a surcharge, for the purposes of the Union, calculated in each case in the manner provided therein.

(2)
In the cases to which Paragraph A of Part I of the First Schedule applies, where the assessee has, in the previous year, any net agricultural income exceeding five thousand rupees, in addition to total income, and the total income exceeds two lakh fifty thousand rupees, then,?

(a)
the net agricultural income shall be taken into account, in the manner provided in clause (b) (that is to say, as if the net agricultural income were comprised in the total income after the first two lakh fifty thousand rupees of the total income but without being liable to tax), only for the purpose of charging income-tax in respect of the total income; and

(b)
the income-tax chargeable shall be computed as follows:?

(i)
the total income and the net agricultural income shall be aggregated and the amount of income-tax shall be determined in respect of the aggregate income at the rates specified in the said Paragraph A, as if such aggregate income were the total income;

(ii)
the net agricultural income shall be increased by a sum of two lakh fifty thousand rupees, and the amount of income-tax shall be determined in respect of the net agricultural income as so increased at the rates specified in the said Paragraph A, as if the net agricultural income as so increased were the total income;

(iii)
the amount of income-tax determined in accordance with sub-clause (i) shall be reduced by the amount of income-tax determined in accordance with sub-clause (ii) and the sum so arrived at shall be the income-tax in respect of the total income:

Provided that in the case of every individual, being a resident in India, who is of the age of sixty years or more but less than eighty years at any time during the previous year, referred to in item (II) of Paragraph A of Part I of the First Schedule, the provisions of this sub-section shall have effect as if for the words "two lakh fifty thousand rupees", the words "three lakh rupees" had been substituted:

Provided further that in the case of every individual, being a resident in India, who is of the age of eighty years or more at any time during the previous year, referred to in item (III) of Paragraph A of Part I of the First Schedule, the provisions of this sub-section shall have effect as if for the words "two lakh fifty thousand rupees", the words "five lakh rupees" had been substituted.

(3)
In cases to which the provisions of Chapter XII or Chapter XII-A or section 115JB or section 115JC or Chapter XII-FA or Chapter XII-FB or sub-section (1A) of section 161 or section 164 or section 164A or section 167B of the Income-tax Act, 1961 (hereinafter referred to as the Income-tax Act) apply, the tax chargeable shall be determined as provided in that Chapter or that section, and with reference to the rates imposed by sub-section (1) or the rates as specified in that Chapter or section, as the case may be:

Provided that the amount of income-tax computed in accordance with the provisions of section 111A or section 112 or section 112A of the Income-tax Act shall be increased by a surcharge, for the purposes of the Union, as provided in Paragraph A, B, C, D or E, as the case may be, of Part I of the First Schedule, except in case of a domestic company

whose income is chargeable to tax under section 115BAA or section 115BAB of the Income-tax Act or in case of co-operative society whose income is chargeable to tax under section 115BAD of the Income-tax Act:

Provided further that in respect of any income chargeable to tax under section 115A, 115AB, 115AC, 115ACA, 115AD, 115B, 115BA, 115BB, 115BBA, 115BBC, 115BBF, 115BBG, 115BBH, 115BBI, 115E, 115JB or 115JC of the Income-tax Act, the amount of income-tax computed under this sub-section shall be increased by a surcharge, for the purposes of the Union, calculated,?

(a)

in the case of every individual or Hindu undivided family or association of persons except in a case of an association of persons consisting of only companies as its members, or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, not having any income under section 115AD of the Income-tax Act,?

(i)

having a total income exceeding fifty lakh rupees but not exceeding one crore rupees, at the rate of ten per cent. of such income-tax;

(ii)

having a total income exceeding one crore rupees, but not exceeding two crore rupees, at the rate of fifteen per cent. of such income-tax;

(iii)

having a total income exceeding two crore rupees, but not exceeding five crore rupees, at the rate of twenty-five per cent. of such income-tax; and

(iv)

having a total income exceeding five crore rupees, at the rate of thirty-seven per cent. of such income-tax;

(b)

in the case of every individual or association of persons, except in a case of an association of persons consisting of only companies as its members or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, having income under section 115AD of the Income-tax Act,?

(i)

having a total income exceeding fifty lakh rupees but not exceeding one crore rupees, at the rate of ten per cent. of such income-tax;

(ii)

having a total income exceeding one crore rupees, but not exceeding two crore rupees, at the rate of fifteen per cent. of such income-tax;

(iii)

having a total income [excluding the income by way of dividend or income of the nature referred to in clause (b) of sub-section (1) of section 115AD of the Income-tax Act] exceeding two crore rupees but not exceeding five crore rupees, at the rate of twenty-five per cent. of such income-tax;

(iv)

having a total income [excluding the income by way of dividend or income of the nature referred to in clause (b) of sub-section (1) of section 115AD of the Income-tax Act] exceeding five crore rupees, at the rate of thirty-seven per cent. of such income-tax; and

(v)

having a total income [including the income by way of dividend or income of the nature referred to in clause (b) of sub-section (1) of section 115AD of the Income-tax Act] exceeding two crore rupees, but is not covered in sub-clauses (iii) and (iv), at the rate of fifteen per cent. of such income-tax:

Provided that in case where the total income includes any income by way of dividend or income chargeable under clause (b) of sub-section (1) of section 115AD of the Income-tax Act, the rate of surcharge on the income-tax calculated on that part of income shall not exceed fifteen per cent.;

(c)

in the case of an association of persons consisting of only companies as its members,?

(i)

at the rate of ten per cent. of such income-tax, where the total income exceeds fifty lakh rupees but does not exceed one crore rupees;

(ii)

at the rate of fifteen per cent. of such income-tax, where the total income exceeds one crore rupees;

(d)

in the case of every co-operative society except a co-operative society whose income is chargeable to tax under section 115BAD of the Income-tax Act,?

(i)

at the rate of seven per cent. of such income-tax, where the total income exceeds one crore rupees but does not exceed ten crore rupees;

(ii)

at the rate of twelve per cent. of such income-tax, where the total income exceeds ten crore rupees;

(e)

in the case of every firm or local authority, at the rate of twelve per cent. of such income-tax, where the total income exceeds one crore rupees;

(f)

in the case of every domestic company except such domestic company whose income is chargeable to tax under section 115BAA or section 115BAB of the Income-tax Act,?

(i)

at the rate of seven per cent. of such income-tax, where the total income exceeds one crore rupees but does not exceed ten crore rupees;

(ii)

at the rate of twelve per cent. of such income-tax, where the total income exceeds ten crore rupees;

(g)

in the case of every company, other than a domestic company,?

(i)

at the rate of two per cent. of such income-tax, where the total income exceeds one crore rupees but does not exceed ten crore rupees;

(ii)

at the rate of five per cent. of such income-tax, where the total income exceeds ten crore rupees:

Provided also that in the case of persons mentioned in (a) and (b) above, having total income chargeable to tax under section 115JC of the Income-tax Act, and such income exceeds,?

(i)

fifty lakh rupees but does not exceed one crore rupees, the total amount payable as income-tax and surcharge thereon shall not exceed the total amount payable as income-tax on a total income of fifty lakh rupees by more than the amount of income that exceeds fifty lakh rupees;

(ii)

one crore rupees but does not exceed two crore rupees, the total amount payable as income-tax and surcharge thereon shall not exceed the total amount payable as income-tax and surcharge on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees;

(iii)

two crore rupees but does not exceed five crore rupees, the total amount payable as income-tax and surcharge thereon shall not exceed the total amount payable as income-tax and surcharge on a total income of two crore rupees by more than the amount of income that exceeds two crore rupees;

(iv)

five crore rupees, the total amount payable as income-tax and surcharge thereon shall not exceed the total amount payable as income-tax and surcharge on a total income of five crore rupees by more than the amount of income that exceeds five crore rupees:

Provided also that in the case of association of persons mentioned in (c) above, having total income chargeable to tax under section 115JC of the Income-tax Act exceeds,?

(i)

fifty lakh rupees but does not exceed one crore rupees, the total amount payable as income-tax and surcharge thereon shall not exceed the total amount payable as income-tax on a total income of fifty lakh rupees by more than the amount of income that exceeds fifty lakh rupees;

(ii)

one crore rupees, the total amount payable as income-tax and surcharge thereon shall not exceed the total amount payable as income-tax and surcharge on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees:

Provided also that in the case of a co-operative society mentioned in (d) above, having total income chargeable to tax under section 115JC of the Income-tax Act, and such income exceeds,?

(i)

one crore rupees but does not exceed ten crore rupees, the total amount payable as income-tax and surcharge thereon shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees;

(ii)

ten crore rupees, the total amount payable as income-tax and surcharge thereon shall not exceed the total amount payable as income-tax and surcharge on a total income of ten crore rupees by more than the amount of income that exceeds ten crore rupees:

Provided also that in the case of persons mentioned in (e) above, having total income chargeable to tax under section 115JC of the Income-tax Act, and such income exceeds one crore rupees, the total amount payable as income-tax on such income and surcharge thereon shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees:

Provided also that in the case of every company having total income chargeable to tax under section 115JB of the Income-tax Act, and such income exceeds one crore rupees but does not exceed ten crore rupees, the total amount payable as income-tax on such income and surcharge thereon, shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees:

Provided also that in the case of every company having total income chargeable to tax under section 115JB of the Income-tax Act, and such income exceeds ten crore rupees, the total amount payable as income-tax on such income and surcharge thereon, shall not exceed the total amount payable as income-tax and surcharge on a total income of ten crore rupees by more than the amount of income that exceeds ten crore rupees:

Provided also that in respect of any income chargeable to tax under clause (i) of sub-section (1) of section 115BBE of the Income-tax Act, the amount of income-tax computed under this sub-section shall be increased by a surcharge, for the purposes of the Union, calculated at the rate of twenty-five per cent. of such income-tax:

Provided also that in case of every domestic company whose income is chargeable to tax under section 115BAA or section 115BAB of the Income-tax Act, the income-tax computed under this sub-section shall be increased by a surcharge, for the purposes of the Union, calculated at the rate of ten per cent. of such income-tax:

Provided also that in case of every individual or Hindu undivided family, whose income is chargeable to tax under section 115BAC of the Income-tax Act, the income-tax computed under this sub-section shall be increased by a surcharge, for the purposes of the Union, as provided in Paragraph A of Part I of the First Schedule:

Provided also that in case of every resident co-operative society, whose income is chargeable to tax under section 115BAD of the Income-tax Act, the income-tax computed under this sub-section shall be increased by a surcharge, for the purposes of the Union, calculated at the rate of ten per cent. of such income-tax.

(4)

In cases in which tax has to be charged and paid under sub-section (2A) of section 92CE or section 115QA or section 115TD of the Income-tax Act, the tax shall be charged and paid at the rates as specified in those sections and shall be increased by a surcharge, for the purposes of the Union, calculated at the rate of twelve per cent. of such tax.

(5)

In cases in which tax has to be deducted under sections 193, 194A, 194B, 194BA, 194BB, 194D, 194LBA, 194LBB, 194LBC and 195 of the Income-tax Act, at the rates in force, the deductions shall be made at the rates specified in Part II of the First Schedule and shall be increased by a surcharge, for the purposes of the Union, calculated in cases wherever prescribed, in the manner provided therein.

(6)

In cases in which tax has to be deducted under sections 192A, 194, 194C, 194DA, 194E, 194EE, 194F, 194G, 194H, 194-I, 194-IA, 194-IB, 194-IC, 194J, 194LA, 194LB, 194LBA, 196C - 194LBB, 194LBC, 194LC, 194LD, 194K, 194M, 194N, 194-O, 194Q, 194R, 194S, 196A, 196B, and 196D of the Income-tax Act, the deductions shall be made at the rates specified in those sections and shall be increased by a surcharge, for the purposes of the Union,?

(a)

in the case of every individual or Hindu undivided family or association of persons, except in case of an association of persons consisting of only companies as its members, or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, being a non-resident except in case of deduction on income by way of dividend under section 196D of the Income-tax Act, calculated,?

(i)

at the rate of ten per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds fifty lakh rupees but does not exceed one crore rupees;

(ii)

at the rate of fifteen per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds one crore rupees but does not exceed two crore rupees;

(iii)

at the rate of twenty-five per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds two crore rupees but does not exceed five crore rupees;

(iv)

at the rate of thirty-seven per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds five crore rupees:

Provided that where the income of such person is chargeable to tax under sub-section (1A) of section 115BAC of the Income-tax Act, the rate of surcharge shall not exceed twenty-five per cent.;

(b)

in the case of every individual or Hindu undivided family or association of persons except in case of association of persons consisting of only companies as its members, or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, being a non-resident, in case of deduction on income by way of dividend under section 196D of the Act, calculated,?

(i)

at the rate of ten per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds fifty lakh rupees but does not exceed one crore rupees;

(ii)

at the rate of fifteen per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds one crore rupees;

(c)

in the case of an association of persons being a non-resident, and consisting of only companies as its members, calculated,?

(i)

at the rate of ten per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds fifty lakh rupees but does not exceed one crore rupees;

(ii)

at the rate of fifteen per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds one crore rupees;

(d)

in the case of every co-operative society, being a non-resident, calculated,?

(i)

at the rate of seven per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds one crore rupees but does not exceed ten crore rupees;

(ii)

at the rate of twelve per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds ten crore rupees;

(e)

in the case of every firm, being a non-resident, calculated at the rate of twelve per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds one crore rupees;

(f)

in the case of every company, other than a domestic company, calculated,?

(i)

at the rate of two per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds one crore rupees but does not exceed ten crore rupees;

(ii)

at the rate of five per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds ten crore rupees.

(7)

In cases in which tax has to be collected under the proviso to section 194B of the Income-tax Act, the collection shall be made at the rates specified in Part II of the First Schedule, and shall be increased by a surcharge, for the purposes of the Union, calculated, in cases wherever prescribed, in the manner provided therein.

(8)

In cases in which tax has to be collected under section 206C of the Income-tax Act, the collection shall be made at the rates specified in that section and shall be increased by a surcharge, for the purposes of the Union,?

(a)

in the case of every individual or Hindu undivided family or association of persons, except in case of an association of persons consisting of only companies as its members, or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, being a non-resident, calculated,?

(i)

at the rate of ten per cent. of such tax, where the amount or the aggregate of such amounts collected or likely to be collected and subject to the collection exceeds fifty lakh rupees but does not exceed one crore rupees;

(ii)

at the rate of fifteen per cent. of such tax, where the amount or the aggregate of such amounts collected or likely to be collected and subject to the collection exceeds one crore rupees but does not exceed two crore rupees;

(iii)

at the rate of twenty-five per cent. of such tax, where the income or the aggregate of such amounts collected or likely to be collected and subject to the collection exceeds two crore rupees but does not exceed five crore rupees;

(iv)

at the rate of thirty-seven per cent. of such tax, where the income or the aggregate of such amounts collected or likely to be collected and subject to the collection exceeds five crore rupees:

Provided that where the income of such person is chargeable to tax under sub-section (1A) of section 115BAC of the Income-tax Act, the rate of surcharge shall not exceed twenty-five per cent.;

(b)

in the case of an association of persons, being a non-resident, and consisting of only companies as its members, calculated,?

(i)

at the rate of ten per cent. of such tax, where the amount or the aggregate of such amounts collected or likely to be collected and subject to the collection exceeds fifty lakh rupees but does not exceed one crore rupees;

(ii)

at the rate of fifteen per cent. of such tax, where the amount or the aggregate of such amounts collected or likely to be collected and subject to the collection exceeds one crore rupees;

(c)

in the case of every co-operative society, being a non-resident, calculated,?

(i)

at the rate of seven per cent. of such tax, where the amount or the aggregate of such amounts collected or likely to be collected and subject to the collection exceeds one crore rupees but does not exceed ten crore rupees;

(ii)

at the rate of twelve per cent. of such tax, where the amount or the aggregate of such amounts collected or likely to be collected and subject to the collection exceeds ten crore rupees;

(d)

in the case of every firm, being a non-resident, calculated at the rate of twelve per cent. of such tax, where the amount or the aggregate of such amounts collected or likely to be collected and subject to the collection exceeds one crore rupees;

(e)

in the case of every company, other than a domestic company, calculated,?

(i)

at the rate of two per cent. of such tax, where the amount or the aggregate of such amounts collected or likely to be collected and subject to the collection exceeds one crore rupees but does not exceed ten crore rupees;

(ii)

at the rate of five per cent. of such tax, where the amount or the aggregate of such amounts collected or likely to be collected and subject to the collection exceeds ten crore rupees.

(9)

Subject to the provisions of sub-section (10), in cases in which income-tax has to be charged under sub-section (4) of section 172 or sub-section (2) of section 174 or section 174A or section 175 or sub-section (2) of section 176 of the Income-tax Act or deducted from, or paid on, income chargeable under the head "Salaries" under section 192 of the said Act or deducted under section 194P of the said Act or in which the "advance tax"

payable under Chapter XVII-C of the said Act has to be computed at the rate or rates in force, such income-tax or, as the case may be, "advance tax" shall be charged, deducted or computed at the rate or rates specified in Part III of the First Schedule and such tax shall be increased by a surcharge, for the purposes of the Union, calculated in such cases and in such manner as provided therein:

Provided that in cases to which the provisions of Chapter XII or Chapter XII-A or section 115JB or section 115JC or Chapter XII-FA or Chapter XII-FB or sub-section (1A) of section 161 or section 164 or section 164A or section 167B of the Income-tax Act apply,

"advance tax" shall be computed with reference to the rates imposed by this sub-section or the rates as specified in that Chapter or section, as the case may be:

Provided further that the amount of "advance tax" computed in accordance with the provisions of section 111A or sections 112 or 112A of the Income-tax Act shall be increased by a surcharge, for the purposes of the Union, as provided in Paragraph A, B, C, D or E, as the case may be, of Part III of the First Schedule except in case of a domestic company whose income is chargeable to tax under section 115BAA or section 115BAB of the Income-tax Act or in case of an individual or Hindu undivided family or association of persons, or body of individuals, whether incorporated or not, or an artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act whose income is chargeable to tax under sub-section (1A) of section 115BAC of the Income-tax Act, or in case of a resident co-operative society whose income is chargeable to tax under section 115BAD or under section 115BAE of the Income-tax Act:

Provided also that in respect of any income chargeable to tax under section 115A, 115AB, 115AC, 115ACA, 115AD, 115B, 115BA, 115BB, 115BBA, 115BBC, 115BBF, 115BBG, 115BBH, 115BBI, 115BBJ, 115E, 115JB or 115JC of the Income-tax Act, "advance tax" computed in accordance with the first proviso shall be increased by a surcharge, for the purposes of the Union, calculated,?

(a)

in the case of every individual or Hindu undivided family or association of persons, except in a case of an association of persons consisting of only companies as its members, or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, not having any income under section 115AD of the Income-tax Act, and not having any income chargeable to tax under sub-section (1A) of section 115BAC of the Income-tax Act,?

(i)

at the rate of ten per cent. of such "advance tax", where the total income exceeds fifty lakh rupees but does not exceed

one crore rupees;

(ii)

at the rate of fifteen per cent. of such "advance tax", where the total income exceeds one crore rupees but does not exceed two crore rupees;

(iii)

at the rate of twenty-five per cent. of such "advance tax", where the total income exceeds two crore rupees but does not exceed five crore rupees;

(iv)

at the rate of thirty-seven per cent. of such "advance tax", where the total income exceeds five crore rupees;

(b)

in the case of every individual or association of persons, except in case of an association of persons consisting of only companies as its members, or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, having income under section 115AD of the Income-tax Act, and not having any income chargeable to tax under sub-section (1A) of section 115BAC of the Income-tax Act,?

(i)

at the rate of ten per cent. of such "advance tax", where the total income exceeds fifty lakh rupees, but does not exceed one crore rupees;

(ii)

at the rate of fifteen per cent. of such "advance tax", where the total income exceeds one crore rupees but does not exceed two crore rupees;

(iii)

at the rate of twenty-five per cent. of such "advance tax", where the total income [excluding the income by way of dividend and income of the nature referred to in clause (b) of sub-section (1) of section 115AD of the Income-tax Act] exceeds two crore rupees but does not exceed five crore rupees;

(iv)

at the rate of thirty-seven per cent. of such "advance tax", where the total income [excluding the income by way of dividend or income of the nature referred to in clause (b) of sub-section (1) of section 115AD of the Income-tax Act] exceeds five crore rupees;

(v)

at the rate of fifteen per cent. of such "advance tax", where the total income [including the income by way of dividend or income of the nature referred to in clause (b) of sub-section (1) of section 115AD of the Income-tax Act] exceeds two crore rupees but is not covered in sub-clauses (iii) and (iv):

Provided that in case where the total income includes any income by way of dividend or income chargeable under clause (b) of sub-section (1) of section 115AD of the Income-tax Act, the rate of surcharge on the advance tax computed on that part of income shall not exceed fifteen per cent.:

Provided further that where the total income of a person, being a specified fund referred to in clause (c) of the Explanation to clause (4D) of section 10 of the Income-tax Act, includes any income under clause (a) of sub-section (1) of section 115AD of the Income-tax Act, the advance tax computed on that part of income shall not be increased by any surcharge;

(c)

in the case of an association of persons consisting of only companies as its members,?

(i)

at the rate of ten per cent. of such "advance tax", where the total income exceeds fifty lakh rupees but does not exceed one crore rupees;

(ii)

at the rate of fifteen per cent. of such "advance tax", where the total income exceeds one crore rupees;

(d)

in the case of every co-operative society except such co-operative society whose income is chargeable to tax under section 115BAD or section 115BAE of the Income-tax Act,?

(i)

at the rate of seven per cent. of such "advance tax", where the total income exceeds one crore rupees but does not exceed ten crore rupees;

(ii)

at the rate of twelve per cent. of such "advance tax", where the total income exceeds ten crore rupees;

(e)

in the case of every firm or local authority, at the rate of twelve per cent. of such "advance tax", where the total income exceeds one crore rupees;

(f)

in the case of every domestic company except such domestic company whose income is chargeable to tax under section 115BAA or section 115BAB of the Income-tax Act,?

(i)

at the rate of seven per cent. of such "advance tax", where the total income exceeds one crore rupees but does not exceed ten crore rupees;

(ii)

at the rate of twelve per cent. of such "advance tax", where the total income exceeds ten crore rupees;

(g)

in the case of every company, other than a domestic company,?

(i)

at the rate of two per cent. of such "advance tax", where the total income exceeds one crore rupees but does not exceed ten crore rupees;

(ii)

at the rate of five per cent. of such "advance tax", where the total income exceeds ten crore rupees:

Provided also that in the case of persons mentioned in (a) and (b) above, having total income chargeable to tax under section 115JC of the Income-tax Act, and such income exceeds,?

(a)

fifty lakh rupees but does not exceed one crore rupees, the total amount payable as "advance tax" on such income and surcharge thereon shall not exceed the total amount payable as "advance tax" on a total income of fifty lakh rupees by more than the amount of income that exceeds fifty lakh rupees;

(b)

one crore rupees but does not exceed two crore rupees, the total amount payable as "advance tax" on such income and surcharge thereon shall not exceed the total amount payable as "advance tax" and surcharge on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees;

(c)

two crore rupees but does not exceed five crore rupees, the total amount payable as "advance tax" on such income and surcharge thereon shall not exceed the total amount payable as "advance tax" and surcharge on a total income of two crore rupees by more than the amount of income that exceeds two crore rupees;

(d)

five crore rupees, the total amount payable as "advance tax" on such income and surcharge thereon shall not exceed the total amount payable as "advance tax" and surcharge on a total income of five crore rupees by more than the amount of income that exceeds five crore rupees:

Provided also that in the case of persons mentioned in (c) above, having total income chargeable to tax under section 115JC of the Income-tax Act, and such income exceeds,?

(a)

fifty lakh rupees, but does not exceed one crore rupees, the total amount payable as "advance tax" on such income and surcharge thereon shall not exceed the total amount payable as "advance tax" on a total income of fifty lakh rupees by more than the amount of income that exceeds fifty lakh rupees;

(b)

one crore rupees, the total amount payable as "advance tax" on such income and surcharge thereon shall not exceed the total amount payable as "advance tax" and surcharge on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees:

Provided also that in the case of persons mentioned in (d) above, having total income chargeable to tax under section

115JC of the Income-tax Act, and such income exceeds,?

(a)

one crore rupees, but does not exceed ten crore rupees, the total amount payable as "advance tax" on such income and surcharge thereon, shall not exceed the total amount payable as "advance tax" on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees;

(b)

ten crore rupees, the total amount payable as "advance tax" on such income and surcharge thereon, shall not exceed the total amount payable as "advance tax" and surcharge on a total income of ten crore rupees by more than the amount of income that exceeds ten crore rupees:

Provided also that in the case of persons mentioned in (e) above, having total income chargeable to tax under section 115JC of the Income-tax Act, and such income exceeds one crore rupees, the total amount payable as "advance tax" on such income and surcharge thereon, shall not exceed the total amount payable as "advance tax" on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees:

Provided also that in the case of every company having total income chargeable to tax under section 115JB of the Income-tax Act, and such income exceeds one crore rupees but does not exceed ten crore rupees, the total amount payable as "advance tax" on such income and surcharge thereon, shall not exceed the total amount payable as "advance tax" on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees:

Provided also that in the case of every company having total income chargeable to tax under section 115JB of the Income-tax Act, and such income exceeds ten crore rupees, the total amount payable as "advance tax" on such income and surcharge thereon, shall not exceed the total amount payable as "advance tax" and surcharge on a total income of ten crore rupees by more than the amount of income that exceeds ten crore rupees:

Provided also that in respect of any income chargeable to tax under clause (i) of sub-section (1) of section 115BBE of the Income-tax Act, the "advance tax" computed in accordance with the first proviso shall be increased by a surcharge, for the purposes of the Union, calculated at the rate of twenty-five per cent. of such "advance tax":

Provided also that in case of every domestic company whose income is chargeable to tax under section 115BAA or section 115BAB of the Income-tax Act, the "advance tax" computed in accordance with the first proviso shall be increased by a surcharge, for the purposes of the Union, calculated at the rate of ten per cent. of such "advance tax":

Provided also that in respect of income chargeable to tax under sub-section (1A) of section 115BAC of the Income-tax Act, the "advance tax" computed in accordance with the first proviso shall be increased by a surcharge, for the purposes of the Union, calculated, in the case of an individual or Hindu undivided family or association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income tax Act,?

(i)

having a total income (including the income by way of dividend or income under the provisions of section 111A, section 112 and section 112A of the Income-tax Act) exceeding fifty lakh rupees but not exceeding one crore rupees, at the rate of ten per cent. of such "advance tax";

(ii)

having a total income (including the income by way of dividend or income under the provisions of section 111A, section 112 and section 112A of the Income-tax Act) exceeding one crore rupees but not exceeding two crore rupees, at the rate of fifteen per cent. of such "advance tax";

(iii)

having a total income (excluding the income by way of dividend or income under the provisions of section 111A, section 112 and section 112A of the Income-tax Act) exceeding two crore rupees, at the rate of twenty-five per cent. of such "advance tax"; and

(iv)

having a total income (including the income by way of dividend or income under the provisions of section 111A, section 112 and section 112A of the Income-tax Act) exceeding two crore rupees, but is not covered under clause (iii) above, at the rate of fifteen per cent. of such "advance tax":

Provided also that in case where the provisions of sub-section (1A) of section 115BAC are applicable and the total income includes any income by way of dividend or income chargeable under section 111A, section 112 and section 112A of the Income-tax Act, the rate of surcharge on the "advance tax" in respect of that part of income shall not exceed

fifteen per cent.:

Provided also that in the case of a specified fund, referred to in clause (c) of the Explanation to clause (4D) of section 10 of the Income-tax Act, whose income is chargeable to tax under sub-section (1A) of section 115BAC and where such income includes any income under clause (a) of sub-section (1) of section 115AD of the Income-tax Act, the advance tax computed on that part of income shall not be increased by any surcharge:

Provided also that in case an association of persons consisting of only companies as its members, and having its income chargeable to tax under sub-section (1A) of section 115BAC, the rate of surcharge on the "advance tax" shall not exceed fifteen per cent.:

Provided also that in case of every individual or Hindu undivided family or association of persons, or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, whose income is chargeable to tax under section 115BAC of the Income-tax Act having total income exceeding,?

(a)

fifty lakh rupees but does not exceed one crore rupees, the total amount payable as "advance tax" on such income and surcharge thereon shall not exceed the total amount payable as "advance tax" on a total income of fifty lakh rupees by more than the amount of income that exceeds fifty lakh rupees;

(b)

one crore rupees but does not exceed two crore rupees, the total amount payable as "advance tax" on such income and surcharge thereon shall not exceed the total amount payable as "advance tax" and surcharge on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees;

(c)

two crore rupees, the total amount payable as "advance tax" on such income and surcharge thereon shall not exceed the total amount payable as "advance tax" and surcharge on a total income of two crore rupees by more than the amount of income that exceeds two crore rupees:

Provided also that in case of every resident co-operative society whose income is chargeable to tax under section 115BAD or section 115BAE of the Income-tax Act, the "advance tax" computed in accordance with the first proviso shall be increased by a surcharge, for the purposes of the Union, calculated at the rate of ten per cent. of such "advance tax".

(10)

In cases to which Paragraph A of Part III of the First Schedule applies, or in case of an individual or Hindu undivided family or association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, being a resident, whose income is chargeable to tax under sub-section (1A) of section 115BAC of the Income-tax Act, where the assessee has, in the previous year or, if by virtue of any provision of the Income-tax Act, income-tax is to be charged in respect of the income of a period other than the previous year, in such other period, any net agricultural income exceeding five thousand rupees, in addition to total income and the total income exceeds two lakh fifty thousand rupees, then, in charging income-tax under sub-section (2) of section 174 or section 174A or section 175 or sub-section (2) of section 176 of the said Act or in computing the "advance tax" payable under Chapter XVII-C of the said Act, at the rate or rates in force,?

(a)

the net agricultural income shall be taken into account, in the manner provided in clause (b) that is to say, as if the net agricultural income were comprised in the total income after the first two lakh fifty thousand rupees of the total income but without being liable to tax, only for the purpose of charging or computing such income-tax or, as the case may be, "advance tax" in respect of the total income; and

(b)

such income-tax or, as the case may be, "advance tax" shall be so charged or computed as follows:?

(i)

the total income and the net agricultural income shall be aggregated and the amount of income-tax or "advance tax" shall be determined in respect of the aggregate income at the rates specified in the said Paragraph A, or sub-section (1A) of section 115BAC, as if such aggregate income were the total income;

(ii)

the net agricultural income shall be increased by a sum of two lakh fifty thousand rupees, and the amount of income-tax or "advance tax" shall be determined in respect of the net agricultural income as so increased at the rates specified in

the said Paragraph A, or sub-section (1A) of section 115BAC, as if the net agricultural income were the total income;
(iii)

the amount of income-tax or "advance tax" determined in accordance with sub-clause (i) shall be reduced by the amount of income-tax or, as the case may be, "advance tax" determined in accordance with sub-clause (ii) and the sum so arrived at shall be the income-tax or, as the case may be, "advance tax" in respect of the total income:

Provided that in the case of every individual, being a resident in India, who is of the age of sixty years or more but less than eighty years at any time during the previous year, referred to in item (II) of Paragraph A of Part III of the First Schedule, the provisions of this sub-section shall have effect as if for the words "two lakh fifty thousand rupees", the words "three lakh rupees" had been substituted:

Provided further that in the case of every individual, being a resident in India, who is of the age of eighty years or more at any time during the previous year, referred to in item (III) of Paragraph A of Part III of the First Schedule, the provisions of this sub-section shall have effect as if for the words "two lakh fifty thousand rupees", the words "five lakh rupees" had been substituted:

Provided also that in the case of every individual or Hindu undivided family or association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, being a resident, whose income is chargeable to tax under sub-section (1A) of section 115BAC of the Income-tax Act, the provisions of this sub-section shall have effect as if for the words "two lakh fifty thousand rupees", the words "three lakh rupees" had been substituted:

Provided also that the amount of income-tax or "advance tax" so arrived at, shall be increased by a surcharge for the purposes of the Union, calculated in each case, in the manner provided in this section.

(11)

The amount of income-tax as specified in sub-sections (1) to (3) and as increased by the applicable surcharge, for the purposes of the Union, calculated in the manner provided therein, shall be further increased by an additional surcharge, for the purposes of the Union, to be called the "Health and Education Cess on income-tax", calculated at the rate of four per cent. of such income-tax and surcharge so as to fulfil the commitment of the Government to provide and finance quality health services and universalised quality basic education and secondary and higher education.

(12)

The amount of income-tax as specified in sub-sections (4) to (10) and as increased by the applicable surcharge, for the purposes of the Union, calculated in the manner provided therein, shall be further increased by an additional surcharge, for the purposes of the Union, to be called the "Health and Education Cess on income-tax", calculated at the rate of four per cent. of such income-tax and surcharge so as to fulfil the commitment of the Government to provide and finance quality health services and universalised quality basic education and secondary and higher education:

Provided that nothing contained in this sub-section shall apply to cases in which tax is to be deducted or collected under the sections of the Income-tax Act mentioned in sub-sections (5), (6), (7) and (8), if the income subjected to deduction of tax at source or collection of tax at source is paid to a domestic company and any other person who is resident in India:

Provided further that nothing contained in this sub-section shall apply in respect of income-tax as specified in sub-section (9), calculated on income, referred to in clause (a) of sub-section (1) of section 115AD of the Income-tax Act, of specified fund referred to in clause (c) of the Explanation to clause (4D) of section 10 of the Income-tax Act.

(13)

For the purposes of this section and the First Schedule,?

(a)

"domestic company" means an Indian company or any other company which, in respect of its income liable to income-tax under the Income-tax Act, for the assessment year commencing on the 1st day of April, 2023, has made the prescribed arrangements for the declaration and payment within India of the dividends (including dividends on preference shares) payable out of such income;

(b)

"insurance commission" means any remuneration or reward, whether by way of commission or otherwise, for soliciting or procuring insurance business (including business relating to the continuance, renewal or revival of policies of insurance);

(c)

"net agricultural income" in relation to a person, means the total amount of agricultural income, from whatever source

derived, of that person computed in accordance with the rules contained in Part IV of the First Schedule;

(d)

all other words and expressions used in this section and the First Schedule but not defined in this sub-section and defined in the Income-tax Act shall have the meanings, respectively, assigned to them in that Act.

Chapter III

DIRECT TAXES, Income-tax

3.

In section 2 of the Income-tax Act,?

(a)

in clause (19B), the words and brackets "or anAdditional Commissioner of Income-tax (Appeals)" shall be omitted;

(b)

in clause (24), after sub-clause (xviib), the following sub-clauses shall be inserted with effect from the 1st day of April, 2024, namely:?

"(xviic) any sum referred to in clause (xii) of sub-section (2) of section 56;

(xviid) any sum referred to in clause (xiii) of sub-section (2) of section 56;"

(c)

after clause (28C), the following clause shall be inserted, namely:?

'(28CA) "Joint Commissioner (Appeals)" means a person appointed to be a Joint Commissioner of Income-tax (Appeals) or anAdditional Commissioner of Income-tax (Appeals) under sub-section (1) of section 117;"

(d)

in clause (37A), in sub-clause (ii), after the figures and letter ?194B,?, the figures and letters ?194BA,? shall be inserted;

(e)

in clause (42A), in Explanation 1, in clause (i), after sub-clause (hh), the following sub-clause shall be inserted with effect from the 1st day of April, 2024, namely:?

"(hi) in the case of a capital asset, being?

(a)

Electronic Gold Receipt issued in respect of gold deposited as referred to in clause (viid) of section 47, there shall be included the period for which such gold was held by the assessee prior to conversion into the Electronic Gold Receipt;

(b)

gold released in respect of an Electronic Gold Receipt as referred to in clause (viid) of section 47, there shall be included the period for which such Electronic Gold Receipt was held by the assessee prior to its conversion into gold;"

4.

In section 9 of the Income-taxAct, in sub-section (1), for clause (viii), the following clause shall be substituted with effect from the 1st day of April, 2024, namely:?

"(viii) income arising outside India, being any sum of money referred to in sub-clause (xviiia) of clause (24) of section 2, paid by a person resident in India?

(a)

on or after the 5th day of July, 2019 to a non-resident, not being a company, or to a foreign company; or

(b)

on or after the 1st day of April, 2023 to a person not ordinarily resident in India within the meaning of clause (6) of section 6."

5.

In section 10 of the Income-tax Act,?

(a)

in clause (4D), in the Explanation, in clause (c), in sub-clause (i), in item (I), after the words and figures "Securities and Exchange Board of India Act, 1992, or", the words, brackets and figures "regulated under the International Financial Services Centres Authority (Fund Management) Regulations, 2022, made under the" shall be inserted;

(b)

for clause (4E), the following shall be substituted with effect from the 1st day of April, 2024,?

"(4E) any income accrued or arisen to, or received by a non-resident as a result of?

(i)

transfer of non-deliverable forward contracts or offshore derivative instruments or over-the-counter derivatives; or

(ii)

distribution of income on offshore derivative instruments, entered into with an offshore banking unit of an International Financial Services Centre referred to in sub-section (1A) of section 80LA, which fulfils such conditions as may be prescribed;";

(c)

for clause (4G), the following clauses shall be substituted with effect from the 1st day of April, 2024, namely:?

'(4G) any income received by a non-resident from,?

(i)

portfolio of securities or financial products or funds, managed or administered by any portfolio manager on behalf of such non-resident; or

(ii)

such activity carried out by such person, as may be notified by the Central Government in the Official Gazette, in an account maintained with an Offshore Banking Unit in any International Financial Services Centre, as referred to in sub-section (1A) of section 80LA, to the extent such income accrues or arises outside India and is not deemed to accrue or arise in India.

Explanation.?For the purposes of this clause, ?portfolio manager? shall have the same meaning as assigned to it in clause (z) of sub-regulation (1) of regulation 2 of the International Financial Services Centres Authority (Capital Market Intermediaries) Regulations, 2021, made under the International Financial Services Centres Authority Act, 2019;

(4H)

any income of a non-resident or a Unit of an International Financial Services Centre, as referred to in sub-section (1A) of section 80LA, engaged primarily in the business of leasing of an aircraft, by way of capital gains arising from the transfer of equity shares of domestic company, being a Unit of an International Financial Services Centre, as referred to in sub-section (1A) of section 80LA, engaged primarily in the business of lease of an aircraft which has commenced operations on or before the 31st day of March, 2026:

Provided that the provisions of this clause shall apply for capital gains arising from the transfer of equity shares of such domestic company in a previous year relevant to an assessment year falling within the?

(a)

period of ten assessment years beginning with the assessment year relevant to the previous year in which the domestic company has commenced operations; or

(b)

period of ten assessment years beginning with the assessment year commencing on the 1st day of April, 2024, where the period referred to in clause (a) ends before the 1st day of April, 2034.

Explanation.?For the purposes of this clause, ?aircraft? means an aircraft or a helicopter, or an engine of an aircraft or a helicopter, or any part thereof;";

(d)

in clause (10D),?

(i)

in the second proviso, the words, brackets, figures and letter "or the Explanation to sub-section (2A) of section 88, as the case may be" shall be omitted;

(ii)

for the sixth proviso, the following provisos shall be substituted with effect from the 1st day of April, 2024, namely:?

"Provided also that nothing contained in this clause shall apply with respect to any life insurance policy, other than a unit linked insurance policy, issued on or after the 1st day of April, 2023, if the amount of premium payable for any of the previous years during the term of such policy exceeds five lakh rupees:

Provided also that if the premium is payable by a person for more than one life insurance policy, other than unit linked insurance policy, issued on or after the 1st day of April, 2023, the provisions of this clause shall apply only with respect to those life insurance policies, other than unit linked insurance policies, where the aggregate amount of premium does not exceed the amount referred to in the sixth proviso in any of the previous years during the term of any of those policies:

Provided also that the provisions of the fourth, fifth, sixth and seventh provisos shall not apply to any sum received on

the death of a person:";

(e)

after clause (12B), the following shall be inserted, namely:?

'(12C) any payment from the Agniveer Corpus Fund to a person enrolled under the Agnipath Scheme, or to his nominee.

Explanation.?For the purposes of this clause "Agniveer Corpus Fund"

and "Agnipath Scheme" shall have the meanings respectively assigned to them in section 80CCH;"

(f)

in clause (22B), after the third proviso, the following proviso shall be inserted with effect from the 1st day of April, 2024, namely:?

"Provided also that nothing contained in this clause shall apply to any income of the news agency of the previous year relevant to the assessment year beginning on or after the 1st day of April, 2024;"

(g)

clause (23BBF) shall be omitted;

(h)

in clause (23C),?

(I)

with effect from the 1st day of October, 2023,?

(i)

in the first proviso, for clause (iv), the following clause shall be substituted, namely:?

"(iv) in any other case, where activities of the fund or trust or institution or university or other educational institution or hospital or other medical institution have?

(A)

not commenced, at least one month prior to the commencement of the previous year relevant to the assessment year from which the said approval is sought;

(B)

commenced and no income or part thereof of the said fund or trust or institution or university or other educational institution or hospital or other medical institution has been excluded from the total income on account of applicability of sub-clause (iv) or sub-clause (v) or sub-clause (vi) or sub-clause (via) or section 11 or section 12 for any previous year ending on or before the date of such application, at any time after the commencement of such activities,"

(ii)

in the second proviso,?

(a)

in clause (ii),?

(A)

in the opening portion, after the word, brackets and figures "clause (iii)", the words, brackets, letter and figures "or sub-clause (B) of clause (iv)" shall be inserted;

(B)

in sub-clause (b), for item (B), the following item shall be substituted, namely:?

"(B) if he is not so satisfied, pass an order in writing,?

(I)

in a case referred to in clause (ii) or clause (iii) of the first proviso, rejecting such application and also cancelling its approval;

(II)

in a case referred to in sub-clause (B) of clause (iv) of the first proviso, rejecting such application, after affording it a reasonable opportunity of being heard;"

(b)

for clause (iii), the following clause shall be substituted, namely:?

"(iii) where the application is made under sub-clause (A) of clause (iv) of the said proviso or the application made under clause (iv) of the said proviso, as it stood immediately before its amendment by the Finance Act, 2023, pass an order in writing granting approval to it provisionally for a period of three years from the assessment year from which the approval is sought, and send a copy of such order to the fund or trust or institution or university or other educational institution or

hospital or other medical institution:";

(II)

in the third proviso,?

(i)

in Explanation 2,?

(a)

in clause (i),?

(A)

in the proviso, the word "and" shall be omitted;

(B)

after the proviso, the following provisos shall be inserted, namely:?

"Provided further that the provisions of the first proviso shall apply only if there was no violation of the conditions specified in the twelfth, thirteenth and twenty-first provisos, and those specified in Explanation 2 and Explanation 3, of this clause, at the time the application was made from the corpus:

Provided also that the amount invested or deposited back shall not be treated as application for charitable or religious purposes under the first proviso unless such investment or deposit is made within a period of five years from the end of the previous year in which such application was made from the corpus:

Provided also that nothing contained in the first proviso shall apply where the application from the corpus is made on or before the 31st day of March, 2021;"

(b)

in clause (ii), after the proviso, the following provisos shall be inserted, namely:?

"Provided further that the provisions of the first proviso shall apply only if there was no violation of the conditions specified in the twelfth, thirteenth and twenty-first provisos, and those specified in Explanation 2 and Explanation 3, of this clause at the time the application was made from loan or borrowing:

Provided also that the amount repaid shall not be treated as application for charitable or religious purposes under the first proviso unless such repayment is made within a period of five years from the end of the previous year in which such application was made from loan or borrowing:

Provided also that nothing contained in the first proviso shall apply where the application from any loan or borrowing is made on or before the 31st day of March, 2021; and";

(c)

after clause (ii), the following clause shall be inserted with effect from the 1st day of April, 2024, namely:?

"(iii) any amount credited or paid out of the income of any fund or trust or institution or any university or other educational institution or any hospital or other medical institution referred to in sub-clause (iv) or sub-clause (v) or sub-clause (vi) or sub-clause (via), other than the amount referred to in the twelfth proviso, to any other fund or trust or institution or any university or other educational institution or any hospital or other medical institution referred to in sub-clause (iv) or sub-clause (v) or sub-clause (vi) or sub-clause (via), or trust or institution registered under section 12AB, as the case may be, shall be treated as application for charitable or religious purposes only to the extent of eighty-five per cent. of such amount credited or paid.";

(ii)

in Explanation 3, in clause (c), for the words "furnished on or before", the words "furnished at least two months prior to" shall be substituted;

(III)

in the fifteenth proviso, in Explanation 2,?

(A)

in clause (d), for the words "attained finality.", the words "attained finality; or" shall be substituted;

(B)

after clause (d), the following clause shall be inserted, namely:?

"(e) the application referred to in the first proviso of this clause is not complete or it contains false or incorrect information.";

(IV)

in the nineteenth proviso, in the Explanation, with effect from the day of April, 2024,?

(a)
after the words, brackets and figures "notified under clause (46)", the word, brackets, figures and letter "or (46A)" shall be inserted;

(b)
for the words, brackets and figures "under clause (46)", the words, brackets, figures and letter "under clause (46) or clause (46A)" shall be substituted;

(V)
in the twentieth proviso, for the words "within the time allowed under that section", the words, brackets and figures "within the time allowed under sub-section (1) or sub-section (4) of that section" shall be substituted;

(i)
clause (23EB) shall be omitted;

(j)
in clause (23FE), in the opening paragraph, for the word "interest", the words, brackets and figures "interest, any sum referred to in clause (xii) of sub-section (2) of section 56" shall be substituted with effect from the 1st day of April, 2024;

(k)
clause (26A) shall be omitted;

(l)
for clause (26AAA), the following clause shall be substituted and shall be deemed to have been substituted with effect from the 1st day of April, 1990, namely:?

?(26AAA) in case of an individual, being a Sikkimese, any income which accrues or arises to him?

(a)
from any source in the State of Sikkim; or

(b)
by way of dividend or interest on securities.

Explanation.?For the purposes of this clause ?Sikkimese? shall mean?

(i)
an individual, whose name is recorded in the register maintained under the Sikkim Subjects Regulation, 1961 read with the Sikkim Subject Rules, 1961 (hereinafter referred to as the ?Register of Sikkim Subjects?), immediately before the 26th day of April, 1975; or

(ii)
an individual, whose name is included in the Register of Sikkim Subjects by virtue of the Government of India Order No. 26030/36/90- I.C.I., dated the 7th August, 1990 and Order of even number dated the 8th April, 1991; or

(iii)
any other individual, whose name does not appear in the Register of Sikkim Subjects, but it is established beyond doubt that the name of such individual?s father or husband or paternal grand-father or brother from the same father has been recorded in that register; or

(iv)
any other individual, whose name does not appear in the Register of Sikkim Subjects but it is established that such individual was domiciled in Sikkim on or before the 26th day of April, 1975; or

(v)
any other individual, who was not domiciled in Sikkim on or before the 26th day of April, 1975, but it is established beyond doubt that such individual?s father or husband or paternal grand-father or brother from the same father was domiciled in Sikkim on or before the 26th day of April, 1975;?

(m)
after clause (34A), the following clause shall be inserted with effect from the day of April, 2024, namely:?

?(34B) any income of a Unit of any International Financial Services Centre, primarily engaged in the business of leasing of an aircraft, by way of dividends from a company being a Unit of any International Financial Services Centre primarily engaged in the business of leasing of an aircraft.

Explanation.?For the purposes of this clause, ?International Financial Services Centre? shall have the same meaning as assigned to it in clause (q) of section 2 of the Special Economic Zones Act, 2005;?;

(n)

clause (41) shall be omitted;

(o)

in clause (46), for the words ", or a class thereof " at both the places where they occur, the words, figures and letter "other than those covered under clause (46A), or a class thereof" shall be substituted with effect from the 1st day of April, 2024;

(p)

after clause (46), the following clauses shall be inserted with effect from the day of April, 2024, namely:?

"(46A) any income arising to a body or authority or Board or Trust or Commission, not being a company, which?

(a)

has been established or constituted by or under a Central Act or State Act with one or more of the following purposes, namely:?

(i)

dealing with and satisfying the need for housing accommodation;

(ii)

planning, development or improvement of cities, towns and villages;

(iii)

regulating, or regulating and developing, any activity for the benefit of the general public; or

(iv)

regulating any matter, for the benefit of the general public, arising out of the object for which it has been created; and

(b)

is notified by the Central Government in the Official Gazette for the purposes of this clause;

(46B)

any income accruing or arising to,?

(i)

National Credit Guarantee Trustee Company Limited, being a company established and wholly financed by the Central Government for the purposes of operating credit guarantee funds established and wholly financed by the Central Government; or

(ii)

a credit guarantee fund established and wholly financed by the Central Government and managed by the National Credit Guarantee Trustee Company Limited; or

(iii)

Credit Guarantee Fund Trust for Micro and Small Enterprises, being a trust created by the Government of India and the Small Industries Development Bank of India established under sub-section (1) of section 3 of the Small Industries Development Bank of India Act, 1989;";

(q)

clause (49) shall be omitted.

6.

In section 10AA of the Income-tax Act, with effect from the 1st day of April, 2024,?

(a)

in sub-section (1), after clause (ii) and before the Explanation, the following proviso shall be inserted, namely:?

"Provided that no such deduction shall be allowed to an assessee who does not furnish a return of income on or before the due date specified under sub-section (1) of section 139.";

(b)

after sub-section (4), the following shall be inserted, namely:?

'(4A) This section applies to a Unit, if the proceeds from sale of goods or provision of services is received in, or brought into, India by the assessee in convertible foreign exchange, within a period of six months from the end of the previous year or, within such further period as the competent authority may allow in this behalf.

Explanation 1.?For the purposes of this sub-section, the expression

"competent authority" means the Reserve Bank of India or the authority authorised under any law for the time being in force for regulating payments and dealings in foreign exchange.

Explanation 2.—The sale of goods or provision of services shall be deemed to have been received in India where such export turnover is credited to a separate account maintained for that purpose by the assessee with any bank outside India with the approval of the Reserve Bank of India.;

(c)

in Explanation 1, for clause (i), the following clauses shall be substituted, namely:—

'(i) "convertible foreign exchange" shall have the meaning assigned to it in clause (ii) of the Explanation 2 to section 10A;

(ia)

"export turnover" means the consideration in respect of export by the undertaking, being the Unit of articles or things or services received in, or brought into, India by the assessee in convertible foreign exchange in accordance with the provisions of sub-section (4A), but does not include freight, telecommunication charges or insurance attributable to the delivery of the articles or things outside India or expenses, if any, incurred in foreign exchange in rendering of services (including computer software) outside India.;

7.

In section 11 of the Income-tax Act, —

(A)

in sub-section (1), —

(a)

in Explanation 1, in clause (2), in sub-clause (ii), in the long line, for the words "before the expiry of the time allowed", the words "at least two months prior to the due date specified" shall be substituted;

(b)

in Explanation 4, —

(I)

in clause (i), —

(a)

in the proviso, for the words "deposit; and", the word

"deposit;" shall be substituted;

(b)

after the proviso, the following provisos shall be inserted, namely:—

"Provided further that provisions of the first proviso shall apply only if there was no violation of the conditions specified?

(a)

in clause (c) of this sub-section;

(b)

in Explanations 2, 3 and 5 of this sub-section;

(c)

in the Explanation to this section; and

(d)

in clause (c) of sub-section (1) of section 13, at the time the application was made from the corpus:

Provided also that the amount invested or deposited back shall not be treated as application for charitable or religious purposes under the first proviso unless such investment or deposit is made within a period of five years from the end of the previous year in which such application was made from the corpus:

Provided also that nothing contained in the first proviso shall apply where application from the corpus is made on or before the 31st day of March, 2021.;

(II)

in clause (ii), after the proviso, the following provisos shall be inserted, namely:—

"Provided further that provisions of the first proviso shall apply only if there was no violation of the conditions specified?

(a)

in clause (c) of this sub-section;

(b)

in Explanations 2, 3 and 5 of this sub-section;

(c)

in the Explanation to this section; and

(d)

in clause (c) of sub-section (1) of section 13, at the time the application was made from loan or borrowing:

Provided also that the amount repaid shall not be treated as application for charitable or religious purposes under the first proviso unless such repayment is made within a period of five years from the end of the previous year in which such application was made from loan or borrowing:

Provided also that nothing contained in the first proviso shall apply where application from any loan or borrowing is made on or before the 31st day of March, 2021; and";

(III)

after clause (ii), the following clause shall be inserted with effect from the 1st day of April, 2024, namely:?

"(iii) any amount credited or paid, other than the amount referred to in Explanation 2, to any fund or trust or institution or any university or other educational institution or any hospital or other medical institution referred to in sub-clause (iv) or sub-clause (v) or sub-clause (vi) or sub-clause (via) of clause (23C) of section 10, as the case may be, or other trust or institution registered under section 12AB, as the case may be, shall be treated as application for charitable or religious purposes only to the extent of eighty-five per cent. of such amount credited or paid.";

(B)

in sub-section (2), in clause (c), for the words "on or before", the words "at least two months prior to" shall be substituted;

(C)

in sub-section (7), with effect from the 1st day of April, 2024,?

(a)

or the words, brackets and figures "and clause (46)", the words, brackets, figures and letters ", clause (23EC), clause (46) and clause (46A)"

shall be substituted;

(b)

in the first proviso, for the words, brackets and figures "under clause (46)", the words, brackets, figures and letters "under clause (23EC) or clause (46) or clause (46A)" shall be substituted;

(c)

in the second proviso, for the words, brackets and figures "under clause (46)", the words, brackets, figures and letters "under clause (23EC) or clause (46) or clause (46A)" shall be substituted.

8.

In section 12A of the Income-tax Act,?

(a)

in sub-section (1),?

(I)

in clause (ac), for sub-clause (vi), the following sub-clause shall be substituted with effect from the 1st day of October, 2023, namely:?

"(vi) in any other case, where activities of the trust or institution have?

(A)

not commenced, at least one month prior to the commencement of the previous year relevant to the assessment year from which the said registration is sought;

(B)

commenced and no income or part thereof of the said trust or institution has been excluded from the total income on account of applicability of sub-clause (iv) or sub-clause (v) or sub-clause (vi) or sub-clause (via) of clause (23C) of section 10, or section 11 or section 12, for any previous year ending on or before the date of such application, at any time after the commencement of such activities,";

(II)

in clause (ba), for the words "within the time allowed under that section", the words, brackets and figures "within the time allowed under sub-section (1) or sub-section (4) of that section" shall be substituted;

(b)

in sub-section (2), the second, third and fourth provisos shall be omitted

9.

In section 12AB of the Income-tax Act,?

(a)

in sub-section (1), with effect from the 1st day of October, 2023,?

(A)

in clause (b),?

(a)

in the opening portion, after the word, brackets and figure

"sub-clause (v)", the words, brackets, letter and figures "or item (B) of sub-clause (vi)" shall be inserted;

(b)

in sub-clause (ii), for item (B), the following item shall be substituted, namely:?

"(B) if he is not so satisfied, pass an order in writing,?

(I)

in a case referred to in sub-clause (ii) or sub-clause (iii) or sub-clause (v) of clause (ac) of sub-section (1) of section 12A rejecting such application and also cancelling its registration;

(II)

in a case referred to in sub-clause (iv) or in item (B) of sub-clause (vi) of sub-section (1) of section 12A, rejecting such application, after affording a reasonable opportunity of being heard;"

(B)

for clause (c), the following clause shall be substituted, namely:?

"(c) where the application is made under item (A) of sub-clause (vi) of the said clause or the application is made under sub-clause (vi) of the said clause, as it stood immediately before its amendment vide the Finance Act, 2023, pass an order in writing provisionally registering the trust or institution for a period of three years from the assessment year from which the registration is sought;"

(b)

in sub-section (4), in the Explanation, in clause (f), for the words "attained finality.", the words "attained finality; or" shall be substituted;

(c)

after clause (f), the following clause shall be inserted, namely:?

"(g) the application referred to in clause (ac) of sub-section (1) of section 12A is not complete or it contains false or incorrect information."

10. In section 17 of the Income-tax Act,?

(i)

in clause (1), after sub-clause (viii), the following sub-clause shall be inserted, namely:?

"(ix) the contribution made by the Central Government in the previous year, to the Agniveer Corpus Fund account of an individual enrolled in the Agnipath Scheme referred to in section 80CCH;"

(ii)

in clause (2), with effect from the 1st day of April, 2024,?

(a)

in sub-clause (i), after the word "employer", the words "computed in such manner as may be prescribed" shall be inserted;

(b)

for sub-clause (ii) and Explanations 1 to 4 thereto, the following shall be substituted, namely:?

"(ii) the value of any accommodation provided to the assessee by his employer at a concessional rate.

Explanation.?For the purposes of this sub-clause, it is clarified that accommodation shall be deemed to have been provided at a concessional rate, if the value of accommodation computed in such manner as may be prescribed, exceeds the rent recoverable from, or payable by, the assessee;"

11. In section 28 of the Income-tax Act, for clause (iv), the following clause shall be substituted with effect from the 1st day of April, 2024, namely:?

"(iv) the value of any benefit or perquisite arising from business or the exercise of a profession, whether?

(a)

convertible into money or not; or

(b)

in cash or in kind or partly in cash and partly in kind;".

12. In section 35D of the Income-tax Act, in sub-section (2), in clause (a), for the proviso, the following proviso shall be substituted with effect from the 1st day of April, 2024, namely:?

"Provided that the assessee shall furnish a statement containing the particulars of expenditure specified in this clause within such period, to such income-tax authority, in such form and manner, as may be prescribed."

13. In section 43B of the Income-tax Act, with effect from the 1st day of April, 2024,?

(i)

in clause (da), for the words "a deposit taking non-banking financial company or systemically important non-deposit taking non-banking financial company", the words "such class of non-banking financial companies as may be notified by the Central Government in the Official Gazette in this behalf" shall be substituted;

(ii)

in clause (g), after the word "assets,", the word "or" shall be inserted;

(iii)

after clause (g), the following clause shall be inserted, namely:?

"(h) any sum payable by the assessee to a micro or small enterprise beyond the time-limit specified in section 15 of the Micro, Small and Medium Enterprises Development Act, 2006,";

(iv)

in the proviso, after the words "nothing contained in this section", the brackets, words and letter "[except the provisions of clause (h)]" shall be inserted;

(v)

in Explanation 4,?

(I)

for clause (e), the following clause shall be substituted, namely:?

'(e) "micro enterprise" shall have the meaning assigned to it in clause (h) of section 2 of the Micro, Small and Medium Enterprises Development Act, 2006;';

(II)

for clause (g), the following clause shall be substituted, namely:?

'(g) "small enterprise" shall have the meaning assigned to it in clause (m) of section 2 of the Micro, Small and Medium Enterprises Development Act, 2006.'

14.

In section 43D of the Income-tax Act, with effect from the 1st day of April, 2024,?

(i)

in clause (a), for the words "a deposit taking non-banking financial company or a systemically important non-deposit taking non-banking financial company", the words "such class of non-banking financial companies as may be notified by the Central Government in the Official Gazette in this behalf" shall be substituted;

(ii)

in the long line, for the words "a deposit taking non-banking financial company or a systemically important non-deposit taking non-banking financial company", the words "such class of non-banking financial companies as may be notified by the Central Government in the Official Gazette in this behalf," shall be substituted;

(iii)

in the Explanation, for clause (h), the following clause shall be substituted, namely:?

'(h) the expression "non-banking financial company" shall have the meaning assigned to it in clause (vii) of the Explanation to clause (vii) of sub-section (1) of section 36.'

15.

In section 44AB of the Income-tax Act, for the first proviso, the following proviso shall be substituted with effect from the 1st day of April, 2024, namely:?

"Provided that this section shall not apply to a person, who declares profits and gains for the previous year in accordance with the provisions of sub-section (1) of section 44AD or sub-section (1) of section 44ADA:".

16.

In section 44AD of the Income-tax Act, in the Explanation, in clause (b), after sub-clause (ii), the following provisos shall

be inserted with effect from the 1st day of April, 2024, namely:?

'Provided that where the amount or aggregate of the amounts received during the previous year, in cash, does not exceed five per cent. of the total turnover or gross receipts of such previous year, this sub-clause shall have effect as if for the words

"two crore rupees", the words "three crore rupees" had been substituted:

Provided further that for the purposes of the first proviso, the receipt of amount or aggregate of amounts by a cheque drawn on a bank or by a bank draft, which is not account payee, shall be deemed to be the receipt in cash.'

17.

In section 44ADA of the Income-tax Act, after sub-section (1), the following provisos shall be inserted with effect from the 1st day of April, 2024, namely:?

'Provided that in case of an assessee where the amount or aggregate of the amounts received during the previous year, in cash, does not exceed five per cent. of the total gross receipts of such previous year, this sub-section shall have effect as if for the words "fifty lakh rupees", the words "seventy-five lakh rupees" had been substituted:

Provided further that for the purposes of the first proviso, the receipt of amount or aggregate of amounts by a cheque drawn on a bank or by a bank draft, which is not account payee, shall be deemed to be the receipt in cash.'

18.

In section 44BB of the Income-tax Act, after sub-section (3) and before the Explanation, the following sub-section shall be inserted with effect from the 1st day of April, 2024, namely:?

"(4) Notwithstanding anything contained in sub-section (2) of section 32 and sub-section (1) of section 72, where an assessee declares profits and gains of business for any previous year in accordance with the provisions of sub-section (1), no set off of unabsorbed depreciation and brought forward loss shall be allowed to the assessee for such previous year."

19.

In section 44BBB of the Income-tax Act, after sub-section (2), the following sub-section shall be inserted with effect from the 1st day of April, 2024, namely:?

"(3) Notwithstanding anything contained in sub-section (2) of section 32 and sub-section (1) of section 72, where an assessee declares profits and gains of business for any previous year in accordance with the provisions of sub-section (1), no set off of unabsorbed depreciation and brought forward loss shall be allowed to the assessee for such previous year."

20.

In section 45 of the Income-tax Act, in sub-section (5A), for the words "the consideration received in cash, if any," the words "any consideration received in cash or by a cheque or draft or by any other mode" shall be substituted with effect from the 1st day of April, 2024.

21.

In section 47 of the Income-tax Act,?

(a)

in clause (viia), in the Explanation,?

(i)

for clause (a), the following clause shall be substituted, namely:?

'(a) "original fund" means?

(A)

a fund established or incorporated or registered outside India, which collects funds from its members for investing it for their benefit and fulfils the following conditions, namely:?

(i)

the fund is not a person resident in India;

(ii)

the fund is a resident of a country or a specified territory with which an agreement referred to in sub-section (1) of section 90 or sub-section (1) of section 90A has been entered into; or is established or incorporated or registered in a country or a specified territory as may be notified by the Central Government in this behalf;

(iii)

the fund and its activities are subject to applicable investor protection regulations in the country or specified territory

where it is established or incorporated or is a resident;
and

(iv)

fulfils such other conditions as may be prescribed;

(B)

an investment vehicle, in which Abu Dhabi Investment Authority is the direct or indirect sole shareholder or unit holder or beneficiary or interest holder and such investment vehicle is wholly owned and controlled, directly or indirectly, by the Abu Dhabi Investment Authority or the Government of Abu Dhabi; or

(C)

a fund notified by the Central Government in the Official Gazette in this behalf subject to such conditions as may be specified;";

(ii)

in clause (b), for the figures "2023", the figures "2025" shall be substituted;

(iii)

in clause (c), in sub-clause (i), after the words and figures "Securities and Exchange Board of India Act, 1992 or", the words, brackets and figures

"regulated under the International Financial Services Centres Authority (Fund Management) Regulations, 2022, made under the" shall be inserted;

(b)

after clause (viic), the following clause shall be inserted with effect from the day of April, 2024, namely:?

'(viid) any transfer of a capital asset, being conversion of gold into Electronic Gold Receipt issued by a Vault Manager, or conversion of Electronic Gold Receipt into gold.

Explanation.?For the purposes of this clause, the expressions "Electronic Gold Receipt" and "Vault Manager" shall have the meanings respectively assigned to them in clauses (h) and (l) of sub-regulation (1) of regulation 2 of the Securities and Exchange Board of India (Vault Managers) Regulations, 2021 made under the Securities and Exchange Board of India Act, 1992;";

(c)

after clause (xix), the following clause shall be inserted, namely:?

'(xx) any transfer of a capital asset, being an interest in a joint venture, held by a public sector company, in exchange of shares of a company incorporated outside India by the Government of a foreign State, in accordance with the laws of that foreign State.

Explanation.?For the purposes of this clause, "joint venture" shall mean a business entity, as may be notified by the Central Government in the Official Gazette.'.

22.

In section 48 of the Income-tax Act, in clause (ii), the following shall be inserted with effect from the 1st day of April, 2024, namely:?

"Provided that the cost of acquisition of the asset or the cost of improvement thereto shall not include the deductions claimed on the amount of interest under clause (b) of section 24 or under the provisions of Chapter VIA.

Explanation 1.?For the removal of doubt, it is hereby clarified that the cost of acquisition of a unit of a business trust shall be reduced and shall be deemed to have always been reduced by any sum received by a unit holder from the business trust with respect to such unit, which is not in the nature of income as referred to in clause (23FC) or clause (23FCA) of section 10 and which is not chargeable to tax under clause (xii) of sub-section (2) of section 56 and under sub-section (2) of section 115UA.

Explanation 2.?For the purposes of Explanation 1, it is clarified that where transaction of transfer of a unit is not considered as transfer under section 47 and cost of acquisition of such unit is determined under section 49, sum received with respect to such unit before such transaction as well as after such transaction shall be reduced from the cost of acquisition under the said Explanation;".

23.

In section 49 of the Income-tax Act,?

(a)

after sub-section (2AH), the following sub-section shall be inserted, namely:?

"(2AI) Where the capital asset, being shares as referred to in clause (xx) of section 47, became the property of the assessee, the cost of acquisition of such asset shall be deemed to be the cost of acquisition to it of the interest in the joint venture referred to in the said clause.";

(b)

after sub-section (9), the following sub-section shall be inserted with effect from the 1st day of April, 2024, namely:?

"(10) Where the capital asset, being?

(i)

an Electronic Gold Receipt issued by a Vault Manager, became the property of the person as consideration of a transfer, referred to in clause (viid) of section 47, the cost of acquisition of the asset for the purposes of the said transfer, shall be deemed to be the cost of gold in the hands of the person in whose name Electronic Gold Receipt is issued;

(ii)

gold released against an Electronic Gold Receipt, which became the property of the person as consideration for a transfer, referred to in clause (viid) of section 47, the cost of acquisition of the asset for the purposes of the said transfer shall be deemed to be the cost of the Electronic Gold Receipt in the hands of such person."

24.

After section 50A of the Income-tax Act, the following section shall be inserted with effect from the 1st day of April, 2024, namely:?

'50AA. Notwithstanding anything contained in clause (42A) of section 2 or section 48, where the capital asset is a unit of a Specified Mutual Fund acquired on or after the 1st day of April, 2023 or a Market Linked Debenture, the full value of consideration received or accruing as a result of the transfer or redemption or maturity of such debenture or unit as reduced by?

(i)

the cost of acquisition of the debenture or unit; and

(ii)

the expenditure incurred wholly and exclusively in connection with such transfer or redemption or maturity, shall be deemed to be the capital gains arising from the transfer of a short-term capital asset:

Provided that no deduction shall be allowed in computing the income chargeable under the head "Capital gains" in respect of any sum paid on account of securities transaction tax under the provisions of Chapter VII of the Finance (No. 2) Act, 2004.

Explanation.?For the purposes of this section?

(i)

"Market Linked Debenture" means a security by whatever name called, which has an underlying principal component in the form of a debt security and where the returns are linked to market returns on other underlying securities or indices and include any security classified or regulated as a Market Linked Debenture by the Securities and Exchange Board of India;

(ii)

"Specified Mutual Fund" means a Mutual Fund by whatever name called, where not more than thirty five per cent. of its total proceeds is invested in the equity shares of domestic companies:

Provided that the percentage of equity shareholding held in respect of the Specified Mutual Fund shall be computed with reference to the annual average of the daily closing figures.'

25.

In section 54 of the Income-tax Act, with effect from the 1st day of April, 2024,?

(a)

in sub-section (1), after the second proviso, the following proviso shall be inserted, namely:?

"Provided also that where the cost of new asset exceeds ten crore rupees, the amount exceeding ten crore rupees shall not be taken into account for the purposes of this sub-section.";

(b)

in sub-section (2),?

(i)

after the words "amount so deposited shall", the words, brackets and figure " , subject to the third proviso to sub-section (1)" shall be inserted;

(ii)

after the proviso, the following proviso shall be inserted, namely:?

"Provided further that the capital gains in excess of ten crore rupees shall not be taken into account for the purposes of this sub-section.".

26.

In section 54EA of the Income-tax Act, sub-section (3) shall be omitted.

27.

In section 54EB of the Income-tax Act, sub-section (3) shall be omitted

28.

In section 54EC of the Income-tax Act, in sub-section (3), clause (a) shall be omitted.

29.

In section 54ED of the Income-tax Act, in sub-section (3), clause (a) shall be omitted.

30.

In section 54F of the Income-tax Act, with effect from the 1st day of April, 2024,?

(a)

in sub-section (1), after the proviso and before the Explanation, the following proviso shall be inserted, namely:?

"Provided further that where the cost of new asset exceeds ten crore rupees, the amount exceeding ten crore rupees shall not be taken into account for the purposes of this sub-section.";

(b)

in sub-section (4),?

(i)

after the words "amount so deposited shall", the words, brackets and figure ", subject to the second proviso to sub-section (1)" shall be inserted;

(ii)

after the proviso, the following proviso shall be inserted, namely:?

"Provided further that the net consideration in excess of ten crore rupees shall not be taken into account for the purposes of this sub-section.".

31.

In section 55 of the Income-tax Act, with effect from the 1st day of April, 2024,?

(a)

in sub-section (1), in clause (b), in sub-clause (1),?

(i)

after the word "goodwill", the words "or any other intangible asset" shall be inserted;

(ii)

after the word "profession", the words "or any other right" shall be inserted;

(b)

in sub-section (2), in clause (a),?

(i)

for the words "profession, or a right", the words "profession, or any other intangible asset or a right" shall be substituted;

(ii)

for the word "hours,", the words "hours, or any other right" shall be substituted.

32.

In section 56 of the Income-tax Act, in sub-section (2),?

(a)

in clause (viib),?

(i)

with effect from the 1st day of April, 2024, the words "being a resident" shall be omitted;

(ii)

in the Explanation, in clause (aa), after the words and figures "Securities and Exchange Board of India Act, 1992 or regulated under the", the words, brackets and figures "International Financial Services Centre Authority (Fund Management) Regulations, 2022 made under the" shall be inserted;

(b)

after clause (xi), with effect from the 1st day of April, 2024, the following clauses shall be inserted, namely:?

'(xii) any specified sum received by a unit holder from a business trust during the previous year, with respect to a unit held by him at any time during the previous year.

Explanation.?For the purposes of this clause, "specified sum" shall be computed in accordance with the following formula, namely:?

Specified sum=A-B-C (which shall be deemed to be zero if sum of B and C is greater than A), where?

A=aggregate of sum distributed by the business trust with respect to such unit, during the previous year or during any earlier previous year or years, to such unit holder, who holds such unit on the date of distribution of sum or to any other unit holder who held such unit at any time prior to the date of such distribution, which is,?

(a)

not in the nature of income referred to in clause (23FC) or clause (23FCA) of section 10; and

(b)

not chargeable to tax under sub-section (2) of section 115UA;

B=amount at which such unit was issued by the business trust; and C=amount charged to tax under this clause in any earlier previous year;";

(xiii)

where any sum is received, including the amount allocated by way of bonus, at any time during a previous year, under a life insurance policy, other than the sum,?

(a)

received under a unit linked insurance policy;

(b)

being the income referred to in clause (iv), which is not to be excluded from the total income of the previous year in accordance with the provisions of clause (10D) of section 10, the sum so received as exceeds the aggregate of the premium paid, during the term of such life insurance policy, and not claimed as deduction under any other provision of this Act, computed in such manner as may be prescribed.

Explanation.?For the purposes of this clause "unit linked insurance policy" shall have the meaning assigned to it in Explanation 3 to clause(10D)ofsection 10.'

33.

In section 72A of the Income-tax Act, in sub-section (1), in clause (d), in the Explanation, for clause (iii), the following clause shall be substituted, namely:?

'(iii) "strategic disinvestment" means sale of shareholding by the Central Government or any State Government or a public sector company, in a public sector company or in a company, which results in?

(a)

reduction of its shareholding to below fifty-one per cent.; and

(b)

transfer of control to the buyer:

Provided that the condition laid down in sub-clause (a) shall apply only in a case where shareholding of the Central Government or the State Government or the public sector company was above fifty-one per cent. before such sale of shareholding:

Provided further that requirement of transfer of control referred to in sub-clause (b) may be carried out by the Central Government or the State Government or the public sector company or any two of them or all of them.'

34.

In section 72AA of the Income-tax Act,?

(a)

for clause (i), the following clause shall be substituted, namely:?

"(i) one or more banking company with?

(a)

any other banking institution under a scheme sanctioned and brought into force by the Central Government under sub-section (7) of section 45 of the Banking RegulationAct, 1949; or

(b)

any other banking institution or a company subsequent to a strategic disinvestment, wherein the amalgamation is carried out within a period of five years from the end of the previous year during which such strategic disinvestment is carried out; or";

(b)

in the long line, after the words "such banking institution or", the words "company or" shall be inserted;

(c)

in the Explanation, after clause (vi), the following clause shall be inserted, namely:?

'(via) "strategic disinvestment" shall have the meaning assigned to it in clause (iii) of the Explanation to clause (d) of sub-section (1) of section 72A;'.
35.

35.

In section 79 of the Income-tax Act, in sub-section (1), in the proviso, for the word "seven", the word "ten" shall be substituted.

36.

In section 80C of the Income-tax Act, sub-section (7) shall be omitted

37.

In section 80CCC of the Income-tax Act, in sub-section (3), clause (a) shall be omitted.

38.

In section 80CCD of the Income-tax Act, in sub-section (4), clause (a) shall be omitted.

39.

After section 80CCG of the Income-tax Act, the following section shall be inserted, namely:?

'80CCH.(1) Where an assessee, being an individual enrolled in the Agnipath Scheme and subscribing to the Agniveer Corpus Fund on or after the 1st day of November, 2022, has in the previous year paid or deposited any amount in his account in the said Fund, he shall be allowed a deduction in the computation of his total income, of the whole of the amount so paid or deposited.

(2)

Where the Central Government makes any contribution to the account of an assessee in the Agniveer Corpus Fund referred to in sub-section (1), the assessee shall be allowed a deduction in the computation of his total income of the whole of the amount so contributed.

Explanation. For the purposes of this section,?

(a)

"Agnipath Scheme" means the scheme for enrolment in Indian Armed Forces introduced vide letter No.1(23)2022/D(Pay/Services), dated the 29th December, 2022 of the Government of India in the Ministry of Defence;

(b)

"Agniveer Corpus Fund" means a fund in which consolidated contributions of all the Agniveers and matching contributions of the Central Government along with interest on both these contributions are held.'.

40.

In section 80G of the Income-tax Act,?

(I)

in sub-section (2), in clause (a), sub-clauses (ii), (iiic) and (iiid) shall be omitted with effect from the 1st day of April, 2024;

(II)

in sub-section (5),?

(A)

with effect from the 1st day of October, 2023,?

(i)

in the first proviso, for clause (iv), the following clause shall be substituted, namely:?

"(iv) in any other case, where activities of the institution or fund have?

(A)

not commenced, at least one month prior to the commencement of the previous year relevant to the assessment year from which the said approval is sought;

(B)

commenced and where no income or part thereof of the said institution or fund has been excluded from the total income

on account of applicability of sub-clause (iv) or sub-clause (v) or sub-clause (vi) or sub-clause (via) of clause (23C) of section 10 or section 11 or section 12 for any previous year ending on or before the date of such application, at any time after the commencement of such activities:";

(ii)

in the second proviso,?

(a)

in clause (ii),?

(1)

in the opening portion, after the word, brackets and figures "clause (iii)", the words, brackets, letter and figures "or sub-clause (B) of clause (iv)" shall be inserted;

(2)

in sub-clause (b), for item (B), the following item shall be substituted, namely:?

"(B) if he is not so satisfied, pass an order in writing,?

(I)

in a case referred to in clause (ii) or clause (iii) of the first proviso, rejecting such application and cancelling its approval; or

(II)

in a case referred to in sub-clause (B) of clause (iv) of the first proviso, rejecting such application, after affording it a reasonable opportunity of being heard;"

(b)

for clause (iii), the following clause shall be substituted, namely:?

"(iii) where the application is made under sub-clause (A) of clause (iv) of the said proviso or the application is made under clause (iv) of the said proviso as it stood immediately before its amendment vide the Finance Act, 2023, pass an order in writing granting it approval provisionally for a period of three years from the assessment year from which the approval is sought;"

(B)

in the third proviso, for the words "first proviso", the words "second proviso" shall be substituted.

41.

In section 80-IAC of the Income-tax Act, in the Explanation, in clause (ii), in sub-clause (a), for the figures "2023", the figures "2024" shall be substituted.

42.

In section 80LA of the Income-tax Act, in sub-section (1), after clause (b), the following proviso shall be inserted, namely:?

"Provided that for the assessment year commencing on or after the 1st day of April, 2023, the deduction under this clause shall be one hundred per cent. of such income."

43.

In section 87 of the Income-tax Act,?

(a)

in sub-section (1), the figures and letters ", 88, 88A, 88B, 88C, 88D" shall be omitted;

(b)

in sub-section (2), the words, figures and letters "or section 88 or section 88A or section 88B or section 88C or section 88D" shall be omitted.

44.

In section 87A of the Income-tax Act, the following proviso shall be inserted with effect from the 1st day of April, 2024, namely:?

"Provided that where the total income of the assessee is chargeable to tax under sub-section (1A) of section 115BAC, and the total income?

(a)

does not exceed seven hundred thousand rupees, the assessee shall be entitled to a deduction from the amount of income-tax (as computed before allowing for the deductions under this Chapter) on his total income with which he is chargeable for any assessment year, of an amount equal to one hundred per cent. of such income-tax or an amount of

twenty-five thousand rupees, whichever is less;

(b)

exceeds seven hundred thousand rupees and the income-tax payable on such total income exceeds the amount by which the total income is in excess of seven hundred thousand rupees, the assessee shall be entitled to a deduction from the amount of income-tax (as computed before allowing the deductions under this Chapter) on his total income, of an amount equal to the amount by which the income-tax payable on such total income is in excess of the amount by which the total income exceeds seven hundred thousand rupees."

45.

Section 88 of the Income-tax Act shall be omitted

46.

In section 92BA of the Income-tax Act, after clause (va), the following clause shall be inserted with effect from the 1st day of April, 2024, namely:—

"(vb) any business transacted between the assessee and other person as referred to in sub-section (4) of section 115BAE;"

47.

In section 92D of the Income-tax Act, in sub-section (3), for the words "period of thirty days" at both the places where they occur, the words "period of ten days" shall be substituted.

48.

In section 94B of the Income-tax Act, with effect from the 1st day of April, 2024, —

(i)

in sub-section (3), after the words "banking or insurance", the words "or such class of non-banking financial companies as may be notified by the Central Government in the Official Gazette in this behalf" shall be inserted;

(ii)

in sub-section (5), after clause (ii), the following clause shall be inserted, namely:—

'(iia) "non-banking financial company" shall have the meaning assigned to it in clause (vii) of the Explanation to clause (vii) of sub-section (1) of section 36;'.

49.

In section 111A of the Income-tax Act, sub-section (3) shall be omitted.

50.

In section 112 of the Income-tax Act, sub-section (3) shall be omitted.

51.

In section 115A of the Income-tax Act, in sub-section (1), with effect from the 1st day of April, 2024, —

(i)

in clause (a), in sub-clause (A), the following proviso shall be inserted, namely:—

"Provided that the amount of income-tax calculated on the amount of income by way of dividend received from a Unit in an International Financial Services Centre, as referred to in sub-section (1A) of section 80LA, shall be ten per cent.;"

(ii)

in clause (b), in sub-clauses (A) and (B), for the word "ten", the word "twenty" shall be substituted

52.

In section 115BAC of the Income-tax Act, —

(A)

with effect from the 1st day of April, 2024, —

(a)

in the marginal heading, for the words "and Hindu undivided family", the words ", Hindu undivided family and others" shall be substituted;

(b)

in sub-section (1), for the figures, letters and words "1st day of April, 2021", the figures, letters and words "1st day of April, 2021 but before the 1st day of April, 2024" shall be substituted;

(c)

after sub-section (1), the following sub-section shall be inserted, namely:—

"(1A) Notwithstanding anything contained in this Act but subject to the provisions of this Chapter, the income-tax payable

in respect of the total income of a person, being an individual or Hindu undivided family or association of persons (other than a co-operative society), or body of individuals, whether incorporated or not, or an artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2, other than a person who has exercised an option under sub-section (6), for any previous year relevant to the assessment year beginning on or after the 1st day of April, 2024, shall be computed at the rate of tax given in the following Table, namely:—

TABLE

Sl.

No. Total income Rate of tax

(1)

(2) (3)

1.

Upto Rs.3,00,000 Nil

2.

From Rs.3,00,001 to Rs.6,00,000 5 per cent.

3.

From Rs.6,00,001 to Rs.9,00,000 10 per cent.

4.

From Rs.9,00,001 to Rs.12,00,000 15 per cent.

5.

From Rs.12,00,001 to Rs.15,00,000 20 per cent

6.

Above Rs.15,00,000 30 per cent.";

(B)

with effect from the 1st day of April, 2023, in sub-section (2), in clause (i), after the words, figures and letters "section 80CCD or", the words, brackets, figures and letters "sub-section (2) of section 80CCH or" shall be inserted;

(C)

with effect from the 1st day of April, 2024,?

(a)

in sub-section (2), for the opening portion and clause (i) thereof, the following shall be substituted, namely:—

"(2) For the purposes of sub-section (1A), the total income of the person referred to therein, shall be computed?

(i)

without any exemption or deduction under the provisions of clause (5) or clause (13A) or prescribed under clause (14) (other than those as may be prescribed for this purpose) or clause (17) or clause (32), of section 10 or section 10AA or clause (ii) or clause (iii) of section 16 or clause (b) of section 24 [in respect of the property referred to in sub-section (2) of section 23] or clause (iia) of sub-section (1) of section 32 or section 32AD or section 33AB or section 33ABA or sub-clause (ii) or sub-clause (iia) or sub-clause (iii) of sub-section (1) or sub-section

(2AA)

of section 35 or section 35AD or section 35CCC or under any of the provisions of Chapter VI-A other than the provisions of sub-section (2) of section 80CCD or sub-section (2) of section 80CCH or section 80JJAA;"

(b)

in sub-section (3), after the proviso, the following proviso shall be inserted, namely:—

"Provided further that in a case where,?

(i)

the assessee has not exercised the option under sub-section (5) for any previous year relevant to the assessment year beginning on or before the 1st day of April, 2023;

(ii)

the income-tax on the total income of the assessee is computed under sub-section (1A); and

(iii)

there is a depreciation allowance in respect of a block of assets which has not been given full effect prior to the assessment year beginning on the 1st day of April, 2024, corresponding adjustment shall be made to the written down value of such block of assets as on the 1st day of April, 2023 in the manner as may be prescribed.";

(c)

for sub-section (4), the following sub-section shall be substituted, namely:?

'(4) In case of a person, having a Unit in the International Financial Services Centre, as referred to in sub-section (1A) of section 80LA,?

(i)

who has exercised option under sub-section (5) for any previous year relevant to the assessment year beginning on or after the 1st day of April, 2021 but before the 1st day of April, 2024;

(ii)

whose total income is computed under sub-section (1A), the conditions contained in sub-section (2) shall be modified to the extent that the deduction under section 80LA shall be available to such Unit subject to fulfilment of the conditions contained in the said section.

Explanation.?For the purposes of this sub-section, the term "Unit"

shall have the meaning assigned to it in clause (zc) of section 2 of the Special Economic Zones Act, 2005.;

(d)

in sub-section (5), after the proviso, the following proviso shall be inserted, namely:?

"Provided further that the provisions of this sub-section shall not apply for any previous year relevant to the assessment year beginning on or after the 1st day of April, 2024.";

(e)

after sub-section (5), the following sub-section shall be inserted, namely:?

"(6) Nothing contained in sub-section (1A) shall apply to a person where an option is exercised by such person, in the manner as may be prescribed, for any assessment year, and such option is exercised,?

(i)

on or before the due date specified under sub-section (1) of section 139 for furnishing the return of income for such assessment year, in case of a person having income from business or profession, and such option once exercised shall apply to subsequent assessment years; or

(ii)

along with the return of income to be furnished under sub-section (1) of section 139 for such assessment year, in case of a person not having income referred to in clause (i):

Provided that the option under clause (i), once exercised for any previous year can be withdrawn only once for a previous year other than the year in which it was exercised and thereafter, the person shall never be eligible to exercise the option under this sub-section, except where such person ceases to have any income from business or profession in which case, option under clause (ii) shall be available."

53.

In section 115BAD of the Income-tax Act, in sub-section (1), after the words

"provisions of this Chapter," the words, figures and letters "other than those mentioned under section 115BAE," shall be inserted with effect from the 1st day of April, 2024.

54.

After section 115BAD of the Income-tax Act, with effect from the 1st day of April, 2024, the following section shall be inserted, namely:?

"115BAE. (1) Notwithstanding anything contained in this Act but subject to the provisions of this Chapter, other than those mentioned under section 115BAD, the income-tax payable in respect of the total income of an assessee, being a co-operative society resident in India, for any previous year relevant to the assessment year beginning on or after the 1st day of April, 2024, shall, at the option of such assessee, be computed at the rate of fifteen per cent. if the conditions contained in sub-section (2) are satisfied:

Provided that where the total income of the assessee includes any income, which has neither been derived from nor is incidental to, manufacturing or production of an article or thing and in respect of which no specific rate of tax has been provided separately under this Chapter, such income shall be taxed at the rate of twenty-two per cent. and no deduction or allowance in respect of any expenditure or allowance shall be made in computing such income:

Provided further that the income-tax payable in respect of the income, of the assessee deemed so under the second proviso to sub-section (4) shall be computed at the rate of thirty per cent.:

Provided also that the income-tax payable in respect of income, being short term capital gains derived from transfer of a

capital asset on which no depreciation is allowable under the Act shall be computed at the rate of twenty-two per cent.:
Provided also that where the assessee fails to satisfy the conditions contained in sub-section (2) in any previous year, the option shall become invalid in respect of the assessment year relevant to that previous year and subsequent assessment years and other provisions of the Act shall apply to the assessee as if the option had not been exercised for the assessment year relevant to that previous year and subsequent assessment years.

(2)

For the purposes of sub-section (1), the following conditions shall apply, namely:?

(a)

the co-operative society has been set-up and registered on or after the 1st day of April, 2023, and has commenced manufacturing or production of an article or thing on or before the 31st day of March, 2024 and,?

(i)

the business is not formed by splitting up, or the reconstruction, of a business already in existence;

(ii)

does not use any machinery or plant previously used for any purpose.

Explanation 1.?For the purposes of sub-clause (ii), any machinery or plant which was used outside India by any other person shall not be regarded as machinery or plant previously used for any purpose, if the following conditions are fulfilled, namely:?

(A)

such machinery or plant was not, at any time previous to the date of the installation, used in India;

(B)

such machinery or plant is imported into India from any country outside India; and

(C)

no deduction on account of depreciation in respect of such machinery or plant has been allowed or is allowable under the provisions of this Act in computing the total income of any person for any period prior to the date of installation of machinery or plant by the person.

Explanation 2.?Where any machinery or plant or any part thereof previously used for any purpose is put to use by the assessee and the total value of such machinery or plant or part thereof does not exceed twenty per cent. of the total value of the machinery or plant used by the assessee, then, for the purposes of sub-clause (ii), the condition specified therein shall be deemed to have been complied with;

(b)

the assessee is not engaged in any business other than the business of manufacture or production of any article or thing and research in relation to, or distribution of, such article or thing manufactured or produced by it.

Explanation.?For the removal of doubts, it is hereby clarified that the business of manufacture or production of any article or thing shall include the business of generation of electricity, but not include a business of,?

(i)

development of computer software in any form or in any media;

(ii)

mining;

(iii)

conversion of marble blocks or similar items into slabs;

(iv)

bottling of gas into cylinder;

(v)

printing of books or production of cinematograph film; or

(vi)

any other business as may be notified by the Central Government in this behalf;

(c)

the total income of the assessee has been computed,?

(i)

without any deduction under the provisions of section 10AA

or clause (iia) of sub-section (1) of section 32 or section 33AB or section 33ABA or sub-clause (ii) or sub-clause (iia) or

sub-clause (iii) of sub-section (1) or sub-section (2AA) of section 35 or section 35AD or section 35CCC or under any of the provisions of Chapter VI-A other than the provisions of section 80JJAA;

(ii)

without set off of any loss carried forward or depreciation from any earlier assessment year, if such loss or depreciation is attributable to any of the deductions referred to in clause (i); and

(iii)

by claiming the depreciation, if any, under section 32, other than clause (ia) of sub-section (1) of the said section, determined in such manner as may be prescribed.

(3)

The loss and depreciation referred to in sub-clause (ii) of clause (c) of sub-section (2) shall be deemed to have been given full effect to and no further deduction for such loss shall be allowed for any subsequent year.

(4) Where it appears to the Assessing Officer that, owing to the close connection between the assessee to which this section applies and any other person, or for any other reason, the course of business between them is so arranged that the business transacted between them produces to the assessee more than the ordinary profits which might be expected to arise in such business, the Assessing Officer shall, in computing the profits and gains of such business for the purposes of this section, take the amount of profits as may be reasonably deemed to have been derived therefrom:

Provided that in case the aforesaid arrangement involves a specified domestic transaction referred to in section 92BA, the amount of profits from such transaction shall be determined having regard to arm's length price as defined in clause (ii) of section 92F:

Provided further that the amount, being profits in excess of the amount of the profits determined by the Assessing Officer, shall be deemed to be the income of the assessee.

(5)

Nothing contained in this section shall apply unless the option is exercised by the person in the prescribed manner on or before the due date specified under sub-section (1) of section 139 for furnishing the first of the returns of income for any previous year relevant to the assessment year commencing on or after the 1st day of April, 2024, and such option once exercised shall apply to subsequent assessment years:

Provided that once the option has been exercised for any previous year shall not be allowed to be withdrawn for the same or any other previous year."

55.

In section 115BB of the Income-tax Act, for the Explanation, the following shall be substituted with effect from the 1st day of April, 2024, namely:—

'Provided that nothing contained in this section shall apply to income by way of winnings from any online game for the assessment year beginning on or after the 1st - day of April, 2024

Explanation.—For the purposes of this section,—

(i)

"horse race" shall have the meaning assigned to it in section 74A;

(ii)

"online game" shall have the meaning assigned to it in section 115BBJ.'

56.

After section 115BBI of the Income-tax Act, the following section shall be inserted with effect from the 1st day of April, 2024, namely:—

'115BBJ. Notwithstanding anything contained in any other provisions of this Act, where the total income of an assessee includes any income by way of winnings from any online game, the income-tax payable shall be the aggregate of—

(i)

the amount of income-tax calculated on net winnings from such online games during the previous year, computed in the manner as may be prescribed, at the rate of thirty per cent.; and

(ii)

the amount of income-tax with which the assessee would have been chargeable had his total income been reduced by the net winnings referred to in clause (i).

Explanation.—For the purposes of this section,—

(i)

"computer resource" shall have the same meaning as assigned to it in clause (e) of the Explanation to section 144B;

(ii)

"internet" means the combination of computer facilities and electromagnetic transmission media, and related equipment and software, comprising the interconnected worldwide network of computer networks that transmits information based on a protocol for controlling such transmission;

(iii)

"online game" means a game that is offered on the internet and is accessible by a user through a computer resource including any telecommunication device.'.

57.

In section 115JC of the Income-tax Act, for sub-section (5), the following sub-section shall be substituted with effect from the 1st day of April, 2024, namely:?

"(5) The provisions of this section shall not apply to a person, where?

(i)

such person has exercised the option referred to in sub-section (5) of section 115BAC or sub-section (5) of section 115BAD or sub-section (5) of section 115BAE; or

(ii)

income-tax payable in respect of the total income of such person is computed under sub-section (1A) of section 115BAC.".

58.

In section 115JD of the Income-tax Act, for sub-section (7), the following sub-section shall be substituted with effect from the 1st day of April, 2024, namely:?

"(7) The provisions of this section shall not apply to a person, where?

(i)

such person has exercised the option referred to in sub-section (5) of section 115BAC or sub-section (5) of section 115BAD or sub-section (5) of section 115BAE; or

(ii)

income-tax payable in respect of the total income of such person is computed under sub-section (1A) of section 115BAC.".

59.

In section 115TD of the Income-tax Act,?

(i)

in sub-section (3),?

(a)

in clause (ii), in sub-clause (b), for the word "rejected.", the words "rejected; or" shall be substituted;

(b)

after clause (ii), the following clause shall be inserted, namely:?

"(iii) it fails to make an application in accordance with the provisions of clause (i) or clause (ii) or clause (iii) of the first proviso to clause (23C) of section 10 or sub-clause (i) or sub-clause (ii) or sub-clause (iii) of clause (ac) of sub-section (1) of section 12A, within the period specified in the said clauses or sub-clauses, as the case may be, which expires in the said previous year.";

(ii)

in sub-section (5), in clause (ii), after the word, brackets and figures "clause (ii)", the words, brackets and figures "clause (ii), or clause (iii)," shall be inserted;

(iii)

in the Explanation, in clause (i),?

(a)

in sub-clause (b), after the word, brackets and figure "sub-section (3);", the word "or" shall be inserted;

(b)

after sub-clause (b), the following sub-clause shall be inserted, namely:?

"(c) the last date for making an application for registration under sub-clause (i) or sub-clause (ii) or sub-clause (iii) of clause (ac) of sub-section (1) of section 12A or for making an application for approval under clause (i) or clause (ii) or

clause (iii) of the first proviso to clause (23C) of section 10, as the case may be, in a case referred to in clause (iii) of sub-section (3);".

60.

In section 115UA of the Income-tax Act, after sub-section (3), the following sub-section shall be inserted with effect from the 1st day of April, 2024, namely:?

"(3A) The provisions of sub-section (1) shall not apply in respect of any sum referred to in clause (xii) of sub-section (2) of section 56, received by a unit holder from a business trust."

61.

In section 115UB of the Income-tax Act, in Explanation 1, in clause (a), after the words and figures "Securities and Exchange Board of India Act, 1992 or", the words, brackets and figures "regulated under the International Financial Services Centres Authority (Fund Management) Regulations, 2022 made" shall be inserted.

62.

In section 115VP of the Income-tax Act,?

(i)

In sub-section (2), after the proviso, the following proviso shall be inserted, namely:?

"Provided further that a Unit of an International Financial Services Centre which has availed of deduction under section 80LA may make an application within three months from the date on which such deduction ceases.";

(ii)

after sub-section (5), the following Explanation shall be inserted, namely:?

'Explanation.?For the purposes of this section "International Financial Services Centre" shall have the same meaning as assigned to it in clause (q) of section 2 of the Special Economic Zones Act, 2005.'

63.

In section 116 of the Income-tax Act, in clause (cca), after the words "Joint Commissioners of Income-tax", the words and brackets "or Joint Commissioners of Income-tax (Appeals)" shall be inserted.

64.

In section 119 of the Income-tax Act, for the words and brackets "the Commissioner (Appeals)" and "a Commissioner (Appeals)", the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" and "a Joint Commissioner (Appeals) or a Commissioner (Appeals)" shall respectively be substituted.

65.

In section 131 of the Income-tax Act, for the words and brackets ", Commissioner (Appeals)", the words and brackets ", Joint Commissioner (Appeals), Commissioner (Appeals)" shall be substituted.

66.

In section 132 of the Income-tax Act,?

(a)

for sub-section (2), the following sub-section shall be substituted, namely:?

"(2) The authorised officer may requisition the services of,?

(i)

any police officer or of any officer of the Central Government, or of both; or

(ii)

any person or entity as may be approved by the Principal Chief Commissioner or the Chief Commissioner or the Principal Director General or the Director General, in accordance with the procedure, as may be prescribed, in this regard, to assist him for all or any of the purposes specified in sub-section (1) or sub-section (1A) and it shall be the duty of every such officer or person or entity to comply with such requisition.";

(b)

for sub-section (9D), the following sub-section shall be substituted, namely:?

"(9D) The authorised officer may, during the course of the search or seizure or within a period of sixty days from the date on which the last of the authorisations for search was executed, make a reference to,?

(i)

a Valuation Officer referred to in section 142A; or

(ii)

any other person or entity or any valuer registered by or under any law for the time being in force, as may be approved

by the Principal Chief Commissioner or the Chief Commissioner or the Principal Director General or the Director General, in accordance with the procedure, as may be prescribed, in this regard, who shall estimate the fair market value of the property in the manner as may be prescribed, and submit a report of the estimate to the authorised officer or the Assessing Officer, as the case may be, within a period of sixty days from the date of receipt of such reference.";

(c)

for Explanation 1, the following Explanation shall be substituted and shall be deemed to have been substituted with effect from the 1st day of April, 2022, namely:—

"Explanation 1.—For the purposes of sub-sections (9A), (9B) and (9D), the last of authorisation for search shall be deemed to have been executed,—

(a)

in the case of search, on the conclusion of search as recorded in the last panchnama drawn in relation to any person in whose case the warrant of authorisation has been issued; or

(b)

in the case of requisition under section 132A, on the actual receipt of the books of account or other documents or assets by the authorised officer."

67.

In section 133 of the Income-tax Act, for the words and brackets "the Commissioner (Appeals)" wherever they occur, the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted.

68.

In section 134 of the Income-tax Act, for the words and brackets "the Commissioner (Appeals)" at both the places where they occur, the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted.

69.

In section 135A of the Income-tax Act, in sub-section (2), after the proviso, the following proviso shall be inserted and shall be deemed to have been inserted with effect from the 1st day of April, 2022, namely:—

"Provided further that the Central Government may amend any direction, issued under this sub-section on or before the 31st day of March, 2022, by notification in the Official Gazette."

70.

In section 140B of the Income-tax Act, in sub-section (4), with effect from the 1st day of April, 2022,—

(i)

in the opening portion, the words "or, as the case may be, on the amount by which the advance tax paid falls short of the assessed tax," shall be omitted and shall be deemed to have been omitted;

(ii)

in clause (a), in sub-clause (i), after the words "earlier return", the words ", if any" shall be inserted and shall be deemed to have been inserted

71.

In section 142 of the Income-tax Act,—

(a)

for sub-section (2A), the following sub-section shall be substituted, namely:—

"(2A) If, at any stage of the proceedings before him, the Assessing Officer, having regard to the nature and complexity of the accounts, volume of the accounts, doubts about the correctness of the accounts, multiplicity of transactions in the accounts or specialised nature of business activity of the assessee, and the interests of the revenue, is of the opinion that it is necessary so to do, he may, with the previous approval of the Principal Chief Commissioner or Chief Commissioner or Principal Commissioner or Commissioner, direct the assessee to get either or both of the following, namely:—

(i)

to get the accounts audited by an accountant, as defined in the Explanation below sub-section (2) of section 288, nominated by the Principal Chief Commissioner or Chief Commissioner or Principal Commissioner or Commissioner in this behalf and to furnish a report of such audit in the prescribed form duly signed and verified by such accountant and setting forth such particulars, as may be prescribed, and such other particulars as the Assessing Officer may require;

(ii)

to get the inventory valued by a cost accountant, nominated by the Principal Chief Commissioner or Chief Commissioner or Principal Commissioner or Commissioner in this behalf and to furnish a report of such inventory valuation in the prescribed form duly signed and verified by such cost accountant and setting forth such particulars, as may be prescribed, and such other particulars as the Assessing Officer may require:

Provided that the Assessing Officer shall not direct the assessee to get the accounts so audited or inventory so valued unless the assessee has been given a reasonable opportunity of being heard.";

(i)

for the words, brackets, figure and letter "audit under sub-section (2A)

(including the remuneration of the accountant)", the words, brackets, figure and letter "audit or inventory valuation under sub-section (2A) (including the remuneration of the accountant or the cost accountant, as the case may be)"

shall be substituted;

(ii)

in the proviso,?

(I)

for the words "audit under", the words "audit or inventory valuation under" shall be substituted;

(II)

for the words and brackets "such audit (including remuneration of the accountant)", the words and brackets "such audit or inventory valuation (including the remuneration of the accountant or the cost accountant, as the case may be)" shall be substituted;

(c)

in sub-section (3), after the word "audit", the words "or inventory valuation"

shall be inserted;

(d)

after sub-section (4), the following Explanation shall be inserted, namely:?

'Explanation.?For the purposes of this section, "cost accountant" means a cost accountant as defined in clause (b) of sub-section (1) of section 2 of the Cost and Works Accountants Act, 1959 and who holds a valid certificate of practice under sub-section (1) of section 6 of the said Act.'

72.

In section 148 of the Income-tax Act,?

(a)

for the words "such period, as may be specified in such notice", the words

"a period of three months from the end of the month in which such notice is issued, or such further period as may be allowed by the Assessing Officer on the basis of an application made in this regard by the assessee" shall be substituted;

(b)

after the second proviso and before Explanation 1, the following proviso shall be inserted, namely:?

"Provided also that any return of income, required to be furnished by an assessee under this section and furnished beyond the period allowed shall not be deemed to be a return under section 139."

73.

In section 149 of the Income-tax Act, in sub-section (1),?

(I)

after the second proviso, the following provisos shall be inserted, namely:?

"Provided also that for cases referred to in clauses (i), (iii) and (iv) of Explanation 2 to section 148, where,?

(a)

a search is initiated under section 132; or

(b)

a search under section 132 for which the last of authorisations is executed; or

(c)

requisition is made under section 132A, after the 15th day of March of any financial year and the period for issue of notice under section 148 expires on the 31st day of March of such financial year, a period of fifteen days shall be excluded for the purpose of computing the period of limitation as per this section and the notice issued under section

148 in such case shall be deemed to have been issued on the 31st day of March of such financial year:

Provided also that where the information as referred to in Explanation 1 to section 148 emanates from a statement recorded or documents impounded under section 131 or section 133A, as the case may be, on or before the 31st day of March of a financial year, in consequence of,?

(a)

a search under section 132 which is initiated; or

(b)

a search under section 132 for which the last of authorisations is executed; or

(c)

a requisition made under section 132A, after the 15th day of March of such financial year, a period of fifteen days shall be excluded for the purpose of computing the period of limitation as per this section and the notice issued under clause (b) of section 148A in such case shall be deemed to have been issued on the 31st day of March of such financial year:";

(II)

in the sixth proviso, for the words "less than seven days", the words "does not exceed seven days" shall be substituted.

74.

In section 151 of the Income-tax Act,?

(a)

in clause (ii), the words "where there is no Principal Chief Commissioner or Principal Director General," shall be omitted;

(b)

after clause (ii), the following proviso shall be inserted, namely:?

"Provided that the period of three years for the purposes of clause (i) shall be computed after taking into account the period of limitation as excluded by the third or fourth or fifth provisos or extended by the sixth proviso to sub-section (1) of section 149.".

75.

In section 153 of the Income-tax Act,?

(I)

in sub-section (1),?

(a)

in the third proviso, the words "or after" shall be omitted;

(b)

after the third proviso, the following proviso shall be inserted, namely:?

"Provided also that in respect of an order of assessment relating to the assessment year commencing on or after the 1st day of April, 2022, the provisions of this sub-section shall have effect, as if for the words "twenty-one months", the words "twelve months" had been substituted.";

(II)

in sub-section (1A), for the words "nine months", the words "twelve months"

Shall be substituted;

(III)

in sub-section (3),?

(a)

for the words, brackets and figures "sub-sections (1) and (2)", the words, brackets, figures and letter "sub-sections (1), (1A) and (2)" shall be substituted;

(b)

for the words "Principal Commissioner or Commissioner" at both the places where they occur, the words "Principal Chief Commissioner or Chief Commissioner or Principal Commissioner or Commissioner, as the case may be," shall be substituted;

(IV)

after sub-section (3), the following sub-section shall be inserted, namely:?

"(3A) Notwithstanding anything contained in sub-sections (1), (1A), (2) and (3), where an assessment or reassessment is pending on the date of initiation of search under section 132 or making of requisition under section 132A, the period available for completion of assessment or reassessment, as the case may be, under the said sub-sections shall,?

(a)

in a case where such search is initiated under section 132 or such requisition is made under section 132A;

(b)

in the case of an assessee, to whom any money, bullion, jewellery or other valuable article or thing seized or requisitioned belongs to;

(c)

in the case of an assessee, to whom any books of account or documents seized or requisitioned pertains or pertain to, or any information contained therein, relates to, be extended by twelve months.";

(V)

in sub-section (4), for the words, brackets and figures "sub-sections (1), (2) and (3)" at both the places where they occur, the words, brackets, figures and letters

"sub-sections (1), (1A), (2), (3) and (3A)" shall be substituted;

(VI)

in sub-section (5), for the words "the Principal Commissioner or Commissioner", the words "the Principal Chief Commissioner or Chief Commissioner or Principal Commissioner or Commissioner, as the case may be," shall be substituted;

(VII)

in sub-section (6),?

(a)

in the opening portion, for the words, brackets and figures

"sub-sections (1) and (2)", the words, brackets, figures and letter "sub-sections (1), (1A) and (2)" shall be substituted;

(b)

in clause (i), after the words "passed by the", the words "Principal Chief Commissioner or Chief Commissioner or" shall be inserted;

(VIII)

in Explanation 1,?

(a)

in clause (iv),?

(i)

in the opening portion, after the word "audited", the words "or inventory valued" shall be inserted;

(ii)

in sub-clause (a), after the words "such audit", the words "or inventory valuation" shall be inserted;

(b)

in the first proviso, for the word, brackets and figures

"sub-sections (1), (2)", the word, brackets, figures and letter "sub-sections (1),(1A), (2)" shall be substituted.

76.

In section 154 of the Income-tax Act, in sub-section (2), in clause (b), for the words and brackets "the Commissioner (Appeals)", the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted.

77.

In section 155 of the Income-tax Act,?

(a)

in sub-section (11A), after the words, figures and letter "section 10A or" at both the places where they occur, the words, figures and letters "section 10AA or" shall be inserted with effect from the 1st day of April, 2024;

(b)

after sub-section (18), the following sub-section shall be inserted, namely:?

"(19) Where any deduction in respect of any expenditure incurred for the purchase of sugarcane has been claimed by an assessee, being a co-operative society engaged in the business of manufacture of sugar, and such deduction has been disallowed wholly or partly in any previous year commencing on or before the 1st day of April, 2014, the Assessing Officer shall, on the basis of an application made by such assessee in this regard, recompute the total income of the assessee for such previous year after allowing deduction to the extent such expenditure is incurred at a price which is

equal to or less than the price fixed or approved by the Government for that previous year, and the provisions of section 154 shall, so far as may be, apply thereto, and the period of four years specified in sub-section (7) of that section shall be reckoned from the end of previous year commencing on the 1st day of April, 2022.";

(c)

after sub-section (19) and before the Explanation, the following sub-section shall be inserted with effect from the 1st day of October, 2023, namely:—

"(20) Where any income has been included in the return of income furnished by an assessee under section 139 for any assessment year (herein referred to as the relevant assessment year) and tax on such income has been deducted at source and paid to the credit of the Central Government in accordance with the provisions of Chapter XVII-B in a subsequent financial year, the Assessing Officer shall, on an application made by the assessee in such form, as may be prescribed, within a period of two years from the end of the financial year in which such tax was deducted at source, amend the order of assessment or any intimation allowing credit of such tax deducted at source in the relevant assessment year, and the provisions of section 154 shall, so far as may be, apply thereto and the period of four years specified in sub-section (7) of that section shall be reckoned from the end of the financial year in which such tax has been deducted:

Provided that the credit of such tax deducted at source shall not be allowed in any other assessment year.".

78.

In section 158A of the Income-tax Act, in the Explanation, for the words and brackets "the Commissioner (Appeals)", the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted.

79.

In section 158AB of the Income-tax Act, for the words and brackets "the Commissioner (Appeals)" wherever they occur, the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted.

80.

For section 170A of the Income-tax Act, the following section shall be substituted, namely:—

'170A.(1) Notwithstanding anything to the contrary contained in section 139, in a case of business reorganisation, where prior to the date of order of a High Court or tribunal or an Adjudicating Authority as defined in clause (1) of section 5 of the Insolvency and Bankruptcy Code, 2016 (hereinafter referred to as order in respect of business reorganisation), as the case may be, any return of income has been furnished by an entity to which such order applies under the provisions of section 139 for any assessment year relevant to the previous year to which such order applies, the successor shall furnish, within a period of six months from the end of the month in which the order was issued, a modified return in such form and manner, as may be prescribed, in accordance with and limited to the said order.

(2)

Where the assessment or reassessment proceedings for an assessment year relevant to a previous year to which the order in respect of the business reorganisation applies,?

(a)

have been completed on the date of furnishing of the modified return in accordance with the provisions of sub-section (1), the Assessing Officer shall pass an order modifying the total income of the relevant assessment year determined in such assessment or reassessment, in accordance with such order and taking into account the modified return so furnished;

(b)

are pending on the date of furnishing of the modified return in accordance with the provisions of sub-section (1), the Assessing Officer shall pass an order assessing or reassessing the total income of the relevant assessment year in accordance with the order of the business reorganisation and taking into account the modified return so furnished.

(3)

Save as otherwise provided in this section, in an assessment or reassessment made in respect of an assessment year under this section, all other provisions of this Act shall apply and the tax shall be chargeable at the rate or rates as applicable to such assessment year.

Explanation.—In this section, the expressions?

(i)

"business reorganisation" means the reorganisation of business involving the amalgamation or demerger or merger of business of one or more persons;

(ii)

"successor" means all resulting companies in a business reorganisation, whether or not the company was in existence prior to such business reorganisation.'.

81.

In section 177 of the Income-tax Act, in sub-section (2), for the words and brackets "the Commissioner (Appeals)", the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted.

82.

In section 189 of the Income-tax Act, in sub-section (2), for the words and brackets "the Commissioner (Appeals)", the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted.

83.

In section 192A of the Income-tax Act, the second proviso shall be omitted

84.

In section 193 of the Income-tax Act, in the proviso, for clause (ix), the following clause shall be substituted, namely:?

'(ix) any interest payable to a "business trust", as defined in clause (13A) of section 2, in respect of any securities, by a special purpose vehicle referred to in the Explanation to clause (23FC) of section 10.'

85.

In section 194B of the Income-tax Act,?

(i)

for the marginal heading, the following marginal heading shall be substituted, namely:?

"Winnings from lottery or crossword puzzle, etc.";

(ii)

for the words "in an amount exceeding ten thousand rupees", the words

"or from gambling or betting of any form or nature whatsoever, being the amount or the aggregate of amounts exceeding ten thousand rupees during the financial year"

shall be substituted;

(iii)

after the proviso, the following shall be inserted, namely:?

'Provided further that nothing contained in this section shall apply to deduction of income-tax on winnings from any online game on or after the 1st day of April, 2023

Explanation.?For the purposes of this section, "online game" shall have the meaning assigned to it in clause (iii) of the Explanation to section 115BBJ.'

86.

After section 194B of the Income-tax Act, the following section shall be inserted, namely:?

'194BA.(1) Notwithstanding anything contained in any other provisions of this Act, any person responsible for paying to any person any income by way of winnings from any online game during the financial year shall deduct income-tax on the net winnings in his user account, computed in the manner as may be prescribed, at the end of the financial year at the rates in force:

Provided that in a case where there is a withdrawal from user account during the financial year, the income-tax shall be deducted at the time of such withdrawal on the net winnings comprised in such withdrawal, as well as on the remaining amount of net winnings in the user account, computed in the manner as may be prescribed, at the end of the financial year.

(2)

In a case where the net winnings are wholly in kind or partly in cash, and partly in kind but the part in cash is not sufficient to meet the liability of deduction of tax in respect of whole of the net winnings, the person responsible for paying shall, before releasing the winnings, ensure that tax has been paid in respect of the net winnings.

(3)

If any difficulty arises in giving effect to the provisions of this section, the Board may, with the previous approval of the Central Government, issue guidelines for the purposes of removing the difficulty.

(4)

Every guideline issued by the Board under sub-section (3) shall, as soon as may be after it is issued, be laid before each House of Parliament, and shall be binding on the income-tax authorities and on the person liable to deduct income-tax.

Explanation. For the purposes of this section?

(a)

"computer resource", "internet" and "online game" shall have the meanings respectively assigned to them in section 115BBJ;

(b)

"online gaming intermediary" means an intermediary that offers one or more online games;

(c)

"user" means any person who accesses or avails any computer resource of an online gaming intermediary;

(d)

"user account" means account of a user registered with an online gaming intermediary.'.

87.

In section 194BB of the Income-tax Act, for the words "in an amount exceeding ten thousand rupees", the words ", being the amount or aggregate of amounts exceeding ten thousand rupees during the financial year," shall be substituted.

88.

In section 194LC of the Income-tax Act, with effect from the 1st day of July, 2023,?

(i)

in sub-section (1), after the proviso, the following proviso shall be inserted, namely:?

?Provided further that in case of income by way of interest referred to in clause (ic) of sub-section (2), the income-tax shall be deducted at the rate of nine per cent.?

(ii)

in sub-section (2),?

(I)

in clause (ib), for the word ?and?, the word ?or? shall be substituted;

(II)

after clause (ib), the following clause shall be inserted, namely:?

?(ic) in respect of money borrowed by it from a source outside India by way of issuance of any long-term bond or rupee denominated bond on or after the 1st day of July, 2023, which is listed only on a recognised stock exchange located in an International Financial Services Centre; and?.

89.

In section 194N of the Income-tax Act, after the second proviso, the following proviso shall be inserted, namely:?

'Provided also that where the recipient is a co-operative society, the provisions of this section shall have effect, as if for the words "one crore rupees", the words

90.

"three crore rupees" had been substituted.'

In section 194R of the Income-tax Act, the Explanation shall be numbered as Explanation 1 thereof, and after Explanation 1 as so renumbered, the following Explanation shall be inserted, namely:?

"Explanation 2. For the removal of doubts, it is clarified that the provisions of sub-section (1) shall apply to any benefit or perquisite, whether in cash or in kind or partly in cash and partly in kind."

91.

In section 196A of the Income-tax Act, in sub-section (1), the following proviso shall be inserted, namely:?

"Provided that where an agreement referred to in sub-section (1) of section 90 or sub-section (1) of section 90A applies to the payee and if the payee has furnished a certificate referred to in sub-section (4) of section 90 or sub-section (4) of section 90A, as the case may be, then, income-tax thereon shall be deducted at the rate of twenty per cent. or at the rate or rates of income-tax provided in such agreement for such income, whichever is lower."

92.

In section 197 of the Income-tax Act, in sub-section (1), after the figures and letters "194LA," the figures and letters "194LBA," shall be inserted.

93.

In section 206AB of the Income-tax Act,?

(i)

in sub-section (1), after the figures and letter "194B," the figures and letters "194BA," shall be inserted;

(ii)

in sub-section (3), for the proviso, the following proviso shall be substituted, namely:?

"Provided that the specified person shall not include?

(i)

a non-resident who does not have a permanent establishment in India; or

(ii)

a person who is not required to furnish the return of income for the assessment year relevant to the said previous year and is notified by the Central Government in the Official Gazette in this behalf."

94.

In section 206C of the Income-tax Act, in sub-section (1G), with effect from the 1st day of July, 2023,?

(i)

in clause (a), the words "out of India" at both the places where they occur shall be omitted;

(ii)

in the long line, for the word "five", the word "twenty" shall be substituted;

(iii)

in the first proviso, for the words "and is for a purpose other than purchase of overseas tour program package", the words "and is for the purposes of education or medical treatment" shall be substituted;

(iv)

in the second proviso, for the words "is for a purpose other than purchase of overseas tour program package", the words "is for the purposes of education or medical treatment" shall be substituted.

95.

In section 206CC of the Income-tax Act, in sub-section (1), the following proviso shall be inserted with effect from the 1st day of July, 2023, namely:?

"Provided that the rate of tax collection at source under this section shall not exceed twenty per cent.?"

96.

In section 206CCA of the Income-tax Act,?

(i)

in sub-section (1), the following proviso shall be inserted with effect from the day of July, 2023, namely:?

"Provided that the rate of tax collection at source under this section shall not exceed twenty per cent.?"

(ii)

in sub-section (3), for the proviso, the following proviso shall be substituted, namely:?

"Provided that the specified person shall not include?

(i)

a non-resident who does not have a permanent establishment in India; or

(ii)

a person who is not required to furnish the return of income for the assessment year relevant to the said previous year and is notified by the Central Government in the Official Gazette in this behalf."

97.

In section 241A of the Income-tax Act, the following proviso shall be inserted, namely:?

"Provided that the provisions of this section shall not apply from the 1st day of April, 2023."

98.

In section 244A of the Income-tax Act,?

(a)

in sub-section (1), in clause (a), after sub-clause (ii), the following proviso shall be inserted with effect from the 1st day of October, 2023, namely:?

"Provided that where refund arises as a result of an order passed by the Assessing Officer in consequence of an application made by the assessee under sub-section (20) of section 155, such interest shall be calculated at the rate of one-half per cent. for every month or part of a month comprised in the period from the date of such application to the date on which the refund is granted;"

(b)

in sub-section (1A), the following proviso shall be inserted, namely:?

"Provided that where proceedings for assessment or reassessment are pending in respect of an assessee, in computing the period for determining the additional interest payable to such assessee under this sub-section, the period beginning from the date on which such refund is withheld by the Assessing Officer in accordance with and subject to provisions of sub-section (2) of section 245 and ending with the date on which such assessment or reassessment is made, shall be excluded."

99.

For section 245 of the Income-tax Act, the following section shall be substituted, namely:?

"245.(1) Where under any of the provisions of this Act, a refund becomes due or is found to be due to any person, the Assessing Officer or Commissioner or Principal Commissioner or Chief Commissioner or Principal Chief Commissioner, as the case may be, may, in lieu of payment of the refund, set off the amount to be refunded or any part of that amount, against the sum, if any, remaining payable under this Act by the person to whom the refund is due, after giving an intimation in writing to such person of the action proposed to be taken under this sub-section.

(2)

Where a part of the refund is set off under the provisions of sub-section (1), or where no such amount is set off, and refund becomes due to a person, and the Assessing Officer, having regard to the fact that proceedings for assessment or reassessment are pending in the case of such person, is of the opinion that the grant of refund is likely to adversely affect the revenue, he may, for reasons to be recorded in writing and with the previous approval of the Principal Commissioner or the Commissioner, as the case may be, withhold the refund up to the date on which such assessment or reassessment is made."

100.

In section 245D of the Income-tax Act, in sub-section (9), for clause (iv), the following clause shall be substituted and shall be deemed to have been substituted with effect from the 1st day of February, 2021, namely:?

"(iv) where the time-limit for amending any order or filing of rectification application under sub-section (6B) expires on or after the 1st day of February, 2021, but before the 1st day of February, 2022, such time-limit shall be extended to the 30th - day of September, 2023."

101.

In section 245MA of the Income-tax Act, in sub-section (4), after the proviso, the following proviso shall be inserted, namely:?

"Provided further that the Central Government may amend any direction, issued under this sub-section on or before the 31st day of March, 2023, by notification in the Official Gazette."

102.

In section 245R of the Income-tax Act, in sub-section (10), after the proviso, the following proviso shall be inserted, namely:?

"Provided further that the Central Government may amend any direction, issued under this sub-section on or before the 31st day of March, 2023, by notification in the Official Gazette."

103.

In Chapter XX of the Income-tax Act,?

(a)

for the sub-heading "A. Appeals to the Deputy Commissioner (Appeals) and Commissioner (Appeals)", the sub-heading "A. Appeals to the Joint Commissioner (Appeals) and Commissioner (Appeals)" shall be substituted;

(b)

for section 246, the following section shall be substituted, namely:?

'246.(1) Any assessee aggrieved by any of the following orders of an Assessing Officer (below the rank of Joint Commissioner) may appeal to the Joint Commissioner (Appeals) against?

(a)

an order being an intimation under sub-section (1) of section 143, where the assessee objects to the making of adjustments, or any order of assessment under sub-section (3) of section 143 or section 144, where the assessee objects to the amount of income assessed, or to the amount of tax determined, or to the amount of loss computed, or to the status under which he is assessed;

(b)

an order of assessment, reassessment or recomputation under section 147;

(c)
an order being an intimation under sub-section (1) of section 200A;

(d)
an order under section 201;

(e)
an order being an intimation under sub-section (6A) of section 206C;

(f)
an order under sub-section (1) of section 206CB;

(g)
an order imposing a penalty under Chapter XXI; and

(h)
an order under section 154 or section 155 amending any of the orders mentioned in clauses (a) to (g):

Provided that no appeal shall be filed before the Joint Commissioner (Appeals) if an order referred to in this sub-section is passed by or with the prior approval of, an income-tax authority above the rank of Deputy Commissioner.

(2)
Where any appeal filed against an order referred to in sub-section (1) is pending before the Commissioner (Appeals), the Board or an income-tax authority so authorised by the Board in this regard, may transfer such appeal and any matter arising out of or connected with such appeal and which is so pending, to the Joint Commissioner (Appeals) who may proceed with such appeal or matter, from the stage at which it was before, it was so transferred.

(3)
Notwithstanding anything contained in sub-section (1) and sub-section (2), the Board or an income-tax authority so authorised by the Board in this regard, may transfer any appeal which is pending before a Joint Commissioner (Appeals) and any matter arising out of or connected with such appeal and which is so pending, to the Commissioner (Appeals) who may proceed with such appeal or matter, from the stage at which it was before, it was so transferred.

(4)
Where an appeal is transferred under the provisions of sub-section (2) or sub-section (3), the appellant shall be given an opportunity of being reheard.

(5)
For the purposes of disposal of appeal by the Joint Commissioner (Appeals), the Central Government may make a scheme, by notification in the Official Gazette, so as to dispose of appeals in an expedient manner with transparency and accountability, by eliminating the interface between the Joint Commissioner (Appeals) and the appellant, in the course of appellate proceedings to the extent technologically feasible and direct that any of the provisions of this Act relating to jurisdiction and procedure for disposal of appeals by the Joint Commissioner (Appeals), shall not apply or shall apply with such exceptions, modifications and adaptations as may be specified in the notification.

(6)
For the purposes of sub-section (1), the Board may specify that the provisions of that sub-section shall not apply to any case or any class of cases.

Explanation.—For the purposes of this section, "status" means the category under which the assessee is assessed as "individual", "Hindu undivided family" and so on.¹.

104.

In section 249 of the Income-tax Act,²

(a)
in sub-section (1), in the opening portion, after the figures, letters and words "1st day of October, 1998", the words, brackets, figures and letters "or to the Joint Commissioner (Appeals) on or after the 1st day of April, 2023," shall be inserted;

(b)
in sub-section (3), for the words and brackets "Commissioner (Appeals)", the words and brackets "Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted;

(c)
in sub-section (4), in the proviso, for the words and brackets "Commissioner (Appeals)", the words and brackets "Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted.

105.

In section 250 of the Income-tax Act,?

(a)

in sub-sections (1), (3), (4), (5), (6) and (7), for the words and brackets "Commissioner (Appeals)" wherever they occur, the words and brackets "Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted;

(b)

for sub-section (6A), the following sub-section shall be substituted, namely:?

"(6A) In every appeal, the Joint Commissioner (Appeals) or the Commissioner (Appeals), as the case may be, where it is possible, may hear and decide such appeal within a period of one year from the end of the financial year in which such appeal is filed before him under sub-section (1) or transferred to him under sub-section (2) or sub-section (3) of section 246 or filed before him under sub-section (1) of section 246A, as the case may be.";

(c)

in sub-section (6C), after the proviso, the following proviso shall be inserted and shall be deemed to have been inserted with effect from the 1st day of April, 2022, namely:?

"Provided further that the Central Government may amend any direction, issued under this sub-section on or before the 31st day of March, 2022, by notification in the Official Gazette.".

106.

In section 251 of the Income-tax Act,?

(i)

for the marginal heading, the following marginal heading "Powers of the Joint Commissioner (Appeals) or the Commissioner (Appeals)." shall be substituted;

(ii)

after sub-section (1), the following sub-section shall be inserted, namely:?

"(1A) In disposing of an appeal, the Joint Commissioner (Appeals) shall have the following powers?

(a)

in an appeal against an order of assessment, he may confirm, reduce, enhance or annul the assessment;

(b)

in an appeal against an order imposing a penalty, he may confirm or cancel such order or vary it so as either to enhance or to reduce the penalty;

(c)

in any other case, he may pass such orders in the appeal as he thinks fit.";

(iii)

in sub-section (2), for the words and brackets "Commissioner (Appeals)", the words and brackets "Joint Commissioner (Appeals) or the Commissioner (Appeals), as the case may be," shall be substituted;

(iv)

in the Explanation,?

(a)

for the words and brackets "an appeal, the Commissioner (Appeals),", the words and brackets "an appeal, the Joint Commissioner (Appeals) or the Commissioner (Appeals)," shall be substituted;

(b)

for the words and brackets "raised before the Commissioner (Appeals)", the words and brackets "raised before the Joint Commissioner (Appeals) or the Commissioner (Appeals), as the case may be," shall be substituted.

107.

In section 253 of the Income-tax Act,?

(a)

in sub-section (1),?

(A)

in clause (a), after the word, figures and letter "section 271A,", the words, figures and letters "section 271AAB, section 271AAC, section 271AAD," shall be inserted;

(B)

after clause (a), the following clause shall be inserted, namely:?

"(aa) an order passed by a Joint Commissioner (Appeals) under section 154, section 250, section 270A, section 271, section 271A, section 271AAC, section 271AAD or section 271J; or";

(C)

for clause (c), the following clause shall be substituted, namely:?

"(c) an order passed by,?

(i)

a Principal Commissioner or Commissioner under section 12AA or section 12AB or under clause (vi) of sub-section (5) of section 80G or under section 263 or under section 270A or under section 271 or under section 272A or an order passed by him under section 154 amending any such order; or

(ii)

a Principal Chief Commissioner or Chief Commissioner or a Principal Director General or Director General or a Principal Director or Director under section 263 or under section 272A or an order passed by him under section 154 amending any such order; or";

(b)

in sub-section (2), for the words and brackets "Commissioner (Appeals)", the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted;

(c)

in sub-section (4),?

(i)

for the words and brackets "against the order of the Commissioner (Appeals)", the words "against an order" shall be substituted;

(ii)

for the words and brackets "any part of the order of the Commissioner (Appeals)", the words "any part of such order" shall be substituted.

108.

In section 264 of the Income-tax Act, in sub-section (4), for the words and brackets "the Commissioner (Appeals)" wherever they occur, the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted.

109.

In section 267 of the Income-tax Act, for the words and brackets "the Commissioner (Appeals)", the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted.

110.

In section 269SS of the Income-tax Act,?

(a)

after the second proviso and before the Explanation, the following proviso shall be inserted, namely:?

'Provided also that the provisions of this section shall have effect, as if for the words "twenty thousand rupees", the words "two lakh rupees" had been substituted in the case of any deposit or loan where,?

(a)

such deposit is accepted by a primary agricultural credit society or a primary co-operative agricultural and rural development bank from its member; or

(b)

such loan is taken from a primary agricultural credit society or a primary co-operative agricultural and rural development bank by its member.';

(b)

in the Explanation, for clause (ii), the following clause shall be substituted, namely:?

'(ii) "co-operative bank", "primary agricultural credit society" and "primary co-operative agricultural and rural development bank" shall have the meanings respectively assigned to them in the Explanation to sub-section (4) of section 80P;'.
111.

111.

In section 269T of the Income-tax Act,?

(a)

after the second proviso and before the Explanation, the following proviso shall be inserted, namely:?

'Provided also that the provisions of this section shall have effect, as if for the words "twenty thousand rupees", the words "two lakh rupees" had been substituted in the case of any deposit or loan where,?

(a)

such deposit is paid by a primary agricultural credit society or a primary co-operative agricultural and rural development bank to its member; or

(b)

such loan is repaid to a primary agricultural credit society or a primary co-operative agricultural and rural development bank by its member.;

(b)

in the Explanation, for clause (ii), the following clause shall be substituted, namely:?

'(ii) "co-operative bank", "primary agricultural credit society" and "primary co-operative agricultural and rural development bank" shall have the meanings respectively assigned to them in Explanation to sub-section (4) of section 80P;'.
112.

In section 270A of the Income-tax Act, for the words and brackets "the Commissioner (Appeals)" wherever they occur, the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted.
113.

In section 270AA of the Income-tax Act, in sub-section (6), after the words
114.

"No appeal under", the words and figures "section 246 or" shall be inserted In section 271 of the Income-tax Act, for the words and brackets "the Commissioner (Appeals)" wherever they occur, the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted.
115.

In section 271A of the Income-tax Act, for the words and brackets "the Commissioner (Appeals)", the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted.
116.

In section 271AAC of the Income-tax Act, for the words and brackets "the Commissioner (Appeals)", the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted.
117.

In section 271AAD of the Income-tax Act, for the words and brackets "the Commissioner (Appeals)" at both the places where they occur, the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted.
118.

In section 271C of the Income-tax Act, in sub-section (1),?

(A)

in clause (b),?

(I)

for the words "pay the whole", the words "pay or ensure payment of, the whole" shall be substituted;

(II)

in sub-clause (i), the word "or" shall be omitted;

(III)

after sub-clause (ii), the following sub-clauses shall be inserted, namely:?

"(iii) the first proviso to sub-section (1) of section 194R; or

(iv)

the proviso to sub-section (1) of section 194S; or";

(IV)

after sub-clause (iv) as inserted by the FinanceAct, 2023, the following sub-clause shall be inserted with effect from the 1st day of July, 2023, namely:?

"(v) sub-section (2) of section 194BA,";

(B)

in the long line, after the words "deduct or pay", the words "or ensure payment of," shall be inserted.
119.

Section 271FAA of the Income-tax Act shall be numbered as sub-section (1) thereof and in sub-section (1) as so renumbered, for the long line, the following shall be substituted, namely:?

"then, the prescribed income-tax authority under sub-section (1) of section 285BA may direct that such person shall pay, by way of penalty, a sum of fifty thousand rupees.

(2)

Where in the case of a person, referred to in clause (k) of sub-section (1) of section 285BA, who is required to furnish a statement under that section (herein referred to as the reporting financial institution) provides inaccurate information in the statement and the inaccuracy in such statement is due to false or inaccurate information furnished by the holder or holders of the relevant reportable account or accounts, the prescribed income-tax authority under sub-section (1) of section 285BA, shall direct that the reporting financial institution shall, in addition to the penalty under sub-section (1), if any, pay a sum of five thousand rupees for every inaccurate reportable account and the reporting financial institution shall be entitled to recover the sum so paid on behalf of such reportable account holder, or to retain out of any moneys that may be in its possession, or may come to it from every such reportable account holder, an amount equal to the sum so paid."

120.

In section 271J of the Income-tax Act, for the words and brackets "the Commissioner (Appeals)" at both the places where they occur, the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted.

121.

In section 274 of the Income-tax Act, in sub-section (2B), after the proviso, the following proviso shall be inserted and shall be deemed to have been inserted with effect from the 1st day of April, 2022, namely:?

"Provided further that the Central Government may amend any direction, issued under this sub-section on or before the 31st day of March, 2022, by notification in the Official Gazette".

122.

In section 275 of the Income-tax Act,?

(a)

for the words and brackets "the Commissioner (Appeals)" wherever they occur, the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted;

(b)

for the words and brackets "to the Commissioner (Appeals)" wherever they occur, the words and brackets "to the Joint Commissioner (Appeals) or to the Commissioner (Appeals)" shall be substituted.

123.

In section 276A of the Income-tax Act, after the proviso, the following proviso shall be inserted, namely:?

"Provided further that no proceeding shall be initiated under this section on or after the 1st day of April, 2023."

124.

In section 276B of the Income-tax Act,?

(A)

in the opening portion, the words "pay to the credit of the Central Government" shall be omitted;

(B)

in clause (a), for the words "the tax deducted", the words "pay to the credit of the Central Government, the tax deducted" shall be substituted;

(C)

for clause (b), the following clause shall be substituted, namely:?

'(b) pay tax or ensure payment of tax to the credit of the Central Government, as required by or under?

(i)

sub-section (2) of section 115-O;

(ii)

the proviso to section 194B;

(iii)

the first proviso to sub-section (1) of section 194R;

(iv)

the proviso to sub-section (1) of section 194S; or';

(D)

after sub-clause (iv) of clause (b) as substituted by the Finance Act, 2023, the following sub-clause shall be inserted with effect from the 1st day of July, 2023, namely:?

"(v) sub-section (2) of section 194BA,".

125.

In section 279 of the Income-tax Act, in sub-section (1), for the words and brackets "or Commissioner (Appeals)", the words and brackets "or Joint Commissioner (Appeals) or Commissioner (Appeals)" shall be substituted.

126.

In section 287 of the Income-tax Act, in sub-section (2), for the words and brackets "to the Commissioner (Appeals)", the words and brackets "to the Joint Commissioner (Appeals) or to the Commissioner (Appeals)" shall be substituted.

127.

In section 295 of the Income-tax Act, in sub-section (2),?

(i)

in clause (eec), after the word "audit", the words "or inventory valuation" shall be inserted;

(ii)

in clause (mm), for the words and brackets "the Commissioner (Appeals)", the words and brackets "the Joint Commissioner (Appeals) or the Commissioner (Appeals)" shall be substituted.

Chapter IV

INDIRECT TAXES

128.

Customs

In the Customs Act, 1962 (hereinafter referred to as the Customs Act), in section 25, in sub-section (4A), after the proviso, the following proviso shall be inserted, namely:?

"Provided further that nothing contained in this sub-section shall apply to any such exemption granted to, or in relation to,?

(a)

any multilateral or bilateral trade agreement;

(b)

obligations under international agreements, treaties, conventions or such other obligations including with respect to United Nations agencies, diplomats and international organisations;

(c)

privileges of constitutional authorities;

(d)

schemes under the Foreign Trade Policy;

(e)

the Central Government schemes having validity of more than two years;

(f)

re-imports, temporary imports, goods imported as gifts or personal baggage;

(g)

any duty of customs under any law for the time being in force, including integrated tax leviable under sub-section (7) of section 3 of the Customs Tariff Act, 1975, other than duty of customs leviable under section 12."

129.

In the Customs Act, in section 65, in sub-section (1), for the words "subject to", the words, figures and letter "subject to the provisions of section 65A and" shall be substituted.

130.

After section 65 of the Customs Act, the following section shall be inserted, namely:?

'65A.(1) Notwithstanding anything to the contrary contained in this Act or the Customs Tariff Act, 1975, the following provisions shall, with effect from such date as may be notified by the Central Government, apply to goods in relation to which any manufacturing process or other operations in terms of section 65 may be carried out, namely:?

(A)

the dutiable goods, which are deposited in the warehouse shall be goods on which the integrated tax under sub-section (7) and the goods and services tax compensation cess under sub-section (9), of section 3 of the Customs Tariff Act, 1975 have been paid, and only for the purpose of the duty payable, other than the said tax and cess paid, such dutiable goods shall be warehoused goods;

(B)

the dutiable goods shall be permitted to be removed for the purpose of deposit in the warehouse, where?

(i)

in respect of the goods, an entry thereof has been made by presenting electronically on the customs automated system, a bill of entry for home consumption under section 46 and the goods have been assessed to duty under section 17 or section 18, as the case may be, in accordance with clause (a) of sub-section (1) of section 15;

(ii)

the integrated tax under sub-section (7) and the goods and services tax compensation cess under sub-section (9), of section 3 of the Customs Tariff Act, 1975 have been paid in accordance with section 47;

(iii)

on removal of the goods from another warehouse in terms of section 67, a bill of entry for home consumption under clause (a) of section 68 has been presented and the integrated tax under sub-section (7), and the goods and services tax compensation cess under sub-section (9), of section 3 of the Customs Tariff Act, 1975 have been paid before the goods are so removed from that other warehouse;

(iv)

the provisions of section 59, subject to the following modifications therein, have been complied with, namely:?

(a)

for the words "bill of entry for warehousing", the words
"bill of entry for home consumption" shall be substituted; and

(b)

for the words "amount of the duty assessed", the words
"amount of duty assessed, but not paid" shall be substituted;

(C)

the duty payable in respect of warehoused goods referred to in clause (A), to the extent not paid, is paid before the goods are removed from the warehouse in such manner as may be prescribed.

(2)

The provisions of sub-section (1) shall not apply for the purpose of manufacturing process or other operations in terms of section 65 to dutiable goods which have been deposited in the warehouse or permitted to be removed for deposit in the warehouse prior to the date notified under that sub-section.

(3)

The Central Government may, if it considers necessary or expedient, and having regard to such criteria, including but not limited to, the nature or class or categories of goods, or class of importers or exporters, or industry sector, exempt, by notification, such goods in relation to which any manufacturing process or other operations in terms of section 65 may be carried out, as may be specified in the notification, from the application of this section.'

131.

In the Customs Act, in section 127C, after sub-section (8), the following sub-section shall be inserted, namely:?

"(8A) The order under sub-section (5) shall be passed within a period of nine months from the last day of the month in which the application under section 127B is made, and if, no order is passed within the said period, the settlement proceedings shall abate, and the adjudicating authority before whom the proceeding at the time of making the application was pending shall dispose of the application in accordance with the provisions of this Act as if no application under the said section had been made:

Provided that the period specified under this sub-section may, for reasons to be recorded in writing, be extended by the Settlement Commission for a further period not exceeding three months:

Provided further that in respect of any application pending under sub-section (5) as on the date on which the Finance Bill, 2023 receives the assent of the President, the said period of nine months shall be reckoned from the date on which the said Finance Bill receives the assent of the President."

132.

In the Customs Act, in section 157, in sub-section (2), after clause (c), the following clause shall be inserted, namely:—
"(ca) the manner and conditions for payment of duty and removal of goods under clause (C) of sub-section (1) of section 65A;"

133.

In the Customs Act, in section 159, after the figures "43," the figures and letter "65A," shall be inserted.

134.

Customs tariff

In the Customs Tariff Act, 1975, (hereinafter referred to as the Customs Tariff Act), with effect from the 1st day of January, 1995,?

(i)

in section 9,?

(a)

in sub-section (6), in the first proviso, for the words "in a review", the words "on consideration of a review" shall be substituted;

(b)

in sub-section (7), the words "and determined" shall be omitted;

(ii)

in section 9A,?

(a)

in sub-section (5), in the first proviso, for the words "in a review", the words "on consideration of a review" shall be substituted;

(b)

in sub-section (6), the words "and determined" shall be omitted;

(iii)

in section 9C,?

(a)

in sub-section (1), the words "order of" shall be omitted;

(b)

in sub-section (2), for the word "order", the words "determination or review" shall be substituted;

(c)

in sub-section (3), for the word "order", the words "determination or review" shall be substituted;

(d)

after sub-section (5), the following Explanation shall be inserted, namely:—

'Explanation.—For the purposes of this section, "determination"

or "review" means the determination or review done in such manner as may be specified in the rules made under sections 8B, 9, 9A and 9B.'

135.

In the Customs Tariff Act, the First Schedule shall?

(a)

be amended in the manner specified in the Second Schedule;

(b)

be also amended in the manner specified in the Third Schedule;

(c)

with effect from the 1st May, 2023, be also amended in the manner specified in the Fourth Schedule;

(d)

with effect from the 1st April, 2023, be also amended in the manner specified in the Seventh Schedule;

136.

In the Customs Tariff Act, the Second Schedule shall, with effect from the 1st May, 2023, be amended in the manner specified in the Fifth Schedule.

137.

Central Goods and Services Tax

In the Central Goods and Services Tax Act, 2017 (hereinafter referred to as the Central Goods and Services Tax Act), in section 10,?

- (a)
in sub-section (2), in clause (d), the words "goods or" shall be omitted;
 - (b)
in sub-section (2A), in clause (c), the words "goods or" shall be omitted
- 138.
- In section 16 of the Central Goods and Services Tax Act, in sub-section (2),?
- (i)
in the second proviso, for the words "added to his output tax liability, along with interest thereon", the words and figures "paid by him along with interest payable under section 50" shall be substituted;
 - (ii)
in the third proviso, after the words "made by him", the words "to the supplier" shall be inserted.

139.

In section 17 of the Central Goods and Services Tax Act,?

- (a)
in sub-section (3), in the Explanation, for the words and figure "except those specified in paragraph 5 of the said Schedule", the following shall be substituted, namely:?
"except,?
(i)
the value of activities or transactions specified in paragraph 5 of the said Schedule; and
(ii)
the value of such activities or transactions as may be prescribed in respect of clause
(a)
of paragraph 8 of the said Schedule.";
- (b)
in sub-section (5), after clause (f), the following clause shall be inserted, namely:?
"(fa) goods or services or both received by a taxable person, which are used or intended to be used for activities relating to his obligations under corporate social responsibility referred to in section 135 of the Companies Act, 2013;"

140.

In section 23 of the Central Goods and Services Tax Act, for sub-section (2), the following sub-section shall be substituted and shall be deemed to have been substituted with effect from the 1st day of July, 2017, namely:?

"(2) Notwithstanding anything to the contrary contained in sub-section (1) of section 22 or section 24, the Government may, on the recommendations of the Council, by notification, subject to such conditions and restrictions as may be specified therein, specify the category of persons who may be exempted from obtaining registration under this Act."

141.

In section 30 of the Central Goods and Services Tax Act, in sub-section (1),?

- (a)
for the words "the prescribed manner within thirty days from the date of service of the cancellation order:", the words "such manner, within such time and subject to such conditions and restrictions, as may be prescribed." shall be substituted;
- (b)
the proviso shall be omitted.

142.

In section 37 of the Central Goods and Services Tax Act, after sub-section (4), the following sub-section shall be inserted, namely:?

"(5) A registered person shall not be allowed to furnish the details of outward supplies under sub-section (1) for a tax period after the expiry of a period of three years from the due date of furnishing the said details:
Provided that the Government may, on the recommendations of the Council, by notification, subject to such conditions and restrictions as may be specified therein, allow a registered person or a class of registered persons to furnish the

details of outward supplies for a tax period under sub-section (1), even after the expiry of the said period of three years from the due date of furnishing the said details."

143.

In section 39 of the Central Goods and Services Tax Act, after sub-section (10), the following sub-section shall be inserted, namely:—

"(11) A registered person shall not be allowed to furnish a return for a tax period after the expiry of a period of three years from the due date of furnishing the said return:

Provided that the Government may, on the recommendations of the Council, by notification, subject to such conditions and restrictions as may be specified therein, allow a registered person or a class of registered persons to furnish the return for a tax period, even after the expiry of the said period of three years from the due date of furnishing the said return."

144.

Section 44 of the Central Goods and Services Tax Act shall be renumbered as sub-section (1) thereof, and after sub-section (1) as so renumbered, the following sub-section shall be inserted, namely:—

"(2) A registered person shall not be allowed to furnish an annual return under sub-section (1) for a financial year after the expiry of a period of three years from the due date of furnishing the said annual return:

Provided that the Government may, on the recommendations of the Council, by notification, and subject to such conditions and restrictions as may be specified therein, allow a registered person or a class of registered persons to furnish an annual return for a financial year under sub-section (1), even after the expiry of the said period of three years from the due date of furnishing the said annual return."

145.

In section 52 of the Central Goods and Services Tax Act, after sub-section (14), the following sub-section shall be inserted, namely:—

"(15) The operator shall not be allowed to furnish a statement under sub-section (4) after the expiry of a period of three years from the due date of furnishing the said statement:

Provided that the Government may, on the recommendations of the Council, by notification, subject to such conditions and restrictions as may be specified therein, allow an operator or a class of operators to furnish a statement under sub-section (4), even after the expiry of the said period of three years from the due date of furnishing the said statement."

146.

In section 54 of the Central Goods and Services Tax Act, in sub-section (6), the words "excluding the amount of input tax credit provisionally accepted," shall be omitted.

147.

In section 56 of the Central Goods and Services Tax Act, for the words "from the date immediately after the expiry of sixty days from the date of receipt of application under the said sub-section till the date of refund of such tax", the words "for the period of delay beyond sixty days from the date of receipt of such application till the date of refund of such tax, to be computed in such manner and subject to such conditions and restrictions as may be prescribed" shall be substituted.

148.

In section 62 of the Central Goods and Services Tax Act, in sub-section (2),—

(a)

for the words "thirty days", the words "sixty days" shall be substituted;

(b)

the following proviso shall be inserted, namely:—

"Provided that where the registered person fails to furnish a valid return within sixty days of the service of the assessment order under sub-section (1), he may furnish the same within a further period of sixty days on payment of an additional late fee of one hundred rupees for each day of delay beyond sixty days of the service of the said assessment order and in case he furnishes valid return within such extended period, the said assessment order shall be deemed to have been withdrawn, but the liability to pay interest under sub-section (1) of section 50 or to pay late fee under section 47 shall continue."

149.

For section 109 of the Central Goods and Services Tax Act, the following section shall be substituted, namely:—

"109.(1) The Government shall, on the recommendations of the Council, by notification, establish with effect from such date as may be specified therein, an Appellate Tribunal known as the Goods and Services Tax Appellate Tribunal for hearing appeals against the orders passed by the Appellate Authority or the Revisional Authority.

(2)

The jurisdiction, powers and authority conferred on the Appellate Tribunal shall be exercised by the Principal Bench and the State Benches constituted under sub-section (3) and sub-section (4).

(3)

The Government shall, by notification, constitute a Principal Bench of the Appellate Tribunal at New Delhi which shall consist of the President, a Judicial Member, a Technical Member (Centre) and a Technical Member (State).

(4)

On the request of the State, the Government may, by notification, constitute such number of State Benches at such places and with such jurisdiction as may be recommended by the Council, which shall consist of two Judicial Members, a Technical Member (Centre) and a Technical Member (State).

(5)

The Principal Bench and the State Bench shall hear appeals against the orders passed by the Appellate Authority or the Revisional Authority:

Provided that the cases in which any one of the issues involved relates to the place of supply, shall be heard only by the Principal Bench.

(6) The President shall, from time to time, by a general or special order, distribute the business of the Appellate Tribunal among the Benches and may transfer cases from one Bench to another.

(7)

The senior-most Judicial Member within the State Benches, as may be notified, shall act as the Vice-President for such State Benches and shall exercise such powers of the President as may be prescribed, but for all other purposes be considered as a Member.

(8) Appeals, where the tax or input tax credit involved or the amount of fine, fee or penalty determined in any order appealed against, does not exceed fifty lakh rupees and which does not involve any question of law may, with the approval of the President, and subject to such conditions as may be prescribed on the recommendations of the Council, be heard by a single Member, and in all other cases, shall be heard together by one Judicial Member and one Technical Member.

(9)

If, after hearing the case, the Members differ in their opinion on any point or points, such Member shall state the point or points on which they differ, and the President shall refer such case for hearing,?

(a)

where the appeal was originally heard by Members of a State Bench, to another Member of a State Bench within the State or, where no such other State Bench is available within the State, to a Member of a State Bench in another State;

(b)

where the appeal was originally heard by Members of the Principal Bench, to another Member from the Principal Bench or, where no such other Member is available, to a Member of any State Bench, and such point or points shall be decided according to the majority opinion including the opinion of the Members who first heard the case.

(10)

The Government may, in consultation with the President, for the administrative efficiency, transfer Members from one Bench to another Bench:

Provided that a Technical Member (State) of a State Bench may be transferred to a State Bench only of the same State in which he was originally appointed, in consultation with the State Government.

(11)

No act or proceedings of the Appellate Tribunal shall be questioned or shall be invalid merely on the ground of the existence of any vacancy or defect in the constitution of the Appellate Tribunal."

150.

For section 110 of the Central Goods and Services Tax Act, the following section shall be substituted, namely:?

"110.(1) A person shall not be qualified for appointment as?

(a)

the President, unless he has been a Judge of the Supreme Court or is or has been the Chief Justice of a High Court;

- (b)
a Judicial Member, unless he?
 - (i)
has been a Judge of the High Court; or
 - (ii)
has, for a combined period of ten years, been a District Judge or an Additional District Judge;

- (c)
a Technical Member (Centre), unless he is or has been a member of the Indian Revenue (Customs and Indirect Taxes) Service, Group A, or of the All India Service with at least three years of experience in the administration of an existing law or goods and services tax in the Central Government, and has completed at least twenty-five years of service in Group A;

- (d)
a Technical Member (State), unless he is or has been an officer of the State Government or an officer of All India Service, not below the rank of Additional Commissioner of Value Added Tax or the State goods and services tax or such rank, not lower than that of the First Appellate Authority, as may be notified by the concerned State Government, on the recommendations of the Council and has completed twenty-five years of service in Group A, or equivalent, with at least three years of experience in the administration of an existing law or the goods and services tax or in the field of finance and taxation in the State Government:

Provided that the State Government may, on the recommendations of the Council, by notification, relax the requirement of completion of twenty-five years of service in Group A, or equivalent, in respect of officers of such State where no person has completed twenty-five years of service in Group A, or equivalent, but has completed twenty-five years of service in the Government, subject to such conditions, and till such period, as may be specified in the notification.

(2)
The President, Judicial Member, Technical Member (Centre) and Technical Member (State) shall be appointed or re-appointed by the Government on the recommendations of a Search-cum-Selection Committee constituted under sub-section (4):

Provided that in the event of the occurrence of any vacancy in the office of the President by reason of his death, resignation or otherwise, the Judicial Member or, in his absence, the senior-most Technical Member of the Principal Bench shall act as the President until the date on which a new President, appointed in accordance with the provisions of this Act to fill such vacancy, enters upon his office:

Provided further that where the President is unable to discharge his functions owing to absence, illness or any other cause, the Judicial Member or, in his absence, the senior-most Technical Member of the Principal Bench, shall discharge the functions of the President until the date on which the President resumes his duties.

(3)
While making selection for Technical Member (State) of a State Bench, first preference shall be given to officers who have worked in the State Government of the State to which the jurisdiction of the Bench extends.

(4)(a)
The Search-cum-Selection Committee for Technical Member (State) of a State Bench shall consist of the following members, namely:?

- (i)
the Chief Justice of the High Court in whose jurisdiction the State Bench is located, to be the Chairperson of the Committee;

- (ii)
the senior-most Judicial Member in the State, and where no Judicial Member is available, a retired Judge of the High Court in whose jurisdiction the State Bench is located, as may be nominated by the Chief Justice of such High Court;

- (iii)
Chief Secretary of the State in which the State Bench is located;

- (iv)
one Additional Chief Secretary or Principal Secretary or Secretary of the State in which the State Bench is located, as may be nominated by such State Government, not in-charge of the Department responsible for administration of State

tax; and

(v)

Additional Chief Secretary or Principal Secretary or Secretary of the Department responsible for administration of State tax, of the State in which the State Bench is located ? Member Secretary; and

(b)

the Search-cum-Selection Committee for all other cases shall consist of the following members, namely:?

(i)

the Chief Justice of India or a Judge of Supreme Court nominated by him, to be the Chairperson of the Committee;

(ii)

Secretary of the Central Government nominated by the Cabinet Secretary ? Member;

(iii)

Chief Secretary of a State to be nominated by the Council ? Member;

(iv)

one Member, who?

(A)

in case of appointment of a President of a Tribunal, shall be the outgoing President of the Tribunal; or

(B)

in case of appointment of a Member of a Tribunal, shall be the sitting President of the Tribunal; or

(C)

in case of the President of the Tribunal seeking re-appointment or where the outgoing President is unavailable or the removal of the President is being considered, shall be a retired Judge of the Supreme Court or a retired Chief Justice of a High Court nominated by the Chief Justice of India; and

(v)

Secretary of the Department of Revenue in the Ministry of Finance of the Central Government ? Member Secretary.

(5)

The Chairperson shall have the casting vote and the Member Secretary shall not have a vote.

(6)

Notwithstanding anything contained in any judgment, order, or decree of any court or any law for the time being in force, the Committee shall recommend a panel of two names for appointment or re-appointment to the post of the President or a Member, as the case may be.

(7)

No appointment or re-appointment of the Members of the Appellate Tribunal shall be invalid merely by reason of any vacancy or defect in the constitution of the Search-cum-Selection Committee.

(8)

Notwithstanding anything contained in any judgment, order, or decree of any court or any law for the time being in force, the salary of the President and the Members of the Appellate Tribunal shall be such as may be prescribed and their allowances and other terms and conditions of service shall be the same as applicable to Central Government officers carrying the same pay:

Provided that neither the salary and allowances nor other terms and conditions of service of the President or Members of the Appellate Tribunal shall be varied to their disadvantage after their appointment:

Provided further that, if the President or Member takes a house on rent, he may be reimbursed a house rent higher than the house rent allowance as are admissible to a Central Government officer holding the post carrying the same pay, subject to such limitations and conditions as may be prescribed.

(9)

Notwithstanding anything contained in any judgment, order, or decree of any court or any law for the time being in force, the President of the Appellate Tribunal shall hold office for a term of four years from the date on which he enters upon his office, or until he attains the age of sixty-seven years, whichever is earlier and shall be eligible for re-appointment for a period not exceeding two years.

(10)

Notwithstanding anything contained in any judgment, order, or decree of any court or any law for the time being in force, the Judicial Member, Technical Member (Centre) or Technical Member (State) of the Appellate Tribunal shall hold office

for a term of four years from the date on which he enters upon his office, or until he attains the age of sixty-five years, whichever is earlier and shall be eligible for re-appointment for a period not exceeding two years.

(11)

The President or any Member may, by notice in writing under his hand addressed to the Government, resign from his office:

Provided that the President or Member shall continue to hold office until the expiry of three months from the date of receipt of such notice by the Government or until a person duly appointed as his successor enters upon his office or until the expiry of his term of office, whichever is the earliest.

(12)

The Government may, on the recommendations of the Search-cum-Selection Committee, remove from the office President or a Member, who?

(a)

has been adjudged an insolvent; or

(b)

has been convicted of an offence which involves moral turpitude; or

(c)

has become physically or mentally incapable of acting as such President or Member; or

(d)

has acquired such financial or other interest as is likely to affect prejudicially his functions as such President or Member; or

(e)

has so abused his position as to render his continuance in office prejudicial to the public interest:

Provided that the President or the Member shall not be removed on any of the grounds specified in clauses (d) and (e), unless he has been informed of the charges against him and has been given an opportunity of being heard.

(13)

The Government, on the recommendations of the Search-cum-Selection Committee, may suspend from office, the President or a Judicial or Technical Member in respect of whom proceedings for removal have been initiated under sub-section (12).

(14)

Subject to the provisions of article 220 of the Constitution, the President or other Members, on ceasing to hold their office, shall not be eligible to appear, act or plead before the Principal Bench or the State Bench in which he was the President or, as the case may be, a Member.?

151.

For section 114 of the Central Goods and Services Tax Act, the following section shall be substituted, namely:?

?114. The President shall exercise such financial and administrative powers over the Appellate Tribunal as may be prescribed.?

152.

In section 117 of the Central Goods and Services Tax Act,?

(a)

in sub-section (1), for the words ?State Bench or Area Benches?, the words ?State Benches? shall be substituted;

(b)

in sub-section (5), in clauses (a) and (b), for the words ?State Bench or Area Benches?, the words ?State Benches? shall be substituted.

153.

In section 118 of the Central Goods and Services Tax Act, in sub-section (1), in clause (a), for the words ?National Bench or Regional Bench?, the words ?Principal Bench? shall be substituted

154.

In section 119 of the Central Goods and Services Tax Act,?

(a)

for the words ?National or Regional Benches?, the words ?Principal Bench? shall be substituted;

(b)

for the words "State Bench or Area Benches", the words "State Benches" shall be substituted
155.

In section 122 of the Central Goods and Services Tax Act, after sub-section (1A), the following sub-section shall be inserted, namely:—

"(1B) Any electronic commerce operator who?

(i)

allows a supply of goods or services or both through it by an unregistered person other than a person exempted from registration by a notification issued under this Act to make such supply;

(ii)

allows an inter-State supply of goods or services or both through it by a person who is not eligible to make such inter-State supply; or

(iii)

fails to furnish the correct details in the statement to be furnished under sub-section (4) of section 52 of any outward supply of goods effected through it by a person exempted from obtaining registration under this Act, shall be liable to pay a penalty of ten thousand rupees, or an amount equivalent to the amount of tax involved had such supply been made by a registered person other than a person paying tax under section 10, whichever is higher."

156.

In section 132 of the Central Goods and Services Tax Act, in sub-section (1),—

(a)

clauses (g), (j) and (k) shall be omitted;

(b)

in clause (l), for the words, brackets and letters "clauses (a) to (k)", the words, brackets and letters "clauses (a) to (f) and clauses (h) and (i)" shall be substituted;

(c)

in clause (iii), for the words "any other offence", the words, brackets and letter "an offence specified in clause (b)," shall be substituted;

(d)

in clause (iv), the words, brackets and letters "or clause (g) or clause (j)" shall be omitted

157.

In section 138 of the Central Goods and Services Tax Act,—

(a)

in sub-section (1), in the first proviso,—

(i)

for clause (a), the following clause shall be substituted, namely:—

"(a) a person who has been allowed to compound once in respect of any of the offences specified in clauses (a) to (f), (h), (i) and (l) of sub-section (1) of section 132;"

(ii)

clause (b) shall be omitted;

(iii)

for clause (c), the following clause shall be substituted, namely:—

"(c) a person who has been accused of committing an offence under clause (b) of sub-section (1) of section 132;"

(iv)

clause (e) shall be omitted;

(b)

in sub-section (2), for the words "ten thousand rupees or fifty per cent. of the tax involved, whichever is higher, and the maximum amount not being less than thirty thousand rupees or one hundred and fifty per cent. of the tax, whichever is higher", the words "twenty-five per cent. of the tax involved and the maximum amount not being more than one hundred per cent. of the tax involved" shall be substituted.

158.

After section 158 of the Central Goods and Services Tax Act, the following section shall be inserted, namely:—

"158A. (1) Notwithstanding anything contained in sections 133, 152 and 158, the following details furnished by a

registered person may, subject to the provisions of sub-section (2), and on the recommendations of the Council, be shared by the common portal with such other systems as may be notified by the Government, in such manner and subject to such conditions as may be prescribed, namely:?

(a)

particulars furnished in the application for registration under section 25 or in the return filed under section 39 or under section 44;

(b)

the particulars uploaded on the common portal for preparation of invoice, the details of outward supplies furnished under section 37 and the particulars uploaded on the common portal for generation of documents under section 68;

(c)

such other details as may be prescribed.

(2)

For the purposes of sharing details under sub-section (1), the consent shall be obtained, of?

(a)

the supplier, in respect of details furnished under clauses (a), (b) and

(c)

of sub-section (1); and

(b)

the recipient, in respect of details furnished under clause (b) of sub-section (1), and under clause (c) of sub-section (1) only where such details include identity information of the recipient, in such form and manner as may be prescribed.

(3)

Notwithstanding anything contained in any law for the time being in force, no action shall lie against the Government or the common portal with respect to any liability arising consequent to information shared under this section and there shall be no impact on the liability to pay tax on the relevant supply or as per the relevant return."

159.

(1)

In Schedule III to the Central Goods and Services Tax Act, paragraphs 7 and 8 and the Explanation 2 thereof (as inserted vide section 32 of Act 31 of 2018) shall be deemed to have been inserted therein with effect from the 1st day of July, 2017.

(2)

No refund shall be made of all the tax which has been collected, but which would not have been so collected, had sub-section (1) been in force at all material times.

Chapter

Integrated Goods and Services Tax

160.

In the Integrated Goods and Services Tax Act, 2017 (hereinafter referred to as the Integrated Goods and Services Tax Act), in section 2,?

(a)

for clause (16), the following clause shall be substituted, namely:?

'(16) "non-taxable online recipient" means any unregistered person receiving online information and database access or retrieval services located in taxable territory.

Explanation.?For the purposes of this clause, the expression

"unregistered person" includes a person registered solely in terms of clause (vi) of section 24 of the Central Goods and Services Tax Act, 2017;;

(b)

in clause (17), the words "essentially automated and involving minimal human intervention and" shall be omitted.

161.

In section 12 of the Integrated Goods and Services Tax Act, in sub-section (8), the proviso shall be omitted.

162.

In section 13 of the Integrated Goods and Services Tax Act, sub-section (9) shall be omitted.

163.

Goods and Services Tax (Compensation to States) Act In the Schedule to the Goods and Services Tax (Compensation to States) Act, 2017,?

(a)

in serial number 1, for the entry in column (4) occurring against tariff item 2106 90 20, the entry "fifty-one per cent. of retail sale price per unit" shall be substituted;

(b)

in serial number 2, for the entry in column (4) occurring against Chapter 24, the entry "Four thousand one hundred and seventy rupees per thousand sticks or two hundred and ninety per cent. ad valorem or a combination thereof, but not exceeding four thousand one hundred and seventy rupees per thousand sticks plus two hundred and ninety per cent. ad valorem or hundred per cent. of retail sale price per unit" shall be substituted;

(c)

the following Explanation shall be inserted at the end, namely:?

?Explanation.?For the purposes of this Schedule,?

(i)

"retail sale price" means the maximum price at which the concerned goods in packaged form may be sold to the ultimate consumer and includes all taxes, local or otherwise, freight, transport charges, commission payable to dealers, and all charges towards advertisement, delivery, packing, forwarding and the like and the price is the sole consideration for such sale:

Provided that where the provisions of the Legal Metrology Act, 2009 or the rules made thereunder or any other law for the time being in force require to declare on the package, the retail sale price excluding any taxes, local or otherwise, the retail sale price shall be construed accordingly;

(ii)

where on the package of any concerned goods more than one retail sale price is declared, the maximum of such retail sale price shall be deemed to be the retail sale price;

(iii)

where the retail sale price, declared on the package of any concerned goods at the time of its clearance from the place of manufacture, is altered to increase the retail sale price, such altered retail sale price shall be deemed to be the retail sale price;

(iv)

where different retail sale prices are declared on different packages for the sale of any concerned goods in packaged form in different areas, each such retail sale price shall be the retail sale prices for the purposes of determination of the rate of cess for the said goods intended to be sold in the area to which the retail sale price relates.'

Chapter V

MISCELLANEOUS

Part I ? AMENDMENTS TO THE GOVERNMENT SAVINGS PROMOTION ACT, 1873

164.

The provisions of this Part shall come into force on such date as the Central Government may, by notification in the Official Gazette, appoint.

165.

In the Government Savings Promotion Act, 1873,?

(a)

in section 4A, for sub-section (4), the following sub-section shall be substituted, namely:?

"(4) If a depositor dies and no nomination is in force at the time of his death, and the probate of his will or letters of administration of estate or a succession certificate granted under the Indian Succession Act, 1925, or legal heir certificate issued by the revenue authority not below the rank of Tahsildar having jurisdiction, is not produced within six months from the date of death of the depositor to the Authorised Officer, then, where the eligible balance does not exceed such limit as may be prescribed, the Authorised Officer may, for reasons to be recorded in writing, pay the eligible balance to the person legally entitled to receive it or to administer the estate of the deceased in accordance with such procedure and manner as may be prescribed.";

(b)

in section 15, in sub-section (2), for clause (i), the following clause shall be substituted, namely:?

"(i) the limit, procedure and manner under sub-section (4) of section 4A;"

(c)

in the Schedule, in PART A, for serial numbers 7 and 8 and the entries relating thereto, the following shall be substituted, namely:?

"7. Public Provident Fund Scheme

8.

National Savings Certificates (VIII Issue) Scheme, 2019

9.

KisanVikas Patra Scheme, 2019

10.

PM CARES for Children Scheme, 2021"

Part II ? AMENDMENT TO THE INDIAN STAMP ACT, 1899

166.

In the Indian Stamp Act, 1899, in Schedule I, in article 47, in division D, under the heading "Exemption", for the portion beginning with "Policies of life-insurance" and ending with "authority of the Central Government.", the following shall be substituted, namely:?

"Policies of life insurance?

(a)

granted by the Director-General of Post Offices in accordance with the rules for Postal Life-Insurance issued under the authority of the Central Government; and

(b)

under the Pradhan Mantri Jeevan Jyoti BimaYojana (PMJJBY)."

Part III ? AMENDMENT TO THE SECURITIES CONTRACTS (REGULATION)ACT, 1956

167.

In the Securities Contracts (Regulation) Act, 1956, in section 18A, after clause (b), the following clause shall be inserted, namely:?

'(ba) regulated by the International Financial Services Centres Authority established under section 4 of the International Financial Services Centres Authority Act, 2019, in an International Financial Services Centre and issued by a Foreign Portfolio Investor.

Explanation.?For the purposes of this clause, the expression "Foreign Portfolio Investor" shall have the meaning assigned to it in clause (u) of rule 2 of the Foreign Exchange Management (Non-debt Instruments) Rules, 2019 made under section 46 of the Foreign Exchange ManagementAct, 1999;'

Part IV ? AMENDMENTS TO THE CENTRAL SALES TAX ACT, 1956

168.

In the Central Sales TaxAct,1956 (hereinafter referred to as the Central Sales Tax Act), for section 19, the following section shall be substituted, namely:?

"19. Notwithstanding anything to the contrary contained in this Act or in any other law for the time being in force, the Customs, Excise and Service Tax Appellate Tribunal constituted under section 129 of the CustomsAct, 1962 shall be theAuthority under this Act to settle inter-State disputes falling under sections 6A and 9."

169.

Section 24 of the Central Sales Tax Act shall be omitted.

170.

In the Central Sales Tax Act, in section 25, after sub-section (2), the following sub-section shall be inserted, namely:?

"(3)All appeals filed under section 20 and pending before the erstwhileAuthority for Advance Rulings as on the date on which the Finance Bill, 2023 receives the assent of the President shall stand transferred to the Authority referred to in section 19."

Part V ? AMENDMENTS TO THE PROHIBITION OF BENAMI PROPERTY TRANSACTIONS ACT, 1988

171.

In the Prohibition of Benami Property Transactions Act, 1988, with effect from the 1st day ofApril, 2023,?

(a)

in section 2, in clause (18),?

(I)

in sub-clause (i), the word "and" occurring at the end shall be omitted;

(II)

in sub-clause (ii), the word "and" shall be inserted at the end;

(III)

after sub-clause (ii), the following sub-clause shall be inserted, namely:?

"(iii) the High Court within the jurisdiction of which the office of the Initiating Officer is located,?

(a)

where the aggrieved party does not ordinarily reside or carry on business or personally work for gain in the jurisdiction of any High Court;

(b)

where the Government is the aggrieved party and any of the respondents do not ordinarily reside or carry on business or personally work for gain in the jurisdiction of any High Court;";

(b)

in section 46,?

(i)

in sub-section (1), for the words "of the order", the words "on which such order is received by the Initiating Officer or received by such person."

shall be substituted;

(ii)

in sub-section (1A), for the words "of that order", the words "on which such order is received by such person" shall be substituted.

Part VI ? AMENDMENT TO THE FINANCE ACT, 2001

172.

In the Finance Act, 2001, the Seventh Schedule shall be amended in the manner specified in the Sixth Schedule.

Part VII ? AMENDMENTS TO THE UNIT TRUST OF INDIA (TRANSFER OF UNDERTAKING AND REPEAL) ACT, 2002

173.

In the Unit Trust of India (Transfer of Undertaking and Repeal) Act, 2002, with effect from the 1st day of April, 2023,?

(a)

in section 8, in sub-section (1), for the words "investors, shall", the words

"investors or from such date as may be notified by the Central Government in the Official Gazette, whichever is earlier," shall be substituted;

(b)

in section 13, in sub-section (1), for the figures, letters and words "31st day of March, 2023", the figures, letters and words "31st day of March, 2025" shall be substituted.

Part VIII ? AMENDMENTS TO THE FINANCE (NO. 2) ACT, 2004

174.

In the Finance (No. 2) Act, 2004, in section 98, in the Table, in serial number 4, in column (2)?

(i)

against entry (a), in column (3), for the figures and word "0.05 per cent.", the figures and word "0.0625 per cent." shall be substituted; and

(ii)

against entry (c), in column (3), for the figures and word "0.01 per cent.", the figures and word "0.0125 per cent." shall be substituted.

THE FIRST SCHEDULE

(See section 2)

Part I ? INCOME-TAX

Paragraph A

(I)

In the case of every individual other than the individual referred to in items (II) and

(III)

of this Paragraph or Hindu undivided family or association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, not being a case to which any other Paragraph of this Part applies,?

Rates of income-tax

(1)

where the total income does not Nil;

exceed Rs. 2,50,000

(2)

where the total income exceeds 5 per cent. of the amount by which the Rs. 2,50,000 but does not exceed total income exceeds Rs. 2,50,000;

Rs.5,00,000

(3)

where the total income exceeds Rs.12,500 plus 20 per cent. of the amount Rs. 5,00,000 but does not exceed by which the total income exceeds Rs.10,00,000 Rs.5,00,000;

(4)

where the total income exceeds Rs. 1,12,500 plus 30 per cent. of the Rs.10,00,000 amount by which the total income exceedsRs.10,00,000.

(II)

In the case of every individual, being a resident in India, who is of the age of sixty years or more but less than eighty years at any time during the previous year,?

Rates of income-tax

(1)

where the total income does not Nil;

exceed Rs. 3,00,000

(2)

where the total income exceeds 5 per cent. of the amount by which the Rs. 3,00,000 but does not exceed total income exceeds Rs. 3,00,000;

Rs.5,00,000

(3)

where the total income exceeds Rs.10,000 plus 20 per cent. of the amount Rs. 5,00,000 but does not exceed by which the total income exceeds Rs.10,00,000 Rs.5,00,000;

(4)

where the total income exceeds Rs.1,10,000 plus 30 per cent. of the Rs.10,00,000 amount by which the total income exceedsRs.10,00,000.

(III)

In the case of every individual, being a resident in India, who is of the age of eighty years or more at any time during the previous year,?

Rates of income-tax

(1)

where the total income does not Nil;

exceed Rs. 5,00,000

(2)

where the total income exceeds 20 per cent. of the amount by which the Rs. 5,00,000 but does not exceed total income exceeds Rs. 5,00,000;

Rs.10,00,000

(3)

where the total income exceeds Rs.1,00,000 plus 30 per cent. of the Rs.10,00,000 amount by which the total income exceeds Rs. 10,00,000.

Surcharge on income-tax The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A or the provisions of section 115BAC of the Income-tax Act, shall be increased by a surcharge for the purposes of the Union, calculated, in the case of every

individual or Hindu undivided family or association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act,?

(a)

having a total income (including the income by way of dividend or income under the provisions of section 111A, section 112 and section 112A of the Income-tax Act) exceeding fifty lakh rupees but not exceeding one crore rupees, at the rate of ten per cent. of such income-tax;

(b)

having a total income (including the income by way of dividend or income under the provisions of section 111A, section 112 and section 112A of the Income-tax Act) exceeding one crore rupees, but not exceeding two crore rupees, at the rate of fifteen per cent. of such income-tax;

(c)

having a total income (excluding the income by way of dividend or income under the provisions of section 111A, section 112 and section 112A of the Income-tax Act) exceeding two crore rupees but not exceeding five crore rupees, at the rate of twenty-five per cent. of such income-tax;

(d)

having a total income (excluding the income by way of dividend or income under the provisions of section 111A, section 112 and section 112A of the Income-tax Act) exceeding five crore rupees, at the rate of thirty-seven per cent. of such income-tax; and

(e)

having a total income (including the income by way of dividend or income under the provisions of section 111A, section 112 and section 112A) exceeding two crore rupees but is not covered under clauses (c) and (d), shall be applicable at the rate of fifteen per cent. of such income-tax:

Provided that in case where the total income includes any income by way of dividend or income under the provisions of section 111A, section 112 and section 112A of the Income-tax Act, the rate of surcharge on the amount of income-tax computed in respect of that part of income shall not exceed fifteen per cent.:

Provided further that in case of an association of persons consisting of only companies as its members, the rate of surcharge on the amount of income-tax shall not exceed fifteen per cent.:

Provided also that in the case of persons mentioned above having total income exceeding,?

(a)

fifty lakh rupees but not exceeding one crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of fifty lakh rupees by more than the amount of income that exceeds fifty lakh rupees;

(b)

one crore rupees but does not exceed two crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax and surcharge on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees;

(c)

two crore rupees but does not exceed five crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax and surcharge on a total income of two crore rupees by more than the amount of income that exceeds two crore rupees;

(d)

five crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax and surcharge on a total income of five crore rupees by more than the amount of income that exceeds five crore rupees.

Paragraph B

In the case of every co-operative society,?

Rates of income-tax

(1)

where the total income does not 10 per cent. of the total income;
exceed Rs. 10,000

(2)

where the total income exceeds Rs. 1,000 plus 20 per cent. of the amount Rs. 10,000 but does not exceed by which the total income exceeds Rs.20,000 Rs.10,000;

(3)

where the total income exceeds Rs. 3,000 plus 30 per cent. of the amount Rs.20,000 by which the total income exceeds Rs.20,000.

Surcharge on income-tax The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A of the Income-tax Act, shall, be increased by a surcharge for the purposes of the Union, calculated in the case of every co-operative society,?

(a)

having a total income exceeding one crore rupees but not exceeding ten crore rupees, at the rate of seven per cent. of such income-tax;

(b)

having a total income exceeding ten crore rupees, at the rate of twelve per cent.:

Provided that in the case of every co-operative society having total income exceeding one crore rupees but not exceeding ten crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees:

Provided further that in the case of every co-operative society having a total income exceeding ten crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax and surcharge on a total income of ten crore rupees by more than the amount of income that exceeds ten crore rupees.

Paragraph C

In the case of every firm,?

Rate of income-tax On the whole of the total income 30 per cent.

Surcharge on income-tax The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A of the Income-tax Act, shall, in the case of every firm, having a total income exceeding one crore rupees, be increased by a surcharge for the purposes of the Union calculated at the rate of twelve per cent. of such income-tax:

Provided that in the case of every firm mentioned above having total income exceeding one crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees.

Paragraph D

In the case of every local authority,?

Rate of income-tax On the whole of the total income 30 per cent.

Surcharge on income-tax The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A of the Income-tax Act, shall, in the case of every local authority, having a total income exceeding one crore rupees, be increased by a surcharge for the purposes of the Union calculated at the rate of twelve per cent. of such income-tax:

Provided that in the case of every local authority mentioned above having total income exceeding one crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees.

Paragraph E

In the case of a company,?

Rates of income-tax I. In the case of a domestic company,?

(i)

where its total turnover or the 25 per cent. of the total income;

gross receipt in the previous year 2020-21 does not exceed four hundred crore rupees

(ii)

other than that referred to in 30 per cent. of the total income.

item (i) II. In the case of a company other than a domestic company,?

(i)

on so much of the total income as 50 per cent.;
consists of,?

(a)

royalties received from Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern after the

31st

day of March, 1961 but before the 1st day of April, 1976; or

(b)

fees for rendering technical services received from Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern after the 29th day of February, 1964 but before the 1st day of April, 1976, and where such agreement has, in either case, been approved by the Central Government

(ii)

on the balance, if any, of the total income 40 per cent.

Surcharge on income-tax The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or 112A of the Income-tax Act, shall, be increased by a surcharge for the purposes of the Union calculated,?

(i)

in the case of every domestic company,?

(a)

having a total income exceeding one crore rupees but not exceeding ten crore rupees, at the rate of seven per cent. of such income-tax; and

(b)

having a total income exceeding ten crore rupees, at the rate of twelve per cent. of such income-tax;

(ii)

in the case of every company other than a domestic company,?

(a)

having a total income exceeding one crore rupees but not exceeding ten crore rupees, at the rate of two per cent. of such income-tax; and

(b)

having a total income exceeding ten crore rupees, at the rate of five per cent. of such income-tax:

Provided that in the case of every company having a total income exceeding one crore rupees but not exceeding ten crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees:

Provided further that in the case of every company having a total income exceeding ten crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax and surcharge on a total income of ten crore rupees by more than the amount of income that exceeds ten crore rupees.

Part II ? RATES FOR DEDUCTION OF TAX AT SOURCE IN CERTAIN CASES

In every case in which under the provisions of sections 193, 194A, 194B, 194BA,

194BB, 194D, 194LBA, 194LBB, 194LBC and 195 of the Income-tax Act, tax is to be deducted at the rates in force, deduction shall be made from the income subject to the deduction at the following rates:?

1.

Rate of income-tax

In the case of a person other than a company?

(a)

where the person is resident in India?

(i)

on income by way of interest other than 10 per cent.;

"Interest on securities"

(ii)

on income by way of winnings from lotteries, 30 per cent.;

puzzles, card games and other games of any sort
(other than winnings from online games)

(iii)

on income by way of winnings from horse races 30 per cent.;

(iv)

on income by way of winnings from online games 30 per cent.;

(v)

on income by way of insurance commission 5 per cent.;

(vi)

on income by way of interest payable on? 10 per cent.;

(A)

any debentures or securities for money issued by or on behalf of any local authority or a corporation established by a Central, State or Provincial Act;

(B)

any debentures issued by a company where such debentures are listed on a recognised stock exchange in India in accordance with the Securities Contracts (Regulation) Act, 1956 (42 of 1956) and any rules made thereunder;

(C)

any security of the Central or State Government;

(vii)

on any other income 10 per cent.;

(b)

where the person is not resident in India?

(i)

in the case of a non-resident Indian?

(A)

on any investment income 20 per cent.;

(B)

on income by way of long-term capital gains 10 per cent.;

referred to in section 115E or sub-clause (iii) of clause (c) of sub-section (1) of section 112

(C)

on income by way of long-term capital gains 10 per cent.;

referred to in section 112A exceeding one lakh rupees

(D)

on other income by way of long-term capital 20 per cent.;

gains [not being long-term capital gains referred to in clauses (33) and (36) of section 10]

(E)

on income by way of short-term capital gains 15 per cent.;

referred to in section 111A

(F)

on income by way of interest payable by 20 per cent.;

Government or an Indian concern on moneys borrowed or debt incurred by Government or the Indian concern in foreign currency (not being income by way of interest referred to in section 194LB or section 194LC)

(G)

on income by way of royalty payable by 20 per cent.;

Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern where such royalty is in consideration for the transfer of all or any rights (including the granting of a licence) in respect of copyright in any book on a subject referred to in the first proviso to sub-section (1A) of section 115A of the Income-tax Act, to the Indian concern, or in respect of any computer software referred to in the second proviso to sub-section (1A) of section 115A of the Income-tax Act, to a person resident in India

(H)

on income by way of royalty [not being 20 per cent.;

royalty of the nature referred to in sub-item (b)(i)(G)]

payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern and where such agreement is with an Indian concern, the agreement is approved by the Central Government or where it relates to a matter included in the industrial policy, for the time being in force, of the Government of India, the agreement is in accordance with that policy

(I)

on income by way of fees for technical services 20 per cent.;

payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern and where such agreement is with an Indian concern, the agreement is approved by the Central Government or where it relates to a matter included in the industrial policy, for the time being in force, of the Government of India, the agreement is in accordance with that policy

(J)

on income by way of winnings from lotteries, 30 per cent.;

crossword puzzles, card games and other games of any sort (other than winnings from online games)

(K)

on income by way of winnings from horse 30 per cent.;

racers

(L)

on income by way of winnings from online 30 per cent.;

games

(M)

on income by way of dividend, referred to in 10 per cent.;

to in the proviso to sub-clause (A) of clause (a) of sub-section (1) of section 115A

(N)

on income by way of dividend other than 20 per cent.;

the income referred to in sub-item (b)(i)(M)

(O)

on the whole of the other income 30 per cent.;

(ii)

in the case of any other person?

(A)

on income by way of interest payable by 20 per cent.;

Government or an Indian concern on moneys borrowed or debt incurred by Government or the Indian concern in foreign currency (not being income by way of interest referred to in section 194LB or section 194LC)

(B)

on income by way of royalty payable by 20 per cent.;

Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern where such royalty is in consideration for the transfer of all or any rights (including the granting of a licence) in respect of copyright in any book on a subject referred to in the first proviso to sub-section (1A) of section 115A of the Income-tax Act, to the Indian concern, in respect of any computer software referred to in the second proviso to sub-section (1A) of section 115A of the Income-tax Act, to a person resident in India

(C)

on income by way of royalty [not being 20 per cent.;

royalty of the nature referred to in sub-item (b)(ii)(B)]

payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern and where such agreement is with an Indian concern, the agreement is approved by the Central Government or where it relates to a matter included in the industrial policy, for the time being in force, of the Government of India, the agreement is in accordance with that policy

(D)

on income by way of fees for technical 20 per cent.;

services payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or

the Indian concern and where such agreement is with an Indian concern, the agreement is approved by the Central Government or where it relates to a matter included in the industrial policy, for the time being in force, of the Government of India, the agreement is in accordance with that policy

(E)

on income by way of winnings from lotteries, 30 per cent.;
crossword puzzles, card games and other games of any sort (other than winnings from online games)

(F)

on income by way of winnings from horse 30 per cent.;
races

(G)

on income by way of winnings from online 30 per cent.;
games

(H)

on income by way of short-term capital 15 per cent.;
gains referred to in section 111A

(I)

on income by way of long-term capital gains 10 per cent.;
referred to in sub-clause (iii) of clause (c) of sub-section (1) of section 112

(J)

on income by way of long-term capital gains 10 per cent.;
referred to in section 112A exceeding one lakh rupees

(K)

on income by way of other long-term capital 20 per cent.;
gains [not being long-term capital gains referred to in clauses (33) and (36) of section 10]

(L)

on income by way of dividend, referred to 10 per cent.;
in the proviso to sub-clause (A) of clause (a) of sub-section (1) of section 115A

(M)

on income by way of dividend other 20 per cent.;
than the income referred to in sub-item (b)(ii)(L)

(N)

2.
on the whole of the other income 30 per cent
In the case of a company?

(a)

where the company is a domestic company?

(i)

on income by way of interest other than "Interest 10 per cent.;
on securities"

(ii)

on income by way of winnings from lotteries, 30 per cent.;
puzzles, card games and other games of any sort (other than winnings from online games)

(iii)

on income by way of winnings from horse races 30 per cent.;

(iv)

on income by way of winnings from online games 30 per cent.;

(v)

on any other income 10 per cent.;

(b)

where the company is not a domestic company?

(i)

on income by way of winnings from lotteries, 30 per cent.;

crossword puzzles, card games and other games of any sort
(other than winnings from online games)

(ii)

on income by way of winnings from horse races 30 per cent.;

(iii)

on income by way of winnings from online games 30 per cent.;

(iv)

on income by way of interest payable by Government 20 per cent.;

or an Indian concern on moneys borrowed or debt incurred by Government or the Indian concern in foreign currency
(not being income by way of interest referred to in section 194LB

or section 194LC)

(v)

on income by way of royalty payable by Government 20 per cent.;

or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern after the 31st day of March, 1976 where such royalty is in consideration for the transfer of all or any rights (including the granting of a licence) in respect of copyright in any book on a subject referred to in the first proviso to sub-section (1A) of section 115A of the Income-tax Act, to the Indian concern, or in respect of any computer software referred to in the second proviso to sub-section (1A) of section 115A of the Income-tax Act, to a person resident in India

(vi)

on income by way of royalty [not being royalty of the nature referred to in item (b)(v)] payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern and where such agreement is with an Indian concern, the agreement is approved by the Central Government or where it relates to a matter included in the industrial policy, for the time being in force, of the Government of India, the agreement is in with that policy?

(A)

where the agreement is made after the 31st 50 per cent.;

day of March, 1961 but before the 1st day of April, 1976

(B)

where the agreement is made after the 31st 20 per cent.;

day of March, 1976

(vii)

on income by way of fees for technical services payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern and where such agreement is with an Indian concern, the agreement is approved by the Central Government or where it relates to a matter included in the industrial policy, for the time being in force, of the Government of India, the agreement is in accordance with that policy?

(A)

where the agreement is made after the 29th 50 per cent.;

day of February, 1964 but before the 1st day of April, 1976

(B)

where the agreement is made after the 31st 20 per cent.;

day of March, 1976

(viii)

on income by way of short-term capital gains 15 per cent.;

referred to in section 111A

(ix)

on income by way of long-term capital gains referred 10 per cent.;

to in sub-clause (iii) of clause (c) of sub-section (1) of section 112

(x)

on income by way of long-term capital gains referred 10 per cent.;

to in section 112A exceeding one lakh rupees

(xi)

on income by way of other long-term capital gains 20 per cent.;
[not being long-term capital gains referred to in clauses (33) and (36) of section 10]

(xii)

on income by way of dividend, referred to in the 10 per cent.;
proviso to sub-clause (A) of clause (a) of sub-section (I) of section 115A

(xiii)

on income by way of dividend other than the 20 per cent.;
income referred to in item (b)(xii)

(xiv)

on any other income 40 per cent.

Explanation.—For the purposes of item 1(b)(i) of this Part, "investment income" and
"non-resident Indian" shall have the meanings assigned to them in Chapter XII-A of the Income-tax Act.
Surcharge on income-tax The amount of income-tax deducted in accordance with the provisions of?

(i)

item 1 of this Part, shall be increased by a surcharge, for the purposes of the Union,?

(a)

in the case of every individual or Hindu undivided family or association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, being a non-resident, calculated,?

I.

at the rate of ten per cent. of such tax, where the income or the aggregate of such incomes (including the income by way of dividend or income under the provisions of sections 111A, 112 and 112A of the Income-tax Act) paid or likely to be paid and subject to the deduction exceeds fifty lakh rupees but does not exceed one crore rupees;

II.

at the rate of fifteen per cent. of such tax, where the income or the aggregate of such incomes (including the income by way of dividend or income under the provisions of sections 111A, 112 and 112A of the Income-tax Act) paid or likely to be paid and subject to the deduction exceeds one crore rupees but does not exceed two crore rupees;

III.

at the rate of twenty-five per cent. of such tax, where the income or the aggregate of such incomes (excluding the income by way of dividend or income under the provisions of sections 111A, 112 and 112A of the Income-tax Act) paid or likely to be paid and subject to the deduction exceeds two crore rupees but does not exceed five crore rupees;

IV.

at the rate of thirty-seven per cent. of such tax, where the income or the aggregate of such incomes (excluding the income by way of dividend or income under the provisions of sections 111A, 112 and 112A of the Income-tax Act) paid or likely to be paid and subject to the deduction exceeds five crore rupees; and V. at the rate of fifteen per cent. of such tax, where the income or the aggregate of such incomes (including the income by way of dividend or income under the provisions of sections 111A, 112 and 112A of the Income-tax Act) paid or likely to be paid and subject to the deduction exceeds two crore rupees, but is not covered under sub-clauses III and IV:

Provided that in case where the total income includes any income by way of dividend or income under the provisions of sections 111A, 112 and 112A of the Income-tax Act, the rate of surcharge on the amount of income-tax deducted in respect of that part of income shall not exceed fifteen per cent.:

Provided further that where the income of such person is chargeable to tax under sub-section (1A) of section 115BAC of the Income-tax Act, the rate of surcharge shall not exceed twenty-five per cent.;

(b)

in the case of every co-operative society, being a non-resident, calculated,?

I.

at the rate of seven per cent. of such tax, where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds one crore rupees but does not exceed ten crore rupees;

II.

at the rate of twelve per cent. where the income or the aggregate of such incomes paid or likely to be paid and subject to

the deduction exceeds ten crore rupees;

(c)

in the case of every firm, being a non-resident, calculated at the rate of twelve per cent., where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds one crore rupees;

(ii)

item 2 of this Part shall be increased by a surcharge, for the purposes of the Union, in the case of every company other than a domestic company, calculated,?

(a)

at the rate of two per cent. of such income-tax where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds one crore rupees but does not exceed ten crore rupees; and

(b)

at the rate of five per cent. of such income-tax where the income or the aggregate of such incomes paid or likely to be paid and subject to the deduction exceeds ten crore rupees.

Part III ? RATES FOR CHARGING INCOME-TAX IN CERTAIN CASES, DEDUCTING INCOME-TAX FROM INCOME CHARGEABLE UNDER THE HEAD "SALARIES" AND COMPUTING "ADVANCE TAX"

In cases in which income-tax has to be charged under sub-section (4) of section 172 of the Income-tax Act or sub-section (2) of section 174 or section 174A or section 175 or sub-section (2) of section 176 of the said Act or deducted from, or paid on, from income chargeable under the head "Salaries" under section 192 of the said Act or deducted under section 194P of the said Act or in which the "advance tax" payable under Chapter XVII-C of the said Act has to be computed at the rate or rates in force, such income-tax or, as the case may be, "advance tax" [not being "advance tax" in respect of any income chargeable to tax under Chapter XII or Chapter XII-A or income chargeable to tax under section 115JB or section 115JC or Chapter XII-FA or Chapter XII-FB or sub-section (1A) of section 161 or section 164 or section 164A or section 167B of the said Act at the rates as specified in that Chapter or section or surcharge, wherever applicable, on such "advance tax" in respect of any income chargeable to tax under section 115A or section 115AB or section 115AC or section 115ACA or section 115AD or section 115B or section 115BA or section 115BAA or section 115BAB or section 115BAC or section 115BAD or section 115BAE or section 115BB or section 115BBA or section 115BBC or section 115BBE or section 115BBF or section 115BBG or section 115BBH or section 115BBI or section 115BBJ or section 115E or section 115JB or section 115JC] shall be charged, deducted or computed at the following rate or rates:?

Paragraph A

(I)

In the case of every individual other than the individual referred to in items (II) and

(III)

of this Paragraph or Hindu undivided family or association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act, not being a case to which any other Paragraph of this Part applies,?

Rates of income-tax

(1)

where the total income does not Nil;

exceed Rs. 2,50,000

(2)

where the total income exceeds 5 per cent. of the amount by which the Rs. 2,50,000 but does not exceed total income exceeds Rs. 2,50,000;

Rs. 5,00,000

(3)

where the total income exceeds Rs. 12,500 plus 20 per cent. of the amount Rs. 5,00,000 but does not exceed by which the total income exceeds Rs. 10,00,000 Rs. 5,00,000;

(4)

where the total income exceeds Rs. 1,12,500 plus 30 per cent. of the Rs. 10,00,000 amount by which the total income exceeds Rs. 10,00,000.

(II)

In the case of every individual, being a resident in India, who is of the age of sixty years or more but less than eighty years at any time during the previous year,?

Rates of income-tax

(1)

where the total income does not Nil;
exceed Rs. 3,00,000

(2)

where the total income exceeds 5 per cent. of the amount by which the Rs. 3,00,000 but does not exceed total income exceeds Rs.3,00,000;
Rs.5,00,000

(3)

where the total income exceeds Rs.10,00,000plus20percent.oftheamount Rs. 5,00,000 but does not exceed by which the total income exceeds Rs.10,00,000 Rs.5,00,000;

(4)

where the total income exceeds Rs. 1,10,000 plus 30 per cent. of the Rs.10,00,000 amount by which the total income exceedsRs.10,00,000.

(III)

In the case of every individual, being a resident in India, who is of the age of eighty years or more at any time during the previous year,?

Rates of income-tax

(1)

where the total income does not Nil;
exceedRs.5,00,000

(2)

where the total income exceeds 20 per cent. of the amount by which the total Rs. 5,00,000 but does not exceed income exceeds Rs. 5,00,000;
Rs.10,00,000

(3)

where the total income exceeds Rs. 1,00,000 plus 30 per cent. of the amount by Rs.10,00,000 which the total income exceeds Rs. 10,00,000.

Surcharge on income-tax The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A of the Income-tax Act, shall be increased by a surcharge for the purposes of the Union, calculated, in the case of every individual or Hindu undivided family or association of persons or body of individuals, whether incorporated or not, or every artificial juridical person referred to in sub-clause (vii) of clause (31) of section 2 of the Income-tax Act,?

(a)

having a total income (including the income by way of dividend or income under the provisions of section 111A, section 112 and section 112A of the Income-tax Act) exceeding fifty lakh rupees but not exceeding one crore rupees, at the rate of ten per cent. of such income-tax;

(b)

having a total income (including the income by way of dividend or income under the provisions of section 111A, section 112 and section 112A of the Income-tax Act) exceeding one crore rupees but not exceeding two crore rupees, at the rate of fifteen per cent. of such income-tax;

(c)

having a total income (excluding the income by way of dividend or income under the provisions of section 111A, section 112 and section 112A of the Income-tax Act) exceeding two crore rupees but not exceeding five crore rupees, at the rate of twenty-five per cent. of such income-tax;

(d)

having a total income (excluding the income by way of dividend or income under the provisions of section 111A, section 112 and section 112A of the Income-tax Act) exceeding five crore rupees, at the rate of thirty-seven per cent. of such income-tax; and

(e)

having a total income (including the income by way of dividend or income under the provisions of section 111A, section 112 and section 112A of the Income-tax Act) exceeding two crore rupees, but is not covered under clauses (c) and (d), shall be applicable at the rate of fifteen per cent. of such income-tax:

Provided that in case where the total income includes any income by way of dividend or income under the provisions of section 111A, section 112 and section 112A of the income-tax Act, the rate of surcharge on the amount of income-tax computed in respect of that part of income shall not exceed fifteen per cent.:

Provided further that in case of an association of persons consisting of only companies as its members, the rate of surcharge on the amount of income-tax shall not exceed fifteen per cent.:

Provided also that in the case of persons mentioned above having total income exceeding,?

(a)

fifty lakh rupees but not exceeding one crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of fifty lakh rupees by more than the amount of income that exceeds fifty lakh rupees;

(b)

one crore rupees but does not exceed two crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax and surcharge on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees;

(c)

two crore rupees but does not exceed five crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax and surcharge on a total income of two crore rupees by more than the amount of income that exceeds two crore rupees;

(d)

five crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax and surcharge on a total income of five crore rupees by more than the amount of income that exceeds five crore rupees.

Paragraph B

In the case of every co-operative society,?

Rates of income-tax

(1)

where the total income does not exceed 10 per cent. of the total income;
exceed Rs. 10,000

(2)

where the total income exceeds Rs. 10,000 plus 20 per cent. of the amount by which the total income exceeds Rs. 10,000;
Rs. 20,000

(3)

where the total income exceeds Rs. 20,000 plus 30 per cent. of the amount by which the total income exceeds Rs. 20,000.

Surcharge on income-tax The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A of the Income-tax Act, shall, be increased by a surcharge for the purposes of the Union, calculated in the case of every co-operative society,?

(a)

having a total income exceeding one crore rupees but not exceeding ten crore rupees, at the rate of seven per cent. of such income-tax;

(b)

having a total income exceeding ten crore rupees, at the rate of twelve per cent.:

Provided that in the case of every co-operative society having total income exceeding one crore rupees but not exceeding ten crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees:

Provided further that in the case of every co-operative society having total income exceeding ten crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax and surcharge on a total income of ten crore rupees by more than the amount of income that exceeds ten crore rupees.

Paragraph C

In the case of every firm,?

Rate of income-tax On the whole of the total income 30 per cent.

Surcharge on income-tax The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A of the Income-tax Act, shall, in the case of every firm, having a total income exceeding one crore rupees, be increased by a surcharge for the purposes of the Union calculated at the rate of twelve per cent. of such income-tax:

Provided that in the case of every firm mentioned above having total income exceeding one crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees.

Paragraph D

In the case of every local authority,?

Rate of income-tax On the whole of the total income 30 per cent.;

Surcharge on income-tax The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A of the Income-tax Act, shall, in the case of every local authority, having a total income exceeding one crore rupees, be increased by a surcharge for the purposes of the Union calculated at the rate of twelve per cent. of such income-tax:

Provided that in the case of every local authority mentioned above having total income exceeding one crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees.

Paragraph E

In the case of a company,?

Rates of income-tax I. In the case of a domestic company,?

(i)

where its total turnover or the 25 per cent. of the total income;

gross receipt in the previous year 2021-2022 does not exceed four hundred crore rupees;

(ii)

other than that referred to in item (i) 30 per cent. of the total income.

II.

In the case of a company other than a domestic company,?

(i)

on so much of the total income 50 per cent.;

as consists of,?

(a)

royalties received from Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern after the

31st

day of March, 1961 but before the 1st day of April, 1976; or

(b)

fees for rendering technical services received from Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern after the 29th day of February, 1964 but before the 1st day of April, 1976, and where such agreement has, in either case, been approved by the Central Government;

(ii)

on the balance, if any, of the 40 per cent.

total income Surcharge on income-tax The amount of income-tax computed in accordance with the preceding provisions of this Paragraph, or the provisions of section 111A or section 112 or section 112A of the Income-tax Act, shall, be increased by a surcharge for the purposes of the Union, calculated,?

(i)

in the case of every domestic company,?

(a)

having a total income exceeding one crore rupees but not exceeding ten crore rupees, at the rate of seven per cent. of such income-tax; and

(b)

having a total income exceeding ten crore rupees, at the rate of twelve per cent. of such income-tax;

(ii)

in the case of every company other than a domestic company,?

(a)

having a total income exceeding one crore rupees but not exceeding ten crore rupees, at the rate of two per cent. of such income-tax; and

(b)

having a total income exceeding ten crore rupees, at the rate of five per cent. of such income-tax:

Provided that in the case of every company having a total income exceeding one crore rupees but not exceeding ten crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax on a total income of one crore rupees by more than the amount of income that exceeds one crore rupees:

Provided further that in the case of every company having a total income exceeding ten crore rupees, the total amount payable as income-tax and surcharge on such income shall not exceed the total amount payable as income-tax and surcharge on a total income of ten crore rupees by more than the amount of income that exceeds ten crore rupees.

Part IV ? RULES FOR COMPUTATION OF NET AGRICULTURAL INCOME

[See section 2(13)(c)]

Rule 1.?Agricultural income of the nature referred to in sub-clause (a) of clause (1A) of section 2 of the Income-tax Act shall be computed as if it were income chargeable to income-tax under that Act under the head "Income from other sources" and the provisions of sections 57 to 59 of that Act shall, so far as may be, apply accordingly:

Provided that sub-section (2) of section 58 shall apply subject to the modification that the reference to section 40A therein shall be construed as not including a reference to sub-sections (3), (3A) and (4) of section 40A.

Rule 2.?Agricultural income of the nature referred to in sub-clause (b) or sub-clause (c) of clause (1A) of section 2 of the Income-tax Act [other than income derived from any building required as a dwelling-house by the receiver of the rent or revenue of the cultivator or the receiver of rent-in-kind referred to in the said sub-clause (c)] shall be computed as if it were income chargeable to income-tax under that Act under the head "Profits and gains of business or profession" and the provisions of sections 30, 31, 32, 36, 37, 38, 40, 40A

[other than sub-sections (3), (3A) and (4) thereof], 41, 43, 43A, 43B and 43C of the Income-tax Act shall, so far as may be, apply accordingly.

Rule 3.?Agricultural income of the nature referred to in sub-clause (c) of clause (1A) of section 2 of the Income-tax Act, being income derived from any building required as a dwelling-house by the receiver of the rent or revenue or the cultivator or the receiver of rent-in-kind referred to in the said sub-clause (c) shall be computed as if it were income chargeable to income-tax under that Act under the head "Income from house property" and the provisions of sections 23 to 27 of that Act shall, so far as may be, apply accordingly.

Rule 4.?Notwithstanding anything contained in any other provisions of these rules, in a case?

(a)

where the assessee derives income from sale of tea grown and manufactured by him in India, such income shall be computed in accordance with rule 8 of the Income-tax Rules, 1962, and sixty per cent. of such income shall be regarded as the agricultural income of the assessee;

(b)

where the assessee derives income from sale of centrifuged latex or cenex or latex based crepes (such as pale latex crepe) or brown crepes (such as estate brown crepe, re-milled crepe, smoked blanket crepe or flat bark crepe) or technically specified block rubbers manufactured or processed by him from rubber plants grown by him in India, such income shall be computed in accordance with rule 7A of the Income-tax Rules, 1962, and sixty-five per cent. of such income shall be regarded as the agricultural income of the assessee;

(c)

where the assessee derives income from sale of coffee grown and manufactured by him in India, such income shall be computed in accordance with rule 7B of the Income-tax Rules, 1962, and sixty per cent. or seventy-five per cent., as the case may be, of such income shall be regarded as the agricultural income of the assessee.

Rule 5.?Where the assessee is a member of an association of persons or a body of individuals (other than a Hindu undivided family, a company or a firm) which in the previous year has either no income chargeable to tax under the Income-tax Act or has total income not exceeding the maximum amount not chargeable to tax in the case of an association of persons or a body of individuals (other than a Hindu undivided family, a company or a firm) but has any agricultural income then, the agricultural income or loss of the association or body shall be computed in accordance with these rules and the share of the assessee in the agricultural income or loss so computed shall be regarded as the agricultural income or loss of the assessee.

Rule 6.?Where the result of the computation for the previous year in respect of any source of agricultural income is a loss, such loss shall be set off against the income of the assessee, if any, for that previous year from any other source of agricultural income:

Provided that where the assessee is a member of an association of persons or a body of individuals and the share of the assessee in the agricultural income of the association or body, as the case may be, is a loss, such loss shall not be set off against any income of the assessee from any other source of agricultural income.

Rule 7.?Any sum payable by the assessee on account of any tax levied by the State Government on the agricultural income shall be deducted in computing the agricultural income.

Rule 8.?(1) Where the assessee has, in the previous year relevant to the assessment year commencing on the 1st day of April, 2023, any agricultural income and the net result of the computation of the agricultural income of the assessee for any one or more of the previous years relevant to the assessment years commencing on the 1st day of April, 2015 or the 1st day of April, 2016 or the 1st day of April, 2017 or the 1st day of April, 2018 or the

1st

day of April, 2019 or the 1st day of April, 2020 or the 1st day of April, 2021, or the

1st

day of April, 2022, is a loss, then, for the purposes of sub-section (2) of section 2 of this Act,?

(i)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2015, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2016 or the 1st day of April, 2017 or the

1st

day of April, 2018 or the 1st day of April, 2019 or the 1st day of April, 2020 or the

1st

day of April, 2021 or the 1st day of April, 2022,

(ii)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2016, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2017 or the 1st day of April, 2018 or the

1st

day of April, 2019 or the 1st day of April, 2020 or the 1st day of April, 2021 or the

1st

day of April, 2022,

(iii)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2017, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2018 or the 1st day of April, 2019 or the

1st

day of April, 2020 or the 1st day of April, 2021 or the 1st day of April, 2022,

(iv)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2018, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the

assessment year commencing on the 1st day of April, 2019 or the 1st day of April, 2020 or the 1st

day of April, 2021 or the 1st day of April, 2022,

(v)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2019, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2020 or the 1st day of April, 2021 or the

1st

day of April, 2022,

(vi)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2020, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2021 or the 1st day of April, 2022,

(vii)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2021, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2022,

(viii)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2022, shall be set off against the agricultural income of the assessee for the previous year relevant to the assessment year commencing on the 1st day of April, 2023.

(2)

Where the assessee has, in the previous year relevant to the assessment year commencing on the 1st day of April, 2024, or, if by virtue of any provision of the Income-tax Act, income-tax is to be charged in respect of the income of a period other than the previous year, in such other period, any agricultural income and the net result of the computation of the agricultural income of the assessee for any one or more of the previous years relevant to the assessment years commencing on the 1st day of April, 2016 or the 1st day of April, 2017 or the 1st day of April, 2018 or the 1st day of April, 2019 or the 1st day of April, 2020 or the

1st

day of April, 2021 or the 1st day of April, 2022 or the 1st day of April, 2023, is a loss, then, for the purposes of sub-section (10) of section 2 of this Act, ?

(i)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2016, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2017 or the 1st day of April, 2018 or the

1st

day of April, 2019 or the 1st day of April, 2020 or the 1st day of April, 2021 or the

1st

day of April, 2022 or the 1st day of April, 2023,

(ii)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2017, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2018 or the 1st day of April, 2019 or the

1st

day of April, 2020 or the 1st day of April, 2021 or the 1st day of April, 2022 or the

1st

day of April, 2023,

(iii)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2018, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2019 or the 1st day of April, 2020 or the

1st

day of April, 2021 or the 1st day of April, 2022 or the 1st day of April, 2023,

(iv)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2019, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2020 or the 1st day of April, 2021 or the

1st

day of April, 2022 or the 1st day of April, 2023,

(v)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2020, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2021 or the 1st day of April, 2022 or the

1st

day of April, 2023,

(vi)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2021, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2022 or the 1st day of April, 2023,

(vii)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2022, to the extent, if any, such loss has not been set off against the agricultural income for the previous year relevant to the assessment year commencing on the 1st day of April, 2023,

(viii)

the loss so computed for the previous year relevant to the assessment year commencing on the 1st day of April, 2023, shall be set off against the agricultural income of the assessee for the previous year relevant to the assessment year commencing on the 1st day of April, 2024.

(3)

Where any person deriving any agricultural income from any source has been succeeded in such capacity by another person, otherwise than by inheritance, nothing in sub-rule (1) or sub-rule (2) shall entitle any person, other than the person incurring the loss, to have it set off under sub-rule (1) or, as the case may be, sub-rule (2).

(4)

Notwithstanding anything contained in this rule, no loss which has not been determined by the Assessing Officer under the provisions of these rules or the rules contained in the First Schedule to the Finance Act, 2015 (20 of 2015) or the First Schedule to the Finance Act, 2016 (28 of 2016) or the First Schedule to the Finance Act, 2017 (7 of 2017) or the First Schedule to the Finance Act, 2018 (13 of 2018) or the First Schedule of the Finance

(No. 2) Act, 2019 (23 of 2019) or the First Schedule of the Finance Act, 2020

(12 of 2020) or the First Schedule of the Finance Act, 2021 (13 of 2021) or the First Schedule of the Finance Act, 2022 (6 of 2022) shall be set off under sub-rule (1) or, as the case may be, sub-rule (2).

Rule 9. Where the net result of the computation made in accordance with these rules is a loss, the loss so computed shall be ignored and the net agricultural income shall be deemed to be nil.

Rule 10. The provisions of the Income-tax Act relating to procedure for assessment

(including the provisions of section 288A relating to rounding off of income) shall, with the necessary modifications, apply in relation to the computation of the net agricultural income of the assessee as they apply in relation to the assessment of the total income.

Rule 11. For the purposes of computing the net agricultural income of the assessee, the Assessing Officer shall have the same powers as he has under the Income-tax Act for the purposes of assessment of the total income.

THE SECOND SCHEDULE

[See section 135 (a)]

In the First Schedule to the Customs Tariff Act, ??

Tariff Item Description of goods Unit Rate of duty Standard Preferential

(1)

(2) (3) (4) (5)

(1)

in Chapter 29,??

(i)

for the entry in column (4) occurring against tariff item 2902 50 00, the entry ?2.5%? shall be substituted;

(ii)

for the entry in column (4) occurring against tariff item 2903 21 00, the entry ?2.5%? shall be substituted;

(2)

in Chapter 40, for the entry in column (4) occurring against all the tariff items of heading 4005, the entry ?25% or Rs. 30 per kg., whichever is lower? shall be substituted;

(3)

in Chapter 71,??

(i)

for the entry in column (4) occurring against all the tariff items of headings 7113 and 7114, the entry ?25%? shall be substituted;

(ii)

for the entry in column (4) occurring against all the tariff items of heading 7117, the entry ?25% or Rs. 600 per kg., whichever is higher? shall be substituted;

(4)

in Chapter 84, for the entry in column (4) occurring against tariff item 8414 60 00, the entry ?15%? shall be substituted;

(5)

in Chapter 87, for the entry in column (4) occurring against tariff item 8712 00 10, the entry ?35%? shall be substituted;

(6)

in Chapter 95, for the entry in column (4) occurring against all the tariff items of heading 9503, the entry ?70%? shall be substituted.

THE THIRD SCHEDULE

[See section 135 (b)]

In the First Schedule to the Customs Tariff Act,??

(1)

in Chapter 40, for the entry in column (4) occurring against tariff item 4011 30 00, the entry ?2.5%? shall be substituted;

(2)

in Chapter 71,??

(i)

for the entry in column (4) occurring against all the tariff items of heading 7106, the entry ?10%? shall be substituted;

(ii)

for the entry in column (4) occurring against tariff item 7107 00 00, the entry ?10%? shall be substituted;

(iii)

for the entry in column (4) occurring against all the tariff items of heading 7108, the entry ?10%? shall be substituted;

(iv)

for the entry in column (4) occurring against tariff item 7109 00 00, the entry ?10%? shall be substituted;

(v)

for the entry in column (4) occurring against tariff items 7110 11 10, 71101120, 71101900, 71102100, 71102900, 71104100 and 71104900, the entry ?10%? shall be substituted;

(vi)

for the entry in column (4) occurring against tariff item 7111 00 00, the entry ?10%? shall be substituted;

(vii)

for the entry in column (4) occurring against all the tariff items of heading 7112, the entry ?10%? shall be substituted;

(viii)

for the entry in column (4) occurring against all the tariff items of heading 7118, the entry "10%" shall be substituted;

(3)

in Chapter 88, for the entry in column (4) occurring against tariff items 8802 20 00, 8802 30 00 and 8802 40 00, the entry "2.5%" shall be substituted;

(4)

in Chapter 98,

(a)

in heading 9801, in column (2),

(i)

for item (3), the following item shall be substituted, namely:

"(3) Power project, other than solar power plant or solar power project;

(ii)

in item (6), for the words "Such other projects", the words

"Such other projects, other than solar power plant or solar power project,"

shall be substituted;

(b)

in sub-heading 9801 00, in column (2),

(i)

for item (3), the following item shall be substituted, namely:

"(3) power project, other than solar power plant or solar power project;

(ii)

in item (6), for the words "such other projects", the words

"such other projects, other than solar power plant or solar power project,"

shall be substituted;

(c)

for the entry in column (2) occurring against tariff item 9801 00 13, the following entry shall be substituted, namely:

"- - - For power project, other than solar power plant or solar power project;

(d)

for the entry in column (2) occurring against tariff item 9801 00 19, the following entry shall be substituted, namely:

"- - - For other projects, other than solar power plant or solar power project."

THE FOURTH SCHEDULE

[See section 135 (c)]

In the First Schedule to the Customs Tariff Act,

(1)

in the General Explanatory Notes, in paragraph 1, after the portion beginning with the words "Where the description of an article or group of articles" and ending with the words "the article or group of articles which has " or " - ", the following shall be inserted, namely:

"Where the description of an article or group of articles is preceded by

" - - - , "in addition to being a sub-classification of " or " - - , the said article or group of articles may also be taken to be a sub-classification of the immediately preceding description of the article or group of articles which has " - - .";

(2)

for the List of Abbreviations Used, the following shall be substituted, namely:

LIST OF ABBREVIATIONS USED

Abbreviations For AC Alternating Current Amps Ampere(s) ASTM

American Society for Testing Materials Bq Becquerel(s) Bq/g Becquerel(s) per gram

°C Degree(s) Celsius cc Cubic centimetre(s) cg Centigram(s) Ci/g Curie per gram C.I.F. Cost, Insurance and Freight c/k

Carats (1 metric carat = 2 x 10⁻⁴ kg) cm Centimetre(s) cm² Square centimetre(s) cm³ Cubic centimetre(s) cN

Centinewton(s) DC Direct Current dyne/cm Dyne per centimetre g Gram(s) g/cm³ Gram per cubic centimetre g/m² Gram

per square metre gi F/S Gram of fissile isotopes g.v.w. Gross vehicle weight Gy Gray HP Horse Power Hz Hertz IR

Infra-red K Kelvin kcal Kilocalorie(s) kcal/kg Kilocalorie(s) per kilogram kg Kilogram(s) kgf Kilogram force kN

Kilonewton(s) kN/m Kilonewton(s) per metre kPa Kilopascal(s) kPa. m²/g Kilopascal square metre per gram kV

Kilovolt(s) kV

A Kilovolt(s) - ampere(s) kvar Kilovolt(s) - ampere(s) - reactive kW Kilowatt(s) kWh Kilowatt hours l Litre(s) m Metre(s) m² - Metam² Square metre(s) m³ Cubic metre(s) m³/h Cubic metre(s) per hour

μCi Microcurie mm Millimetre mN Millinewton(s) mPa Millipascal(s) mT Metric tonne MW Megawatt(s) N Newton(s) N/m Newton(s) per metre No. Number o- Orthop- Parapa Number of pairs RAD Radiation absorbed dose Rs. Rupees sq. Square SWG Standard wire gauge t Tonne(s) Tu Thousand in number u Number US\$ US Dollar UV Ultra-violet V Volt(s) vol. Volume W Watt(s)

% Percent x° X degree(s) 1000kWh 1000 kilowatt hours?;

Tariff Item Description of goods Unit Rate of duty Standard Preferential

(1)

(2) (3) (4) (5)

(3)

in Chapter 3,??

(i)

in heading 0302,??

(a)

for sub-heading 0302 91, tariff item 0302 91 10 and the entries relating thereto, the following shall be substituted, namely:?

?03029100 - - Livers, roes and milt kg. 30% -?;

(b)

for sub-heading 0302 92, tariff item 0302 92 10 and the entries relating thereto, the following shall be substituted, namely:?

?03029200 -- Shark fins kg. 30% -?;

(ii)

in heading 0303, for sub-heading 0303 92, tariff item 0303 92 10 and the entries relating thereto, the following shall be substituted, namely:?

?03039200 -- Shark fins kg. 30% -?;

(iii)

in heading 0307, after tariff item 0307 43 30 and the entries relating thereto, the following shall be inserted, namely:?

?03074390 - - - Other kg. 30% -?;

(iv)

in heading 0308, after tariff item 0308 30 20 and the entries relating thereto, the following shall be inserted, namely:?

?03083090 - - - Other kg. 30% -?;

(4)

in Chapter 4, in heading 0406, for tariff item 0406 10 00 and the entries relating thereto, the following shall be substituted, namely:?

?040610 - Fresh (unripened or uncured) cheese, including whey cheese, and curd 04061010 - - - Mozzarella cheese kg. 30% - 04061090 - - - Other kg. 30% -?;

(5)

in Chapter 9, in heading 0910, for tariff items 0910 99 29 to 0910 99 39 and the entries relating thereto, the following shall be substituted, namely:?

?09109929 - - - - Other kg. 30% - 09109930 - - - Husk kg. 30% -?;

(6)

in Chapter 10, in heading 1008,??

(i)

after tariff item 1008 21 30 and the entries relating thereto, the following shall be inserted, namely:?

?10082140 - - - Barnyard (Echinochloa kg. 50% - esculenta (L.)) 10082150 - - - Proso (Panicum kg. 50% - miliaceum (L.)) 10082160 - - - Foxtail (Setaria italica (L.)) kg. 50% - 10082170 - - - Kodo (Paspalum kg. 50% - scrobiculatum (L.)) 10082180 - - - Little (Panicum sumatrense (L.)) kg. 50% -

- - - Other :

10082191

----- Amaranth (Amaranthus (L.)) kg. 50% - 10082199 ----- Other kg. 50% -?;

(ii)

after tariff item 1008 29 30 and the entries relating thereto, the following shall be inserted, namely:?

?10082940 --- Barnyard (Echinochloa kg. 50% - esculenta (L.)) 10082950 --- Proso (Panicum miliaceum (L.)) kg. 50%
- 10082960 --- Foxtail (Setaria italica (L.)) kg. 50% - 10082970 --- Kodo (Paspalum kg. 50% - scrobiculatum (L.))
10082980 --- Little (Panicum sumatrense (L.)) kg. 50% -

--- Other :

10082991

----- Amaranth (Amaranthus (L.)) kg. 50% - 10082999 ----- Other kg. 50% -?;

(7)

in Chapter 12, in heading 1211, for sub-heading 1211 90, tariff items 1211 90 11 to 1211 90 99 and the entries relating thereto, the following shall be substituted, namely:?

?121190 - Other :

--- Seeds, Kernel, Aril, Fruit, Pericarp, Fruit rind, Endosperm, Mesocarp, Endocarp :

12119011

----- Ambrette seeds kg. 30% - 12119012 ----- Nuxvomica, Dried ripe seeds kg. 30% - 12119013 ----- Psyllium seeds (isobgul) kg. 30% - 12119014 ----- Neem seeds kg. 30% - 12119015 ----- Jojoba seeds kg. 30% - 12119016 ----- Garcinia kg. 30% - 12119019 ----- Other kg. 30% -

--- Leaves, Leaf bud, Galls, flowers, Inflorescence, Spadix, Flower bud, Style and Stigma, Stamen and pods :

12119021

----- Belladonna leaves kg. 30% - 12119022 ----- Senna leaves and pods kg. 30% - 12119023 ----- Neem leaves kg. 30% - 12119024 ----- Gymnema kg. 30% - 12119025 ----- Cubebs kg. 30% - 12119026 ----- Pyrethrum kg. 30% - 12119029 ----- Other kg. 30% -

--- Bark, Husk and Rind :

12119031

----- Cascara sagrada bark kg. 30% - 12119032 ----- Psyllium husk (isobgul husk) kg. 30% - 12119033 ----- Gamboge fruit rind kg. 30% - 1211 90 34 ----- Ashoka (Saraca asoca.) kg. 30% - 12119035 ----- Arjuna (Terminalia arjuna) kg. 30% - 12119039 ----- Other kg. 30% -

--- Roots, Root stalk, Bulb, Corn, Tuber, Stolon and rhizome :

12119041

----- Belladonna roots kg. 30% - 12119042 ----- Galangal rhizomes and roots kg. 30% - 12119043 ----- Ipecac dried rhizome and roots kg. 30% - 12119044 ----- Serpentina roots (rowwalfia kg. 30% - serpentina and other species of rowwalfias) 12119045 ----- Zedovary roots kg. 30% - 12119046 ----- Kuth root kg. 30% - 12119047 ----- Sarasaparilla roots kg. 30% - 12119048 ----- Sweet flag rhizomes kg. 30% - 12119049 ----- Other kg. 30% -

--- Whole Plant, Aerial Part, Stem, Shoot and Wood :

12119051

----- Sandalwood chips and dust kg. 30% - 12119052 ----- Vinca rosea herbs kg. 30% - 12119053 ----- Mint kg. 30% - 12119054 ----- Agarwood kg. 30% - 12119055 ----- Chirata kg. 30% - 12119056 ----- Basil, hyssop, rosemary, sage kg. 30% - and savory 12119057 ----- Ashwagandha (Withania somnifera) kg. 30% - 12119058 ----- Giloy (Tinospora cordifolia) kg. 30% - 12119059 ----- Other kg. 30% - 12119090 --- Other kg. 30% -?;

(8)

in Chapter 13,??

(i)

in the Note, in clause (g), for the brackets, word and figures

?(heading 3006)?, the brackets, word and figures ?(heading 3822)? shall be substituted;

(ii)

in heading 1302,??

(a)

for tariff item 1302 32 30 and the entries relating thereto, the following shall be substituted, namely:?

?- - - Guar gum:

13023231

- - - - Chemically treated kg. 30% - 13023239 - - - - Other kg. 30% -?;

(b)

tariff item 1302 32 40 and the entries relating thereto shall be omitted;

(c)

for tariff item 1302 39 00 and the entries relating thereto, the following shall be substituted, namely:?

?1302 39 - - Other :

13023910

- - - Tamarind Kernel Powder kg. 30% - 13023920 - - - Kappa carrageenan kg. 30% - 13023990 - - - Other kg. 30% -?;

(9)

in Chapter 19, in heading 1904, for tariff item 1904 20 00 and the entries relating thereto, the following shall be substituted, namely:?

?190420 - Prepared foods obtained from unroasted cereal flakes or from mixtures of unroasted cereal flakes and roasted cereal flakes or swelled cereals;

19042010

- - - With millet content 15% or more by kg. 30% - weight 19042090 - - - Other kg. 30% -?;

(10)

in Chapter 27, in heading 2701, for tariff item 2701 12 00 and the entries relating thereto, the following shall be substituted, namely:?

?270112 - - Bituminous coal :

27011210

- - - Coking coal kg. 5% - 27011290 - - - Other kg. 5% -?;

(11)

in Chapter 29,??

(i)

in heading 2916, after tariff item 2916 20 10 and the entries relating thereto, the following shall be inserted, namely:?

?29162020 - - - Bifenthrin (ISO) kg. 7.5% -?;

(ii)

in heading 2924, after tariff item 2924 29 60 and the entries relating thereto, the following shall be inserted, namely:?

?29242970 - - - Pretilachlor (ISO) kg. 7.5% -?;

(iii)

in heading 2930,??

(a)

for tariff item 2930 20 00 and the entries relating thereto, the following shall be substituted, namely:?

?293020 - Thiocarbamates and dithiocarbamates :

29302010

- - - Cartap Hydrochloride (ISO) kg. 7.5% - 29302090 - - - Other kg. 7.5% -?;

(b)

after tariff item 2930 90 91 and the entries relating thereto, the following shall be inserted, namely:?

?29309092 - - - Acephate (ISO) kg. 7.5% -?;

(iv)

in heading 2931, after tariff item 2931 49 20 and the entries relating thereto, the following shall be inserted, namely:?

?29314930 - - - Glyphosate (ISO) kg. 7.5% -?;

(v)

in heading 2932, after tariff item 2932 99 10 and the entries relating thereto, the following shall be inserted, namely:?

?29329920 - - - Emamectin Benzoate (ISO) kg. 7.5% -?;

(vi)

in heading 2933,??

(a)

after tariff item 2933 29 50 and the entries relating thereto, the following shall be inserted, namely:?

?29332960 - - - Imidacloprid (ISO) kg. 7.5% -?;

(b)

after tariff item 2933 39 16 and the entries relating thereto, the following shall be inserted, namely:?

?29333917 - - - Chlorantraniliprole (ISO) kg. 7.5% -?;

(c)

for tariff item 2933 39 19 and the entries relating thereto, the following shall be substituted, namely:?

?29333921 - - - Acetamiprid (ISO) kg. 7.5% - 29333922 - - - Imazethapyr (ISO) kg. 7.5% - 29333929 - - - Other kg. 7.5% -?;

(d)

after tariff item 2933 59 40 and the entries relating thereto, the following shall be inserted, namely:?

?29335950 - - - Bispyribac-sodium (ISO) kg. 10% -?;

(e)

after tariff item 2933 99 10 and the entries relating thereto, the following shall be inserted, namely:?

?29339920 - - - Carbendazim (ISO) kg. 7.5% -?;

(vii)

in heading 2934, after tariff item 2934 99 20 and the entries relating thereto, the following shall be inserted, namely:?

?29349930 - - - Buprofezin (ISO) kg. 7.5% -?;

(viii)

in heading 2935, for tariff item 2935 50 00 and the entries relating thereto, the following shall be substituted, namely:?

?293550 - Other perfluorooctane sulphonamides :

29355010

- - - Flubendiamide (ISO) kg. 7.5% - 29355090 - - - Other kg. 7.5% -?;

(12)

in Chapter 31,??

(i)

after Note 6, the following Supplementary Note shall be inserted, namely:?

?Supplementary Note :

(1)

In this Chapter, reference to any standard of the Bureau of Indian Standards refers to the last published version of that standard.

Illustration:IS1459referstoIS1459:2018andnottoIS1459:1974.??;

(ii)

in heading 3102, for tariff item 3102 10 00 and the entries relating thereto, the following shall be substituted, namely:?

?310210 - Urea, whether or not in aqueous solution :

31021010

- - - Fertilizer grade, conforming to kg. 10% - Standard IS 5406 31021090 - - - Other kg. 10% -?;

(13)

in Chapter 38,??

(i)

after Sub-heading Note 4, the following Supplementary Notes shall be inserted, namely:?

?Supplementary Notes:

1.

Tariff item 3808 91 41 covers one of the following goods of sub-heading 3808 91 : Acephate (ISO) conforming to IS-12915; Cartap Hydrochloride (ISO) conforming to IS-14159; Imidacloprid (ISO) conforming to IS-15443;Acetamiprid (ISO) conforming to IS-15981.

2.

Tariff item 3808 91 42 covers one of the following goods of sub-heading 3808 91 with content by mass greater than 90% :

Chlorantraniliprole (ISO); Buprofezin (ISO); Flubendiamide (ISO);

3.

Emamectin Benzoate (ISO)

Tariff item 3808 91 51 covers only mixtures and preparations of goods of sub-heading 3808 91, containing one or more of the following :

Acephate (ISO) conforming to IS-12916; Cartap Hydrochloride (ISO) conforming to IS-14183; Imidacloprid (ISO) conforming to IS-15335;

4.

Acetamiprid (ISO) conforming to IS-16328

Tariff item 3808 91 52 covers only mixtures and preparations of goods of sub-heading 3808 91 with content by mass greater than 90%, containing one or more of the following : Chlorantraniliprole (ISO);

5.

Buprofezin (ISO); Flubendiamide (ISO); Enamectin Benzoate (ISO)

Tariff item 3808 92 60 covers one of the following goods of sub-heading 3808 92 : Carbendazim (ISO) conforming to IS-8445.

6.

Tariff item 3808 92 70 covers only mixtures and preparations of goods of sub-heading 3808 92, containing one or more of the following :

7.

Carbendazim (ISO) conforming to IS-8446

Tariff item 3808 93 61 covers one of the following goods of sub-heading 3808 93 : Pretilachlor (ISO) conforming to IS-15158;

Glyphosate (ISO) conforming to IS-12502.

8. Tariff item 3808 93 62 covers one of the following goods of sub-heading 3808 93 with content by mass greater than 90% : Bispyribac sodium (ISO); Imazethapyr (ISO).

9.

Tariff item 3808 93 71 covers only mixtures and preparations of goods of sub-heading 3808 93, containing one or more of the following :

10.

Pretilachlor (ISO) conforming to IS-15160

Tariff item 3808 93 72 covers only mixtures and preparations of goods of sub-heading 3808 93 with content by mass greater than 90%, containing one or more of the following : Bispyribac sodium (ISO);

Imazethapyr (ISO).?;

(ii)

in heading 3808,??

(a)

after tariff item 3808 91 37 and the entries relating thereto, the following shall be inserted, namely:?

?- - - Goods specified in Supplementary Note 1 and 2 to this Chapter :

38089141

- - - - Goods specified in Supplementary kg. 10% - Note1 to this Chapter 38089142 - - - - Goods specified in Supplementary kg. 10% - Note 2 to this Chapter

- - - Goods specified in Supplementary Note 3 and 4 to this Chapter :

38089151

- - - - Goods specified in Supplementary kg. 10% - Note 3 to this Chapter 38089152 - - - - Goods specified in Supplementary kg. 10% -?;

Note 4 to this Chapter

(b)

after tariff item 3808 92 50 and the entries relating thereto, the following shall be inserted, namely:?

?38089260 - - - Goods specified in Supplementary kg. 10% - Note 5 to this Chapter 38089270 - - - Goods specified in Supplementary kg. 10% -?;

Note 6 to this Chapter

(c)

after tariff item 3808 93 50 and the entries relating thereto, the following shall be inserted, namely:?

?- - - Goods specified in Supplementary Note 7 and 8 to this Chapter :

38089361

- - - - Goods specified in Supplementary kg. 10% - Note 7 to this Chapter 38089362 - - - - Goods specified in

Supplementary kg. 10% - Note 8 to this Chapter

- - - Goods specified in Supplementary Note 9 and 10 to this Chapter :

38089371

- - - - Goods specified in Supplementary kg. 10% - Note 9 to this Chapter 38089372 - - - - Goods specified in Supplementary kg. 10% -?;

Note 10 to this Chapter

(14)

in Chapter 39, in heading 3915, after tariff item 3915 90 75 and the entries relating thereto, the following shall be inserted, namely:?

?39159079 - - - - Others kg. 7.5% -?;

(15)

in Chapter 48, in heading 4811, for tariff item 4811 90 94 and the entries relating thereto, the following shall be substituted, namely:?

?48119094 - - - - Thermal paper in jumbo rolls (of kg. 10% - size 1 m and above in width and 5,000 m and above in length) 48119095 - - - - Thermal paper in jumbo rolls kg. 10% -

(of size 1 m and above in width and less than 5,000 m in length) 48119096 - - - - Thermal paper in rolls of size kg. 10% -?;

less than 1 m in width

(16)

in Chapter 52, in heading 5201, for tariff item 5201 00 20 and the entries relating thereto, the following shall be substituted, namely:?

?- - - Other :

52010021

- - - - Of staple length not kg. 5% - exceeding 20.0 mm 52010022 - - - - Of staple length exceeding 20.0 mm kg. 5% - but not exceeding 24.5 mm 52010023 - - - - Of staple length exceeding 24.5 mm kg. 5% - but not exceeding 27.0 mm 52010024 - - - - Of staple length exceeding 27.0 mm kg. 5% - but not exceeding 32.0 mm 52010025 - - - - Of staple length exceeding 32.0 mm kg. 5% -?;

(17)

in Chapter 54, in heading 5402,??

(i)

for tariff item 5402 11 10 and the entries relating thereto, the following shall be substituted, namely:?

?54021100 -- Of aramids kg. 5% -?;

(ii)

for sub-heading 5402 59, tariff item 5402 59 90 and the entries relating thereto, the following shall be substituted, namely:?

?54025900 -- Other kg. 5% -?;

(18)

in Chapter 57, in heading 5702, after tariff item 5702 39 20 and the entries relating thereto, the following shall be inserted, namely:?

?57023990 - - - Other m2

20% -?;

(19)

in Chapter 61, in heading 6115, for sub-heading 6115 21 and the entries relating thereto, the following shall be substituted, namely:?

?- Other panty hose and tights :?;

(20)

in Chapter 62,??

(i)

in heading 6213,??

(a)

for the entry in column (2) occurring against sub-heading 6213 90, the following shall be substituted, namely:?

?- Of other textile materials :?;

(b)

for the entry in column (2) occurring against tariff item 6213 90 90, the following shall be substituted, namely:?

?- - - Other? ;

(ii)

in heading 6217,??

(a)

for the entry in column (2) occurring against tariff item 6217 10 10, the following shall be substituted, namely:?

?- - - For articles of apparel, of cotton?;

(b)

for the entry in column (2) occurring against tariff item 6217 10 20, the following shall be substituted, namely:?

?- - - For articles of apparel, of synthetic fibres?;

(c)

for the entry in column (2) occurring against tariff item 6217 10 30, the following shall be substituted, namely:?

?- - - For articles of apparel, of wool?;

(d)

for the entry in column (2) occurring against tariff item 6217 10 40, the following shall be substituted, namely:?

?- - - For articles of apparel, of silk?;

(e)

for the entry in column (2) occurring against tariff item 6217 10 50, the following shall be substituted, namely:?

?- - - For articles of apparel, of regenerated fibres?;

(f)

for the entry in column (2) occurring against tariff item 6217 10 60, the following shall be substituted, namely:?

?- - - For articles of apparel, of other fibres?;

(g)

for the entry in column (2) occurring against tariff item 6217 10 70, the following shall be substituted, namely:?

?- - - Stockings, socks, sockettes and the like, of cotton?;

(21)

in Chapter 63,??

(i)

in heading 6301, for the entry in column (2) occurring against tariff item 6301 20 00, the following shall be substituted, namely:?

?- Blankets (other than electric blankets) and travelling rugs, of wool or of fine animal hair?;

(ii)

in heading 6304, for the entry in column (2) occurring against tariff item 6304 20 00, the following shall be substituted, namely:?

?- Bed nets specified in Sub-heading Note 1 to this Chapter?;

(iii)

in heading 6310, for tariff items 6310 10 90 to 6310 90 10 and the entries relating thereto, the following shall be substituted, namely:?

?63101090 - - - Other kg. 20% - 6310 90 - Other :

63109010

- - - Woollen rags kg. 20% -?;

(22)

in Chapter 69,??

(i)

in Note 1, in introductory sentence, for the word ?shaping:?, the word

?shaping :? shall be substituted;

(ii)

in heading 6907, for sub-heading 6907 30, tariff item 6907 30 10, sub-heading 6907 40, tariff item 6907 40 10 and the entries relating thereto, the following shall be substituted, namely:?

?69073000 - Mosaic cubes and the like, other m2

15% - than those of sub-heading 6907 40 69074000 - Finishing ceramics m2

15% -?;

(23)

in Chapter 71,??

(i)

after Sub-heading Note 3, the following Supplementary Note shall be inserted, namely:?

?Supplementary Note:

For the purposes of heading 7104, ?Diamonds? means?

(a)

chemically produced stones which have essentially the same chemical composition and crystal structure as a particular natural diamond and are produced using various methods including High Pressure High Temperature method

(HPHT)

and Chemical Vapour Deposition method (CVD); or

(b)

stones obtained artificially by various means, e.g., agglomerating, pressing or fusing together (usually with the aid of a blow pipe) fragments of natural diamonds which have generally been reduced to a powder.??;

(ii)

in heading 7104,??

(a)

for tariff item 7104 21 00 and the entries relating thereto, the following shall be substituted, namely:?

?710421 - - Diamonds :

71042110

- - - Industrial c/k 10% - 71042120 - - - Non-industrial c/k 10% -?;

(b)

for tariff item 7104 91 00 and the entries relating thereto, the following shall be substituted, namely:?

?710491 - - Diamonds :

71049110

- - - Industrial c/k 10% - 71049120 - - - Non-industrial c/k 10% -?;

(iii)

in heading 7105, for tariff item 7105 10 00 and the entries relating thereto, the following shall be substituted, namely:?

?710510 - Of diamonds :

71051010

- - - Of heading 7102 c/k 10% - 71051020 - - - Of heading 7104 c/k 10% -?;

(iv)

in heading 7113,??

(a)

for tariff items 7113 11 20 and 7113 11 30 and the entries relating thereto, the following shall be substituted, namely:?

?- - - Other jewellery :

71131141

- - - - Unstudded kg. 25% - 71131142 - - - - Studded with pearls kg. 25% - 71131143 - - - - Studded with diamonds of kg.

25% - heading 7102 71131144 - - - - Studded with diamonds of kg. 25% - heading 7104 71131145 - - - - Studded with other precious and kg. 25% - semi-precious stones 71131149 - - - - Other kg. 25% -?;

(b)

for tariff items 7113 19 10 to 7113 19 50 and the entries relating thereto, the following shall be substituted, namely:?

?- - - Of gold :

71131911

- - - - Unstudded kg. 25% - 71131912 - - - - Studded with pearls kg. 25% - 71131913 - - - - Studded with diamonds of kg.

25% - heading 7102 71131914 - - - - Studded with diamonds of kg. 25% - heading 7104 71131915 - - - - Studded with other precious and kg. 25% - semi-precious stones 71131919 - - - - Other kg. 25% -

- - - Of platinum :

71131921

- - - - Unstudded kg. 25% - 71131922 - - - - Studded with pearls kg. 25% - 71131923 - - - - Studded with diamonds of kg. 25% - heading 7102 71131924 - - - - Studded with diamonds of kg. 25% - heading 7104 71131925 - - - - Studded with other precious and kg. 25% - semi-precious stones 71131929 - - - - Other kg. 25% -?;

(24)

in Chapter 84,??

(i)

in heading 8414, for tariff item 8414 10 00 and the entries relating thereto, the following shall be substituted, namely:?

?841410 - Vacuum pumps :

84141010

- - - with maximum flow-rate greater u 7.5% - than 5 m³/h (under standard temperature (273 K (0 °C)) and pressure (101.3 kPa) conditions) 84141090 - - - Other u 7.5% -?;

(ii)

in heading 8419,??

(a)

for tariff items 8419 50 10 to 8419 50 90 and the entries relating thereto, the following shall be substituted, namely:?

?- - - with a heat transfer surface area of greater than 0.15 m², and less than 20 m² :

84195011

- - - - Shell and tube type u 7.5% - 84195012 - - - - Plate type u 7.5% - 84195013 - - - - Spiral type u 7.5% - 84195019 - - - - Other u 7.5% -

- - - Other :

84195091

- - - - Shell and tube type u 7.5% - 84195092 - - - - Plate type u 7.5% - 84195093 - - - - Spiral type u 7.5% - 84195099 - - - - Other u 7.5% -?;

(b)

for tariff item 8419 89 10 and the entries relating thereto, the following shall be substituted, namely:?

?- - - Pressure vessels, reactors, columns or towers or chemical storage tanks :

84198911

- - - - Pressure vessels u 10% - 84198912 - - - - Reactors with total internal u 10% - (geometric) volume greater than 0.1 m³ (100 l) and less than 20 m³ (20000 l) 84198913 - - - - Other reactors u 10% - 84198914 - - - - Distillation or absorption columns u 10% - of internal diameter greater than 0.1 m 84198915 - - - - Other distillation or absorption u 10% - columns 84198916 - - - - Chemical storage tanks with a total u 10% - internal (geometric) volume greater than 0.1 m³ (100 l) 84198917 - - - - Other chemical storage tanks u 10% - 84198919 - - - - Other u 10% -?;

(25)

in Chapter 85,??

(i)

in heading 8517,??

(a)

for the entry in column (2) occurring against tariff item 8517 62 30, the following shall be substituted, namely:?

?- - - Modems (modulators-demodulators) for xDSL based Wireline Telephony?;

(b)

tariff item 8517 62 40 and the entries relating thereto shall be omitted;

(c)

for the entry in column (2) occurring against tariff item 8517 62 70, the following shall be substituted, namely:?

?- - - Multiplexers, statistical multiplexers for PDH based Wireline Telephony?;

(d)

in sub-heading 8517 69,??

(A)

tariff item 8517 69 50 and the entries relating thereto shall be omitted;

(B)

for the entry in column (2) occurring against tariff item 8517 69 60, the following shall be substituted, namely:?

?- - Set top boxes for gaining access to internet for Wireline Telephony?;

(ii)

for heading 8524, tariff items 8524 11 00 to 8524 99 00 and the entries relating thereto, the following shall be substituted, namely:?

?8524 FLATPANELDISPLAYMODULES,WHETHEROR
NOTINCORPORATINGTOUCH-SENSITIVESCREENS

- Without drivers or control circuits :

852411

-- Of liquid crystals :

85241110

- - - For the goods of sub-heading u 15% - 847130or 847141 8524 11 20 - - - For the goods of sub-heading u 15% - 851713or 851714 85241130 - - - For the goods of sub-heading u 15% - 852872or 852873 85241190 - - - Other u 15% - 852412 -- Of organic light-emitting diodes (OLED) :

85241210

- - - For the goods of sub-heading u 15% - 847130or 847141 85241220 - - - For the goods of sub-heading u 15% - 851713or 851714 85241230 - - - For the goods of sub-heading u 15% - 852872or 852873 85241290 - - - Other u 15% - 852419 -- Other :

85241910

- - - For the goods of sub-heading u 15% - 847130or 847141 85241920 - - - For the goods of sub-heading u 15% - 851713or 851714 85241930 - - - For the goods of sub-heading u 15% - 852872or 852873 85241990 - - - Other u 15% - - Other :

852491

-- Of liquid crystals :

85249110

- - - For the goods of sub-heading u 15% - 847130or 847141 85249120 - - - For the goods of sub-heading u 15% - 8517 13 or 8517 14 85249130 - - - For the goods of sub-heading u 15% - 852872or 852873 85249190 - - - Other u 15% - 852492 -- Of organic light-emitting diodes (OLED) :

85249210

- - - For the goods of sub-heading u 15% - 847130or 847141 85249220 - - - For the goods of sub-heading u 15% - 851713or 851714 85249230 - - - For the goods of sub-heading u 15% - 852872or 852873 85249290 - - - Other u 15% - 852499 -- Other :

85249910

- - - For the goods of sub-heading u 15% - 847130or 847141 85249920 - - - For the goods of sub-heading u 15% - 851713or 851714 85249930 - - - For the goods of sub-heading u 15% - 852872or 852873 85249990 - - - Other u 15% -?;

(26)

in Chapter 87, in heading 8704, after tariff item 8704 10 10 and the entries relating thereto, the following shall be inserted, namely:?

?87041090 - - - Other u 40% -?.

THE FIFTH SCHEDULE

(See section 136) In the Second Schedule to the Customs TariffAct, for serial numbers 8 and 9 and the entries relating thereto, the following serial numbers and entries shall be substituted, namely:?

Sl.

Chapter/heading/ Description of goods Rate of duty No. sub-heading/Tariff Item

(1)

(2) (3) (4)

?8. 120241

Groundnut in shell Rs. 1,125 per tonne

9.

120242

Groundnut kernel Rs. 1,500 per tonne?.

THE SIXTH SCHEDULE

(See section 172) In the Seventh Schedule to the Finance Act, 2001, ??

(i)

for the entry in column (4) occurring against tariff item 2402 20 10, the entry
?Rs. 230 per thousand? shall be substituted;

(ii)

for the entry in column (4) occurring against tariff item 2402 20 20, the entry
?Rs. 290 per thousand? shall be substituted;

(iii)

for the entry in column (4) occurring against tariff items 2402 20 30 and 2402 20 40, the entry ?Rs. 510 per thousand?
shall be substituted;

(iv)

for the entry in column (4) occurring against tariff item 2402 20 50, the entry
?Rs. 630 per thousand? shall be substituted;

(v)

for the entry in column (4) occurring against tariff item 2402 20 90, the entry
?Rs. 850 per thousand? shall be substituted;

(vi)

for the entry in column (4) occurring against tariff item 2402 90 10, the entry
?Rs. 690 per thousand? shall be substituted.

THE SEVENTH SCHEDULE

[See section 135 (d)]

In the First Schedule to the Customs Tariff Act, in Chapter 90,??

(i)

for the entry in column (4) occurring against tariff item 9022 14 10, the entry
?15%? shall be substituted;

(ii)

for the entry in column (4) occurring against tariff item 9022 14 20, the entry
?15%? shall be substituted;

(iii)

for the entry in column (4) occurring against tariff item 9022 14 90, the entry
?15%? shall be substituted.

????

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